Finolex Cables Ltd. (FINCABLES)

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FCL:SEC:SE :24:13 17th February 2024
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Scrip Code: 500144 Scrip Code: FINCABLES

Dear Sir/Madam,
Sub: Transcript of the Analysts/Investors Meet held on 14
th February 2024 at 4.00 PM.

Ref: Regulation 30 read with Clause 15(a) of PART A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Dear Sir/Madam,

In continuation of our letter s dated 9
th February 2024 and 14th February 2024 and pursuant to above referred
Regulation, please find attached the Transcript of the Analyst/Investor Meet held on 14th February 2024, at 4.00 pm on Q 3 FY 2023 -24 Earn ings of the Company.

The transcript of recording can also be accessed on the Company's website .

Kindly take the same on record.

Thanking you,

Your s faithfully,

For FINOLEX CABLES LIMITED

Gayatri Kulkarni
Assistant Company Secretary
& Compliance Officer
Encl: As above

"Finolex Cables Limited
Q3 FY '24 Earnings Conference Call "
February 14, 2024

MANAGEMENT : MR. MAHESH VISWA NATHAN – CHIEF FINANCIAL OFFICER – FINOLEX CABLES LIMITED

MODERATOR : MS. MAMTA SAMAT – PERFECT RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '24 Earnings Conference Call of Finolex Cables Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is bein g recorded.
I now hand the conference over to Ms. Mamta Samat from Perfect Relations. Thank you, and over to you, ma'am.
Mamta Samat: Thank you, Saga r. Good evening, everyone, and thank you for joining us on Finolex Cables Limited Q3 FY '24 Earnings Conference Call. Today, we have with us the senior management represented by Mr. Mahesh Viswanathan, Chief Financial Officer.
Before we begin, I would like to say that some of the statements that will be made in today's discussion may be forward-looking i n nature. We will begin the call with the opening remarks from the management, after which we will have the forum open for the interactive Q&A session.
I will now request Mr. Mahesh Viswanathan for the opening remarks. Thank you, and over to you, sir.
Mah esh Viswanathan: Thank you, Mamta. Good evening, everyone. Thank you all for participating in today's call. Some brief remarks from my side. I'm sure all of you have already seen the numbers and you probably have some questions. But to recapitulate the num bers, our revenues for the quarter was about INR 1,222 crores, up from INR 1,187 crores. That's about 3% higher than the immediately preceding quarter and up from INR 1,150 crores, which was the revenue for the corresponding quarter of the last year. That's a bout 6% higher. On a 9-month basis, the revenue was INR3,613 crores, up from INR 3,256 crores, which is about 11% growth. Overall, it's -- within the segments, volume growth in electrical cable was about 8%. And the communication cables, which is the second largest group that we have, where the volume growth in the metal -based products were kind of flat, whereas there was a decrease in the optic fiber -based products. The reason for that was simply that the tender, which was expected from -- on BharatNet has still not been floated as yet. That tender is expected to consume approximately 24 million to 25 (inadvertently said 2.5) million kilometers of fiber over the course of its duration.
But the tender is expected to be floated now sometime in the next -- within the next week is what we hear now. So if you add another couple of months before the awards are issued, then the expectation is that revenue flow will start from at the earliest quarter 1 next year, at the latest, probably quarter 2 next year. That is when the revenue stream will start to flow. On the private telecom side, the 2 larger players, both Reliance and Bharti did not invest so much on the cable assets during the last quarter.
My understanding is that Reliance is focusing more on operationalizing the 5G rollouts that it had done. Whereas in the case of Bharti, they normally conduct reverse auction and they started the reverse auction process only towards November. They went through four rounds

and the last round was concluded last week. While we have positions, the contract is yet to be closed. So both private players, larger players in terms of procurement did very little in the last quarter. So these two were the basic reasons for a very low revenue in the communication cable segment so that will turn around in the coming quarters.
The other comments that I wanted to make was, yes, there was a slight slippage in the margin on the electrical cable side. We had been averaging aro und 14% over the past 2, 3 quarters. It dropped to 12 in the last quarter,

but that's primarily an issue of product mix rather than anything else. That should again change in the long term, and we should get back to the normal levels of 13.5%, 14% sooner t han later. Beyond this, there is nothing really much to comment on.
So I'll close my brief opening remarks now and then open up for questions. Thank you.
Moderator: Thank you very much. We will now begin the question-and -answer session . The first question is from the line of Shivam Mittal from Purnartha Investment Advisors Private Limited.
Shivam Mittal: Okay. Sir, in combination cable, like which product constitute what percentage of sales like how much optic fiber?
Mahesh Viswanathan: The optic fiber -based products would be around 2/3 of the total basket.
Shivam Mittal: How much, sir? Sorry?
Mahesh Viswanathan: 2/3.
Shivam Mittal: 2/3. All right. And what additional top line we expect like from buying capex ? And by when we will be able to achieve those to p lines?
Mahesh Viswanathan: That's what the capex that we have been -- we have talked about in the last couple of quarters, we expect demand to go up once the BharatNet are floated and announced. Secondly, as we've always been saying, the potential for de mand in our country is far higher than what it currently is. And as and when 5G applications, more of use cases get rolled out, the need for fiber deployment will increase.
And so we are actually -- the deployment of capital that we are doing today is pla nning for the future. And we do believe that our country has a potential to consume upwards of 50 million kilometers of fiber every year. China today consumes approximately 400 million kilometers of the year. So there is definitely a need for fiber deploym ent. But as use cases develop and as fund availability improves, I think that should happen.
Shivam Mittal: Sir, considering, e -beam project and preform and fiber capacity, how much like additional top line we are targeting?
Mahesh Viswanathan: We have alr eady made -- said those set those numbers in the earlier calls. So I can refer you to the previous minutes, that would be easier. I don't see -- as far as a need I don't think we have made any revisions to those numbers.

Shivam Mittal: All right. Sir, volu me growth has been like 8%. First quarter rose 30%, second quarter 10% and now 8%. So sir, any particular reason for that?
Mahesh Viswanathan: I think there was a little bit of catch -up in -- the 30% fact probably was catching up from earlier loads. I thin k a 2 -digit number should be sustainable, but not in their 20s and 30s. I think the mid -teens is what would be sustainable in the long run.
Shivam Mittal: All right. Sir, can you provide like region -wise volumes were like how much from East, North, which a rea contribute what percentage?
Mahesh Viswanathan: Typically are strength is largely -- there is the best in the South where close to 45% of our revenue comes from followed by the West, which is approximately 30%. North and East put together about the balance, 25%.
Shivam Mittal: Sir, in last call, like you mentioned, to remove our power cable revenue to compare our performance with peers. Like can you provide us about comparable revenue numbers because peers don't provide that.
Mahesh Viswanathan: I also have the same problem. I do know that they have -- some of them have extremely large power cable businesses. The power cable business, our estimate is approximately between INR23,000 crores, INR 25,000 crores in a year. And our exposure to that is approx imately INR150 crores, INR 180 crores. So we are a very, very small player there. So the -- it would help if the numbers are segregated, but then that is not what everybody discloses, there is no statutory requirement to do so, so nobody disclosures, except I think one company. So it's kind of difficult to compare that.

We can only make guestimates and I don't think that's the best way
to do something.
Shivam Mittal: All right. Sir, what is the capacity utilization currently going on?
Mahesh Viswanathan: Around 2/3, 65%, 66%.
Shivam Mittal: All right. Sir, we had like a consultant to work upon like inventory levels to improve working
capital efficiency. Any update on that?
Mahesh Viswanathan: That is -- it's an ongoing project, but then initial results have started to come in. So if you --
while the third quarter doesn't require the balance sheet numbers to be published, there have been promising results. Our inventory -- overall inventory from raw material all the way to
finished goods is now at about 1.5 months used to be 1.8, 1.9 months earlier on. And
obviously, the values have also declined in proportion.
The control of receivables continues were 14 days now against 15, 16 days earlier. So the work
that the consultants have done has definitely helped us, but it's been 6, 7 months since that
project has gone live. I think more results will come in as we progress in time as the software
revenues dive more self -learning. So it is able to adjust itself to situations on a dynamic basis.
So as it learns more, i t will be more efficient.
Shivam Mittal: Can you provide like a number of distributor account channel partners?

Mahesh Viswanathan: 700-plus numbers. Yes, that's 730 people I think.
Shivam Mittal: 730?
Mahesh Viswanathan: Yes.
Shivam Mittal: And the channel partners?
Mahesh Viswanathan: Channel partners, we have approximately 4,500 of them probably after that around 2,000 are
active. When I say active, they buy every month, some of them buy multiple times every
month. The others may not be buying in t hat periodicity.
Shivam Mittal: All right. Sir, any update on like pending litigation you want to use minority shareholders?
Mahesh Viswanathan: Well, I do not have any updates on that. Like I said in the previous call, the litigation is between two shareh olders. As and when we get updates, we would, of course -- wherever we
need to -- where the company is involved and needs to inform shareholders, we would put
them in the public domain. But otherwise, I don't have any update at this point in time. All
right.
Shivam Mittal: Sir, channel partner has not grown quite sort of long term 4,500, 5,000 kind of numbers we are seeing?
Mahesh Viswanathan: Yes, because what we said was while we will retain this channel partners we will grow into the
retail market throug h a distribution channel, which is why we started investing on the
distribution setup and appointment of distributors. So geographies where we were not present
earlier or we were not reaching because the channel partner was servicing them out of a shop,
we now have a distribution set up, which brings the material to the retailer's place. So the
strategy was clearly to grow rapidly through a distribution set up.
Moderator: The next question is from the line of Sonali Salgaonkar from Jefferies.
Sonali Salgaon kar: First question is regarding the volume in the electrical cables. Could you throw some color as to the segment -wise as in the end user segment wise volume growth, in particular, is any
segment decelerating that we have seen such deceleration in the vol umes quarter - on-quarter?
Mahesh Viswanathan: No really. I mean the growth has been fairly even across the board, as things -- segments that
have done much better than others have in the auto segment, not has grown considerably and
also the agricultural pi ece. Those have grown higher than the others, but there has been growth
in all the product offerings.
Sonali Salgaonkar: About the construction is the housing as construction going on as strong as we had seen in the
earlier quarters.
Mahesh Viswanathan: Not as strong, there is a slight dip compared to the earlier quarters,

but it is still more than
positive.

Sonali Salgaonkar: Understood. The second question is on the margins. You did talk about the reason why the
margins have come off a bit. But again, in the product mix, anything you would like to further
detail out as to why the margin slipped quarter -on-quarter? And where should we or rather
when should we expect normalization of margin?
Mahesh Viswanathan: Well, the proportion of auto cables to total ha s increased. So as you know, auto cable is a B2B
product. And with so little margins. So if that proportion goes up, then it obviously impacts the
overall numbers. As I mentioned, agricultural applications have also gone up but again, the

margins are not as lucrative as the standard construction wires.
That's the second part and within construction wire, we had more of project -related sales where the -- while there is a volume, the prices are when we are trying to sell larger volumes to the building community, we do get higher discounts. So those are the 3 major issues.
Sonali Salgaonkar: Understand. Sir, are they structurally shifting more towards auto/agri? Or can this be just...
Mahesh Viswanathan: No, no, it is have a structural shift to anything. The demand from these sectors were higher, and therefore, that's a reflection in the margin.
Sonali Salgaonkar: Understood. Sir, thirdly, on your capex and capacity. So could you help us understand of your cables and wires, how much is cable how much is wire? A nd do we -- I know you did say that our utilization is about 65%, 70%. But are there any pockets where you are facing capacity from steels or are we well off its capacity as of now?
Mahesh Viswanathan: On the wire and cables, there is -- at the moment, the re is no real issue on capacity. We will be able to service easily another 15% increase in volumes without -- there might be some balancing needs, but not in the initial 15% increase. But because we have been continuously over a period of time, adding wher ever balancing requirements are needed. We have been adding every year. So these numbers do not get reported separately because these are less than in a plant maybe INR 5 crores or INR 6 crores of additional equipment that improves the output there.
And tha t has been something that we've been doing every year. So I don't see an immediate need for additional expenditure on the wire side, except as we mentioned in the earlier call, auto cables, we are increasing capacity at the tranche sale seeing that we do p erceive a need for larger quantities up in and at from the vehicle manufacturers or the harness manufacturers.
And so we did announce an expansion out there. The order is in place. And the equipment is expected sometime around July, August this year.
Once that happens, then I think the auto cable needs for the time being is satisfied. On the other capex , those would primarily be around the fiber business. So on preform production, on additional capacity on fiber draw and end cable production. So as we mentioned earlier, in Phase I, we are setting up a preform plant, which will produce approximately 100 tons of preforms in a year, which translates to somewhere around 4.5 million to 5 million kilometers of fiber.

We currently have 4 million kilometers o f fiber draw capacity. We will expand back to 8 million over 2 years. And we have planned additional expansion of the cabling capacity to take care of the additional fiber as we come out. So these are the plans that are in place, of which if I talk about the preform part, the Phase 1 equipment will be arrived, the building construction should get over in the next month, 1.5 months, after which erection of the equipment would take less.
So we expect preform production to commence earliest around the end of second

quarter next
financial, latest in the beginning of third quarter next financial. The fiber draw powers, we expect that to be ready by the next financial year, that is '25 -'26. And as when the BharatNet tender is rolled out and then once we have an i dea of the volume that we are able to secure, the orders for the cabling equipment would be placed. The building is already ready , the cabling equipment awaiting all things. So that's the story on the fiber piece. On the other big part of capex is around e -beam and its connected components.
E-beam building is now ready, including the bunkers. The first set of equipment has left Korea last week. And we expect -- sorry, it is expected around the 16 to 17 of this month and then commissioning will start hopefu lly by end of February or earliest by early
March. We expect that to start production sometime in quarter 1 next year. That's the first piece of equipment. The second delivery of equipment is expected to arrive in May this year, followed by installation a nd commissioning maybe 2 months thereafter.
As we mentioned in the last call, the e-beam process will require different insulation compounds, and we're already working on setting up a compounding plant for making that insulation material. And that should be ready by end of this year. Until then, of course, we will buy out that compound from third sources. But once we have our own plant, then that will be value accretive. So that's on the e- beam piece. I already talked to you about the auto cable
expansion in Roorkee.
The last piece is that for our Goa plant, we currently sent the insulation compound here from Pune. But as volumes have grown, we are now putting up a compounding plant in Goa to meet
its own needs. The paperwork around getting permissions fr om the various authorities is underway. We expect those to be closed by -- before the end of this fiscal. Once that happens, then construction and equipment ordering commissioning should table for us. So that's the

whole piece on capex for the moment.
Sonali Salgaonkar: Thank you for a very detailed answer. Very helpful. So your overall mix, how much is cable and how much is wires?
Mahesh Viswanathan: So like I said, our annual cable business is approximately INR 150 crores, INR 180 crores. So out of -- let's say, last year, we did INR 3,700 crores of wires and cables, there was I think INR150 crores cables. I don't think that proportion has changed substantially in the current year.
Sonali Salgaonkar: More towards cables, you say?

Mahesh Viswanathan: No, l ess towards cables. I mean, about the same towards cables, more towards wires.
Sonali Salgaonkar: Got it. Sir, last question from my side. Any notable pricing actions we have seen in the last quarter going forward?
Mahesh Viswanathan: We had -- if you reme mber, copper prices during quarter 2 were averaging around $8,400, $8,500 a ton . October, they dropped $7,200, $7,300 levels also. So in October, we took a price drop of about 3%, 3.5%, I think and then again in December by -- the curve went back up to $8,400, $8,500. So we had to take another correction but this time upward correction in December of around 2.5% I think. So that's -- those are the 2 actions that we took on place.
Sonali Salgaonkar: Understand. Sir, optic pricing globally. Is that now stabilized?
Mahesh Viswanathan: I'm sorry?
Sonali Salgaonkar: Optic, optic fiber pricing globally.
Mahesh Viswanathan: Has been low, has continued to be low until about a month ago. I think over the last 1 month, we are seeing the basis of somewhere around INR 270 per kilometer for the standard fiber to INR270 to INR 275 has been the range. It's a substantial drop from INR 350, which used to be there about 1 year, 1.5 years ago. But I think it's been stable there for some time.
Moderator: The next question is from the l

ine of Praveen Sahay from Prabhudas Lilladher.
Praveen Sahay: So just to continue the last question, on the optical fiber. The prices, definitely on the Y -o-Y side, has been down by more than 20%. So is it fair to assume that especially in your commun ication cable where the revenue has been down by 11%. How much is the volume? Is it a positive volume you have?
Mahesh Viswanathan: No, there has been a volume drop. The volume drop has been almost 20%. Yes, I mentioned to you that there has been no government business, absolutely no government business during the 9 months except for one small tender of, I think 10,000 or 15,000 kilometers. There has been no tender from the government. And Reliance has been buying, but they have been buying small fiber coun t cables to complete their 5G rollouts.
None of the large fiber in cables, so further convention has been low. And like I mentioned, Bharti, normally, they have a yearly contract and that process starts around September, August, September. This time it ha s been delayed, it started around October, still hasn't been finalized. We've gone through 4 rounds of reverse auctions, and we believe we have a position, but the contract is to be fined sharply. So not much of uptick from them as well. So deployment has been more around O&M maintenance. And very few large- scale rollouts.
Praveen Sahay: Okay. And any clarity from the government this project side that become come part of BharatNet project.

Mahesh Viswanathan: Yes, okay. So there was -- there were meetings with multiple stakeholders. The community of telecom operators or the service providers and so on. We have seen a draft of the tender that is likely to be floated. We are hearing that the tender is likely to be floated anytime now. So even this morning, t here was one reason news that I got, which said that we should see the tender being posted online either tonight or tomorrow.
A little later, somebody else came and said no, it may not be as early as today, tomorrow, but maybe within the next one week.
So all I can feel is that it is imminent. But knowing the normal process of submissions or even prior to submissions, people might have questions which they require clarifications on. And then the submission process, the evaluation process and finally the a ward, minimum of 2 to 3 months would go in that process.
So earliest I see awards being issued would be some time -- if all go quickly as the time line then towards the end of quarter 1 or mainly into quarter 2. And then it is a 3-year program, so.

Pravee n Sahay: Yes. So that is a 3 -year program, and that expectation is from Q1 or Q2 revenue to start flowing.
Mahesh Viswanathan: Yes. So if everything goes on time lines, then yes, from Q2 would be a better guestimate.
Praveen Sahay: Okay. Okay. And any color on the quantum like how big?
Mahesh Viswanathan: I think from what numbers that we see, it's over 9 -- sorry, -- there are only 16 or 18 packages, I think divided into large and smaller packages. Total consumption -- total requirement is about 650,000 ki lometers of cables of various sizes and the estimated fiber consumption on this project is likely to be around 25 (inadvertently said 2.5) million kilometers. Also add to this, you would have electronics, the EPCPs and the whole lot. So it's a fairly big t ender.
Praveen Sahay: Okay. Sir, second question is related to the electrical side, electrical cable side. And you had also mentioned in the call that the slight dip in the construction activity. So how you are seeing the way forward? Like is that the cons truction activity started softening and especially the volume growth acceleration we will see in the downward trend the way forward, how you are seeing this segment to deliver?
Mahesh Viswanathan: I didn't say that construction has slowed down. I said that in p

roportion in this quarter, we have sold more of automobile wires and agricultural wires than construction wires. And I also said that in proportion to the first quarter number, the construction wire number is slightly lower. Those are the statements I made. Construction activity visibly has gone up. But then as you know, ours is a product which comes towards the tail end of a project's conclusion. So the structure gets finished first, while the internal gets finished later on.
So I do hope that the momentum continues and demand shows up in the coming quarters. That's one. Second piece that I also said that was that within construction wire, we have sold more to projects than to the retail. So that is an indicator that actually projects business is

continuing and doing fairly well. So I think that part it's just one of those quarters where there is a small dip, but I think it is not something to read as a sign.
Praveen Sahay: Okay. So just a continuation in this, definitely, you had done better in the project and the retail somewhere in the -- so is that something you are seeing that the retail softness is there? Or is it just on a quarter …
Mahesh Viswanathan: No, I don't believe there is time to be read as a major indicator. It could be one of the smal l glimpse. And one has to watch and see at least 2 quarters before 1 decides this is the way that is.
Praveen Sahay: Okay. Okay. And any differentiation in terms of the margin profile in the project and the retail? Is it the same?
Mahesh Viswanathan: There would be. Because it's a good -- you and I go buy a box of wire from the retail shop. Invariably, he's going to charge us MRP minus maybe a small discount for our safe. But -- when -- because we are going to buy one box or maybe at the most 2 boxes. But a t the construction side, the builder is buying thousands of boxes. So he does command a better price part and the discounts are definitely higher out there.
And so if you have rate contracts with billers, then we ask is a little bit even more because then your business volume is kind of a known upfront. So you don't have to spend time for the money on other acquisitions. So that much money you save, but then you also your discount.
Moderator: The next question is from the line of Arkopratim Pal from Sanjay Agarwal Broking.
Arkopratim Pal : Okay. Most of my questions are already taken. So thank you for these details. One question I would like to ask that your operating margin is now around 12%, which is quite impressive.
Could you please elaborate on any potential changes in OPM that might be anticipated for this current quarter?
Mahesh Viswanathan: Could I please explain on changes where?
Arkopratim Pal : Changes in OPM, operating margin that might be anticipated for the current quarter?
Mahesh Viswanathan: I think we are a fairly tight ship. We have increased our ad expenditure over the last 2, 3 quarters. So that is something that would definitely be higher in this quarter than earlier quarters. But then the expectation also is that the volume increase and th e consequent revenue increase would compensate for the changes in these expenditures. I do not expect any major changes to the profile.
Arkopratim Pal : And one more thing I would like to ask that is, what is your expectation about the demand scenario of th e current and coming quarters compared to the last quarter?
Mahesh Viswanathan: So we are largely -- if you look at our products sales profiles it is largely construction, real estate related. So as long as there are no sudden changes to the external envir onment, by external environment, I mean economic, political both as long as there are no sudden changes

to those, I think there should be a fairly decent momentum to continue on the growth path.
That's

about as specific as I can be at this point in time.
Moderator: The next question is from the line of Mustafa from Cycas Investment Advisors.
Mustafa : Some of the questions have already been answered. I just wanted to get some clarification on
the demand environment, which is the sector mix in the company's r evenue?
Mahesh Viswanathan: Which is a sector mix?
Mustafa: Yes. S ector mix in the company's revenue.
Mahesh Viswanathan: So if I look at electrical cables, a substantial portion of that will go into construction, about
60%, 65%. About 10% to 12% automobil e, 10% to 12% agricultural applications. The
remaining would go to industrial applications.
Mustafa: That's nice. And I have one more question. Can you comment on the competitive environment on the both segments like wire and cable hose and the FMEG segmen t?
Mahesh Viswanathan: Okay. Wire and cable, like I mentioned earlier both are fairly about the same size as far as
market goes between INR 20,000 crores INR 23,000 crores, INR 25,000 crores each. We are
largely present in the wire side and less so on the cab le side. Because the cable part of it, the
exposure is mainly to distribution and utilities and knowing the current and also the past
financial strength of most of the distribution in duties, we are being -- we've been staying away
from that part of the business.
On the wire side, we are fairly strong. We are more or less well represented in almost all over
the country. Of course, our strength lies in the West and the South, but we are also increasing our reach in the North and the East. In terms of compet itiveness, there are a few large players
in the market. Competition is fairly intense.
Some of them do report to price -based competition, but I think price -based competition in the
long run is not something that is sustainable. We can gain a little bit of market share by
dropping prices, but then you have to cover your costs at some point in time. So I think it's not
a sustainable model to keep dropping prices to gather a larger market share.
But yes, the competition is fairly intense. Like I said, we are very strong in the South and the
West, but there are other players who are stronger in the North or some of them in the rest as
well. So what else do you want me to say , I'm running out of words here.
Mustafa: Yes. It's related to FMEG segment?
Mahesh Viswanathan: Okay. FMEG, we are a much smaller player. I think we have seen light volumes improving, we have seen volumes improving in switches and the switchgear business. But then there is
fairly large price erosion in all these 3 segments.
Fans, we've had a tough time in the last 1, 2 quarters. I think we are improving our product
profile there. And with the help of a better distribution now, I think we should start to see

better results going forward. That is the -- as much as you have wire manufacturers getting into
appliances, we also have appliance manufacturers getting into wires.
So the competition is intense. But eventually, in the longer period, service levels, product
quality and, of course, product availability and pricing will all matter will decide who matters at the end. And there, I think the brand of the company will keep us ahead in the future.
Moderator: The next question is from the line of Mukesh Patil, who is an individual investor.
Mukesh Patil : Just want to know what kind of margins you are making on cable business and wire business?
Mahesh Viswanathan: So cable and wire, the blended margin is about 12%. That is what -- that we are in the segment results. As I mentioned, cable, we are a very small player. So we are extremely selective out there. And although the total, let's say, last year, we sold INR 3,700 crores worth of cables and
wires, out of which cable was INR 150 crores. So a higher number there or a lower number
there doesn

't really impact the overall vision of the business.
But typically, we have been average is around 13.5% to 14% in the segment. And if you look
back in the history, higher margins have always been one of the highest in the business -- in
the industry. And our aim is to keep it there.
Moderator: The next question is from the line of Manoj Gori from Equirus Securities.
Manoj Gori: Sir, like sometime back you already mentioned about the construction activity looks
promising. So what we get is from the ground check is like probably in FY '25 somewhere
around first quarter, second quarter, we might see many projects nearing the completion stage.
And it should lead to strong volumes for wires especially, which has relatively underperformed versus cables, and we have

relatively wire-heavy business.
So how do you see probably from FY '25 point of view not on the guidance side, but at least on the industry side, probably mid-teens or even higher than that volume can be anticipated for the year, given that this year, the base also for the industry would be re latively on the lower side.
Mahesh Viswanathan: I think that is what I mentioned a few minutes ago when one of the other participants asked the question. What would be the volume increase, you are at 8% or 9% now. So how do you look at it? I think the mid -teens -- mid-teens is something that is possible to achieve and would be a sustainable number, I think. Provided, of course, there are no drastic changes in the economic or political scenarios going forward.
Manoj Gori: But depending on the current visibil ity, probably for FY '25, we are confident of industry doing this 15% kind of growth in wire segment.
Mahesh Viswanathan: I think so. I think so because all the components, whether it is construction or automotive or industrial growth. All of them are head ed for a growth scenario. I think we should also -- we should also plan for similar numbers.

Manoj Gori: Great, sir. Secondly, if we look at the current quarter performance for probably for the last couple of quarters, when we look at the other listed play ers, especially the commentary on the wires growth somewhere we do see that Finolex Cables is underperforming. So what are the reasons that you would attribute and have you seen any significant market share losses into South and West market?
Mahesh Viswana than: There have been occasions when well, then price has played a part. But like I said, this is not something that is going to be sustainable in the long run. So how much do you drop price, you have to recover your cost at some point in time and gaining top line for the sake of gaining top line is not going to add enough.
So yes, there have been some instances and we have seen that. But I think largely, our share has been in the ballpark of 23%, 24% within the wires space. Yes, it is lower than what it used to be 20 years ago, but that is expected given that more players have come into the market.
Manoj Gori: Right, sir. Sir, lastly, if you look at -- I just wanted to get some clarity. So from the promoter side, today, if you look at who is probably looki ng after the day to day operations, can you throw some light over there?
Mahesh Viswanathan: I mean at the moment, there is nobody.
Manoj Gori: Okay. Okay. So currently, if you look at both the promoters, probably nobody has any active role in the -- proba bly on the business side. Is that correct?
Mahesh Viswanathan: Yes, that's correct.
Moderator: Our next question is from the line of Shivam Mittal from Purnartha Investment Advisors Private Limited.
Shivam Mittal: Sir, what is the advertisement spend we ar e currently for 2025?
Mahesh Viswanathan: All told, you know, ad plus additional support to marketing all told will be somewhere on INR50 crores to INR 70 crores.
Shivam Mittal: INR50 crores to INR 70 crores?
M

ahesh Viswanathan: Yes. I think we will be somew here around INR 50 crores.
Shivam Mittal: INR50 crores?
Mahesh Viswanathan: Yes.
Moderator: The next question is from the line of Mukesh Patil, who is an individual investor.
Mukesh Patil : Just one for clarity. Sir, as you have said, in global market, the prices of OFCs are coming down, and still, we are increasing our capacity in optical fibers. So how do we going about this business? And what kind of margins we can expect from this business in medium to long term?

Mahesh Viswanathan: Okay. And there are c ycles which happen in every business and so there is an investment cycle when people are investing and then it stabilizes and then at that point in time, probably the demand cater down a little bit. Today's price situation is more to do with -- more to do with the economic cycle slowing down a little bit in China and investments coming down a little bit in China.
But I don't think that is something that we will expect to continue for years together in the future. They have shown year -on-year growth for the past 15 years, at least from a consumption level of about 90 million kilometers to currently 400 million kilometers every year. But then over a period of time, they have also grew capacities and when they cancel out a

couple of tenders in that material becomes available globally and results in a drop in price.
These would be hopefully temporary phenomena. At the same time, like I mentioned earlier,
our consumption -- India's consumption today of fiber is in the 20 million kilometers range.
Our revenue con sumption is much, much, much higher. We should be at least 50 million, 60
million kilometers at this point in time. But for certain issues around funding those projects.
So I think that will happen sooner than later. And whenever that happens, then needs to be prepared with the capacity to be able to handle it because these are time-consuming projects.
It's not easy to put up a preform project in quick time. It requires a year, 1.5 years to
materialize. So we are getting ready ahead of the curve. That's fo r sure. But at the same time,
we also have some visibility to the kind of projects which the governments want to bring to the country. So one is the BharatNet connectivity.
There are other proposals in hand to deploy fiber on large -scale for multiple purp oses. And I
think all that will result in demand growing to higher than 35 million, 40 million and eventually to the 50 million range. So I think, yes, the time lines may not be -- may not
sometimes exactly coincide with our plans. But eventually, that need is definitely there.
Mukesh Patil : And some margins, what kind of margins we can generate from?
Mahesh Viswanathan: Okay. So since we are trying to backward integrate as well, today, what we are doing is we do not make reforms. We have to buy them from t he market. And therefore, we are dependent on
certain suppliers for that product. So if we gain more control at the back end of the process, we
believe that it will add to the margins. So when the plant is operating at, let's say, 70%, 75% of
capacity, all from start to end, the margin should be in the double digits.
Mukesh Patil : Okay. And imported cables from China, specifically OFCs compared to domestic mix. What is
the price difference? Is it positive or negative?
Mahesh Viswanathan: No, sorry, I didn't get your question. Imported what?
Mukesh Patil : Imported optical fiber cables from China vis -a-vis the domestic make optical fiber cables, the
price difference, how much it is?
Mahesh Viswanathan: So see, today, cables are not imported from China, but fiber is imported from China. And there
is -- after a lot of representation, the government has brought in antidumping duties. But then

the eff

ective landing price has dropped to somewhere around INR 270 per kilometer. So that's
why the prices have dropped to at this point in time. And this is for the standard fiber, there are
multiple configurations of fiber where the properties are different and those would be higher,
much higher than that.
Moderator: The last question is from the line of Hitesh Advani , an individual investor.
Hitesh Advani : So I just wanted to ask what is, say, your guidance over the growth of different segments that our company is working on like FMEG or electrical housing wires like the demand is -- like a
few of our competitors are saying that the demand is around -- the growth is around 20% to
25% in electrical wire cables. So what is your view on that?
Mahesh Viswanathan: I think we spoke about it a little bit in this call as well, we are more skewed to the wire portion
of the business ra ther than the cable portion. And in the last one year, cables have done very,
very well. Probably an indication of how much infra is getting developers in the country. On
the wires side, yes, there is growth, but I -- like an earlier caller asked I think w e would see
higher levels of growth when the current investment in construction nears its end of completion.
So wires come on the tail end of the construction part. So the growth visibility would be more
towards the end of their cycles. And somebody asked the question, would I see a higher
volume growth in FY '25 and I said yes. So that's probably how I would see it.
Moderator: Ladies and gentlemen, thank you for joining Q3 and FY '24 Earnings Conference Call of
Finolex Cables Limited. We conclude today's conference call. Thank you for joining us, and you may now disconnect your lines.
Mahesh Viswanathan: Thank you so much.

Call: May 2024

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FCL:SEC:SE :24:49 30th May 2024

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Sub: Transcript of the Analysts/Investors Meet held on 27th May 2024 at 4.00 PM.

Ref: Regulation 30 read with Clause 15(a) of PART A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir/Madam,

In continuation of our letter dated 22nd May, 2024 and pursuant to the above referred Regulation, please find attached the Transcript of the Analyst/Investor Meet held on 27th May 2024 at 4.00 pm on the quarter and Financial Year ended on 31st March 2024 Earnings of the Company .

The transcript of recording can also be accessed on the Company's website .

Kindly take the same on record.
Thanking you,

Yours faithfully,
For FINOLEX CABLES LIMITED

Siddhesh Mandke
Company Secretary
& General Manager (Legal)

Encl .: As above

"Finolex Cables Limited
Q4 FY '24 Earnings Conference Call"
May 27, 2024

MANAGEMENT : M R. MAHESH VISWANATHAN – DEPUTY CHIEF EXECUTIVE OFFICER AND CHIEF FINANCIAL OFFICER
– FINOLEX CABLES LIMITED

MODERATOR : M S. MAMTA SAMAT – PERFECT RELATIONS PVT. LTD.

Moderator: Ladies and gentlemen, good day, and welcome to the Finolex Cables Limited Q4 FY '24 Earnings Conference Call. As a reminder, all part icipant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Mamta Samat. Thank you, and over to you, ma'am.

Mamta Samat: Thank you, Seema. Good evening, everyone, and thanks for joining us on Finolex Cables Limited Q4 FY '24 Earnings Conference Call. Today, we have with us the senior management represented by Mr. Mahesh Viswanathan, Deputy CEO and Chief Financial Officer.

Before we begin, I would like to say that some of the statements that will be made in today's discussion may be forward-looking in nature. It is subject to unfortunate risks and uncertainties and the actual results could materially differ. We will begin the call with the opening remarks from the management, after which we will have the forum open for the interactive Q&A session.

I will now request Mr. Mahesh Viswanathan for the opening remarks. Thank you, and over to you, sir.

Mahesh Viswanathan: Thank you, Mamta. Good evening, everybody. Welcome to this Earnings Call of Finolex Cables. Thank you very much for joining us today. I'd be very brief with my opening remarks, the fourth quarter as well as the full year went rather well for us. We posted a 15% increase in revenues in the quarter, in the year a 12% increase. And for the first time, we crossed INR5,000 crores revenue, I think that will be a line mark for us now.

In terms of volumes, practically all product lines showed an increase in volumes. In the fourth quarter Electrical Wires was up 15%. Cables improved 50%, while we do have a very low base 50% was still impressive. Communications, the metal-based cables all reported on average growth of about 14%. Optic fiber is slightly lowe r in the quarter in the year of course it is a slightly different story I'll come to the year again.

All new products are within the FMEG offerings, so the appliances, conduits, lights, all of them showed a fairly good volume growth both in the year as well as in the quarter. Full year, like I mentioned earlier, value-wise, we had a revenue growth of about 12%. And while commodity prices continue to remain volatile. We had to make price adjustments on our selling side as and when we target was appropriate by quantities we thought it was appropriate.

For the full year volume in wires grew about 15%, in cables about 26%. OFC was the only category where the volumes are lower for the full year by a fairly large number 30%. But then the year also was witnessed to no tenders floating by the government as well as delays in contracts -- contract closing with the telecom companies. We did close some contracts in February and March. So there was some volume coming in towards the latter half of the year. But during the year, of course, that business is impacted. We still remain optimistic on the optic fiber cable side, as we continue our investment there. And we still believe that as a

country our current demand is far, far below its potential. The new product segments crossed INR200 crores for the first time. We ended the year with INR225 crores. And I think we are on track to reach the INR500 crores over the next 2 to 3 years.

In terms of profits for the quarter, INR196 crores, which was a 13% improvement. And for the full year, of INR753 crores, which was a 17% improvement from the earlier year. Similar improvements were also there in the PAT levels.

The other features during the -- operations duri ng the year is we had a very stro

ng cash flow this year. Our management of working capital was fairly tight. We ended the year with 11 days of receivables and about 46 days of inventories. I think that's by far the best among the peers that we have. Cash flow generated from operations was about INR575 crores, higher than the INR380 crores, around INR380 that we achieved last year.

Our expansion programs are going on track. We have three major expansion items. The first one was the E-beam, which has been delayed for a long time now. I'm happy to say that the first machine has been installed and is current ly being tested before commissioning. The

suppliers, engineers are currently working on the final testing, post which we will have to call the people from the ARC to give us a certification to plant. So that's one machine from -- on
the E-beam side. So our -- I hope that we will have products avai lable in the market in the next
6 to 8 weeks.
The second machine is likely to be received here sometime next month, around the second
week or third week of June. By then, the first machine would have been fully commissioned
and then they will start working on a second machine. So by August, September, this project in
-- products from these machines will be available to the market.
The second large trend that we had as earmarke d for the fiber and cabling of fiber side. There
are three parts to it. The first part is the Prefor m facility. The structure for the facility is more
or less ready, currently, the HVAC related items are ongoing. Once that is done, the equipment
has been received with the inside that will be then taken inside for installation. So we still hope, and we believe that we will be ready for production some time towards the end of this
calendar year. Our hope is that by end of December, we should have the first Preform out of this facility.
The second part of this program was on increasing the fiber assets. Currently, we have fiber
capacity of -- fiber ground capacity about 4 million kilometres. We will double this to 8
million in two steps. And then -- so preparations are on for making that happen. Right now, the
concentration is on getting the Preform facility up and running, we will take more efforts under
the fiber side once that is done.
The last part is on the cablin g side. We currently have a cap acity to cable about 8 million
kilometres of fiber, we will take this up to 10 million. And the building for that is already
ready. We have not populated it with machines so far, but that is a 6- to 8-month later. We
were listing for the demand side to pick up a little. And in February, when BSNL announced

its tender for the third phase of BharatNet that will provide us an opportunity to utilize our
capacity.
The tender was floated in March. It is expected to -- it was scheduled to close -- open rather
first week of next month. All indications are th at it will get pushed ba ck by about a month or
so. So by current indications, we expect this will flow in sometime around September, October
this year. We hope to get so me positions in the tender.
This tender will involv e on the fiber side, consumption of anywhere between 16 million to 20
million kilometres of fiber. The final length will become, of course, on the actual distance that
needs to be covered between various ramp on chart on the BSNL bench. But the estimate is
somewhere around 15 million to 18 million kilome tres. So that will be the consumption over
the next 3 years. This is the centrally sponsored program.
Besides this, there are also expectations that some of the states, which were not part of this
program will come in from their Phase 3. And we expect a similar or probably higher demand from those states as well. So we believe and as we said in the past we belie ve that there is quite
some gap between the demand potential and the actual demand that has been showing up year af

ter year.
A company like ours should be capable of consuming somewhere around 60 million to 70
million kilometres in fiber, wh ereas our current dimension is about 20 million kilometre, 22
million kilometre, somewhere around that. So there is a large target, there's huge potential, and
we're basically getting ready for that.
The last part of the capitalization program, last major part was expansion of the auto-cable
capacity at our Uttaranchal site. How does it have been placed? We expect the equipment to
come in the third quarter of this year. So hopefully, from fourth quarter onwards, that capacity
will also be available. We do see a need to add more capacity there. There is a fairly large auto manufacturing environment in Delhi NCR and regulatory areas. So this facility would cater the
need from there.
With this, I think I've covered whatever I wanted to say at the beginning. One last point was
that at the meeting of the Board on 23rd, the Board has recommended a dividend of 400%, which translates to a payout of about 21.5%.
So that's it for the introduction. So now I'm happy to answer questions.
Moderator: Thank you very much. We will no w begin with the question-and- answer session. We take the
first question from the line of Achal Loha de from JM Financial. Please go ahead.
Achal Lohade: Sir, if you could help us with the capacity utili zation. If you could quanti fy what is the capacity
and the utilization for these segments, for wires, cables and OFC?
Mahesh Viswanathan: Currently, on wires, across various product lines, we are around 70%, 72%, cable to be lower.
We have much more capacity than we are currently consuming. It's less than half.

On OFC, like I mentioned, -- during the year, there was not much of a demand from the
government side. So the capacities were ideal for some time. Currently, of course, we are somewhere around half utilizing, about half So th ere is spare capacity at the moment to take
care of any needs from the bid tenders at the moment. And we are building more for the future.
So as the years go by, we shoul d be able to utilize those.
Achal Lohade: Got it. And sir, if you could quantify the capacity addition, what kind of capacity addition are
we looking at in wires, in percentage terms?
Mahesh Viswanathan: So typically, we start planning for additions once we crossed the 75 mark. So we are nearly there, so we should start looking at additions. So there are some plans, but again they're too
early to talk about at this point.
Achal Lohade: Understood. And is it possible to know how much of our wires, like the -- if you could classify
in terms of less than 1.1 kV or in that sense, what would be that mix? Like we will be more
low-voltage wires absolutely right? I mean more of...
Mahesh Viswanathan: Our revenue comes broadly from wires, so not th e same part. Wires account for -- within the electrical cable segment, wires is -- electrical cable segment is about INR4,200 crores, out of which about INR200 crores is cable and the rest is wires, various kinds of wires.
Achal Lohade: Okay. Understood. And if you see from, let's say, a four, five-year perspective, would we have
gained market share in wires, we would have just maintained or is there any market share loss
we have seen?
Mahesh Viswanathan: I don't believe we've lost share. We have not gained too much as well, but we think we have
been steady.
Achal Lohade: Understood. And sorry, I missed that part on the FMEG, the new product part. You said
INR225 crores revenue for the current year FY'24. But there was something you mentioned for current coming year or medium target. Any colour on that? What kind of aspirations we have?
Mahesh Viswanathan: Yes, we have set out our aspirations I think some time back. We talked ab out this in one of our earlier calls. We said we would like to -- our fi rst test to cross would be the 500 number and
that

we were expecting to cross in the next two to three years.
Achal Lohade: Understood. And any expectation, any guidance in terms of the growth for coming years? OFC
part, you kind of covered a bit, but what about the cables and wires?
Mahesh Viswanathan: Okay. Typically, I have not given a guidance in terms of numbers. But the direction what we
would like to see is a growth which is 2x the nominal GDP.
Achal Lohade: Nominal GDP growth. Okay. Understood. That's very helpful, sir. I'll fall back in the queue.
Thank you.
Moderator: The next question is from the line of Manoj Gori from Equirus Securities. Please go ahead.

Manoj Gori: So my question here is, so you gave some outlook on the demand and buyer side. Can you
throw some light, probably, from sector pieces like construction-led demand activity, autos,
pharma, refinery, or [ITP 0:17:54]. So, can you give some commentary in detail on the demand
side?
Mahesh Viswanathan: Sure. I think construction activity has been fairly strong over the last few quarters. And part of
-- I mean, and part of the result is that you see our growth on wires at 15% odd. So that has been a driver for us. The second area where we focused and where it has helped us also has
been automobiles, where again there has been fairly positive growth.
Agricultural applications this year have bounced back to what it used to be. We used to be one
of the largest companies on the agricultural application side. And two years ago we had dropped down a little bit. I th ink we've caught up and grown th ere. And that is one product
group where I believe that we have gained some share. Quantifying that number is slightly
difficult, but I do believe that we have gained so me share over there. That's on the electrical
wire side.
As I mentioned earlier, on the power cable side , from where you will get into refineries, from
where you will get into steel and so on, our presence in that, our distribution and transmission,
our presence in that area is rather small. Out of a very large market of about INR25,000-odd crores, we get a revenue of about 200 plus. So there is nothing much that I can specifically talk
about there. But I think this gives you a flavour of where we'll...
Manoj Gori: Yes. So is this understanding correct that prob ably on the electrical cable site, ETS segment,
we should expect similar kind of growth momentum to continue during FY'25?
Mahesh Viswanathan: I think yes. I think construction, infrastructure building, if '23-'24 is a trend line to go by, I
think there is definitely more to come in the coming years. If everything is normal post June 4

again, I don't see why that growth momentum that is there today cannot be.
Manoj Gori: Sir, second, on the pricing trends, so obviously the LME prices have shot up significantly,
especially during April and May. So have we been able to, or probably here I would refer it to you as well as of the industry side, have we been able to pass on the entire impact and
probably we should see normalized quarter with normal profitability during Q1 and coming quarter?
Mahesh Viswanathan: We've had quite a volatile period during the year. There have been times when LME had
dropped. And then, of course, last 3 months, 4 months the LME has been consistently climbing
up. We have taken actions as and when demanded and our effort always has been to pass on the changes either way whether it is going up or going down.
There would be a small lag when it is going on and there would be a small pull when it is
going down, but effectively, yes, that's what we do. So the last price change that we announced
was actually effective today. So we have been taking -- making price changes as and when it is
necessary. Margins -- with the kind of changes that have happened in the last 4 months our margins might take until the coming quarter to reve rt to normalcy, but I th ink it's closed by. I

t
is not very far.

Manoj Gori: Right so somewhere we can deliver roughly around 12% to 13% [inaudible 22:30] that we
have been doing for the last 2 years, 3 years?
Mahesh Viswanathan: Yes, I think so. 12%, 13% should be doable.
Manoj Gori: Right, sir. And sir with communication cables esp ecially when you look at -- so for the last 4
years, 5 years the margins have been quite volatile , and demand has also been very volatile.
How should we look at from the profitability point of view?
Mahesh Viswanathan: At the moment the profitability does get hit if the utilization and capacity is low. And like you
said the demand has been fluctuating quite a bit. As I mentioned in my earlier remarks the
potential to consume is fairly high, actual consumption is substantially low. And part of the
reason is who is going to fund this yet. Government is a large tender in this area, but if they delay is spending or push the spending back by half a year then we do get these kind of
abnormalities.
But we do see that the intent is to digitize th e economy, the intent is to make sure that
everybody is connected in some way or the other. And the intent is also to make sure that
wherever you are whether how far from you are the technology should reach you in terms of connectivity. So with those plans in place and I think more importantly with budget allocations
having been proposed on May it's only a question of -- is it this year or the next year. There is no question of whether it will happen, is it the question is only when will it happen.
So I think that is a positive sign and what we have tried to do is to see how can we capture that
demand, our rightful share of the demand and how can we provide a full service. So that is
why we are integrating ourselves backwards into making three funds expanding on the fiber side so that we can also keep our costs within contro l and thus we remain competitive.
Manoj Gori: Sir, lastly if you can highlight what has been the quantum of price hike that we have taken
during March, April and May?
Mahesh Viswanathan: I'm sorry?
Manoj Gori: What would be the quantum of price increases that we would have taken in the electrical cable
segment during March, April and May month?
Mahesh Viswanathan: I think it will totalled to about 10%, 11%.
Manoj Gori: Thank you sir and wish you all the best.
Mahesh Viswanathan: Thank you so much.
Moderator: Thank you. The next question is from the line of Anirudh Agarwal from Valuequest
Investment Advisors. Please go ahead.
Anirudh Agarwal: Congratulations on great performance. My first question was on the E-beam cable capex that
we've undertaken. So basically the point is that from the capex what is the peak top line
potential that you're expecting and how much time do you expect to scale up this segment in

terms of good product certification approval that you might require as well as from a sales
perspective?
Mahesh Viswanathan: Okay. So we expect the -- we're putting in two accelerators. One which will one beam at 1.5
MeV and the other one at 1 MeV. The first one that is going online would be the 1.5. So this will handle the larger sized cables. So applications for the solar industry, those could start off

immediately. Further applications would be in instrumentation in railways, in auto where higher temperature resistance is getting -- is coming into play. So all this is possible. So I think
in a year when -- in a full year the potential could be as high as INR500 crores to INR600
crores. So that's probably the potential that we are working on.
Anirudh Agarwal: Understood. So this -- could we expect FY '26 could be that your revenue achieved closer to
full potential, if not full potential given the kind of demand that we've been seeing for your
fares also across these product lines?
Mahesh Viswanathan: C

ould be. It depends only on -- you talked about the certification parts. So -- and when it
comes to instrumentation railways you do know, you do need to get to clearing from the
railway authorities, from RDSO in fact. So that offhand, I don't remember how long it takes for
that, barring that, I think everything else should be okay.
Anirudh Agarwal: Understood. And my second question was on the EHV cables JV that we have. So, if you can
update on the order book of that segment now? And how do you see that scaling up going
ahead? Because even in EHV, some of your peer s have been reporting very strong growth and
full order books, etc, so, how are we placed there?
Mahesh Viswanathan: Okay. The order book for the JV is very promising at this point in time. So, we have confirmed
orders of close to INR280 crores at the beginning of April. Besides the confirmed orders, there
are also orders worth about INR190-odd crores, where we are L1, but because of the code of
conduct, which was announced, the power contract has not yet been signed. We are waiting for periods 4th of June, for that process to happen.
So, we're starting off the year in a fairly happ y environment. The issue is not so much about
making the cables available. The issue there is mo re to do with executio n of projects where,
typically, you get in to issue around right of wa y, around the routes that are finally approved
by various authorities that are required to sign up. So, if you are talking of, let's say, some city
like Chennai or Pune even mul tiple authorities get involved in the approval of laying process.
So, you have the utility sa les, you've got the police, we have got the -- so a municipality and
God forbid if it goes through or under the railway line th en you get the railwa ys involved or if
it goes near a cantonment, then you got th e military authorities involved. So, getting
permissions from them and then starting the co nsulting working with is the one that we are
facing challenges on.
So, that's an experience that we have gained from. And I'm sure that every year, we are doing
better than the previous year. So we should get it right sooner than later. But I think the opportunity is fairly large there. The size of the market, I think is approximately close to

INR3,500 crores to INR4,000 crores in size, and growing. Requirements are coming in from
multiple transmission companies primarily.
Some part of it is in the lower end of EHV profile, so 66 and 110 kV. And we do see some
graduating towards 220 kV range as well. The market definitely is growing. And I think we are there at the right time. We need to get our act around executing that.
Anirudh Agarwal: Perfect. So this order book of INR280 crores that we have, what would be a fair estimate of the
execution period considering all the challenges that we just spoke about is 12 to 15 months of
fair period to assume? Or could it be longer than that in your opinion?
Mahesh Viswanathan: It depends on the site and city. For example, we've done projects in Delhi within six months.
We have also taken two years in other places. It depends on the -- actually the location, the issues involvin g the location, how crowded it is plus what other complications come up when
you start digging. Unfortunately in our country, not many certain installations are properly
mapped. So many times, when you actually start digging, you find there is something else there, and then we need to make sure we're not disturbing that whatever was laid earlier.
You could have a water line, you could have shared line, you could have another power line
going below. So, those are things that create a problem, especially in the city areas.
Anirudh Agarwal: Understood. Sir, is it fair to say that this business would there be some kind of inflection point
now after all the -- seeing that you had to endure over the last few years. Now is th

is the time
where in '25 onwards becomes like an inflection point wherein you see material scale up in execution, top line as well as the margins starting to come through?
Mahesh Viswanathan: I surely hope so.
Anirudh Agarwal: Perfect. Sir, final question from my side was on overall margin profile. So, I think you
mentioned that 12%, 13% sort of margin band would be sustainable even at current copper price levels, what sort of margins are we doing right now in the housing wires versus our
different auto, agri, industrial cable segment if you could throw some light? And any internal

levers that you're exercising to increase margins?
Mahesh Viswanathan: Well, obviously, a packed product like packed in a branded. Branded product like our general wire obviously, the margin number would be bett er. Auto wires, we are dealing with -- it's a B2B product. So there, the margins are going to be thin. And of course, we are dealing with the other companies. So there the demand was fairly high.
And we are working really on raising numbers. So there, the number is not really comparable. I just want -- I don't want to get into the actual numbers that are being -- that we derive from each sector. Suffice it to say that general wire, ag riculture wire, both are more or less at par. And let's come the industrial wire and finally sectors like automobiles.
Anirudh Agarwal: Understood. Fair enough. Perfect. Thanks and all the best.
Moderator: We take the next question from the line of Vidit Trivedi from Asian Market Securities.

Vidit Trivedi: So my question is on the capex front. Any guidance for the coming year?
Mahesh Viswanathan: Yes, we had announced a program of INR500 crores. Last fiscal, we spent 160 out of that. So the balance would be spent largely in this fiscal. There might be a small spill over to '25, '26.
Moderator: The next question is from the line of Varun Basrur From Julius Baer.
Varun Basrur: Congratulations on a good result. So my question has to do with how your distribution footprint is improving. Any commentary you could give on how you're engaging better with your existing distributors and retailers? And how -- where you see expansion potential?
Mahesh Viswanathan: Okay. I should have done this in my introduction, sorry. Yes, we talked about this in earlier calls as well. A few years ago, we started this program of having 2 sets of approach to the market. One is to retain our ex isting channel partners, who will he lp us more on the project and B2B side. Whereas on the retail si de, we will focus on distribution.
Like I mentioned in the past, we have around 700 distributors across the country today. Some distribute all products, some are specific to 1 or 2 product lines, depends on what we are strong at and what the market really requests. We st ill have some uncovered ar eas especially in the East and the North. So that is something that we will continue to focus on.
As I said before, we have a technology backbone to help them monitor their progress. We focus on how many retailers is -- how many retailers are we engaging with. At the end of last year, we have made a unique billing of close to 120,000 retailers, which in '22, '23 closed at just under 90,000. So there has been an improvement there. We're also tracking to see how many are these retailers buy every month, how many of them buy more than once a month, more than twice a month. So that way, the enga gement with those retailers could be improved.
And we're looking at what -- which part of the product basket is somebody carrying, are there some missing SKUs for what reason we try and analyse those and trying to put things on track. To support all this, our market spend has also been increasing. We have budgeted for approximately 1.5% of revenue on market spend. So that could be a advertisement, it could be peers material, it could be other promotional events or

expenditures.
So this is something that has increased considerably from the earlier times when it used to be somewhere around ¾ of the quarter percentage. So there has been a recognition of the fact that at the retail end, we need to attract customer s and you need to speak to the customers in a direct fashion. And at least for us, TV advertisement are social media advertisements are a fairly good way of engaging them. So those are areas where we continue to focus on and gauge the results. So that's where we are at this point in time.
Varun Basrur: Right. If I may add -- so what is your experience with channel financing? Do you see any benefit in sort of improving the availability of channel financing to the existing dealer and retailer base?
Mahesh Viswanathan: Absolutely. We do have a channel finance program, but our program is slightly different from many of our peers. The major difference is that our program is a nonrecourse program, the

Finolex. We are very clear in our mind that while we should have a tool, which helps fund the customer, we are not a bank. And therefore, credit risk is something that we are not willing to take.
So all program that we have with multiple ag encies, there are banks involved, there are Fin Tech companies involved, all of them are on a nonrecourse basis. Currently, I think about INR700 crores and INR800 crores of revenue is related is generated through that. It could be much more. I heard somebody was willing to take a credit risk. But that is something that as a policy we do not.

Moderator: The next question is from the line of Sh rinidhi from HSBC. Please go ahead.
Shrinidhi: Congratulations on that set of numbers. So a couple of questions on margins, sir. So do you think you can scale back high single-digit or early double-digit margins in your communication cable segment? You used to do that a few years back. So maybe not...
Mahesh Viswanathan: To say that, in the past, we used to have high single-digit in fact, we've also had double digits there. The issue is the volatility on the optic fi ber segment volumes. So you have a capacity and if you do not use it then the fix cross lines on you. That's been the only issue. Barring that, I think the other product lines within the commu nication sector are reasonably profitable to deal with high single digit numbers.
But then with the OFC accounted for more than 60% of that sector in the present. But like I mentioned earlier, we have our -- we are fully committed to the OFC business, and we do see that the potential demand ga p that is there will be r ealized sooner than later. It needs to be done is typically every time there has been an improvement in communication ability, it has had a positive effect on the GDP. And I'm sure in this case also, there is no -- it's the same. So as you get into high applications and new use cases, it is going to grow our driver economic activity considerably. And like I mentioned earlier most often, it is funding the capex that is required that seems to have been the issue. As a country, we should have announced as well.
Shrinidhi: Sir. And the second one, I just want to confirm that in the electrical cable business, there you're guiding to maintaining the margin, what you did in last financial year, right broadly?
Mahesh Viswanathan: Yes, because if you look at the -- if you compare performance over several quarters, over several peers, you will find that traditionally we have been more or less double-digit there. So I think we are still there, not far. We're probably number 2 in that lot ri ght now. But I think to sustain something beyond 14, 15 is would be a challenge for anybody else.
Shrinidhi: Okay. So sir, I'm asking like if you see in the years of '21 and '22 when there was a very high copper inflation, we saw some dip in the margins which makes sense as well because that you shouldn't pass o

n entire margin. But this time, you think that gi ven the copper inflation is very high you would still be able to maintain the margin?
Mahesh Viswanathan: I think yes we should because at the moment, we are.

Shrinidhi: Right. And sir, last one if I may. I think you gave us some breakup on the electrical wire business, INR4,000 crores being wires and INR200 crores being the cable? Would it be possible to share the breakup of the INR4,000 crores wires business?
Mahesh Viswanathan: Yes, sure. Between 60% to 65% is wires which go into construction, which go into general usage. About 10% to 15% is automobile and othe r 10% to 15% is industrial, and the balance is agricultural. These would be the 4 large buckets.
Moderator: Thank you. We take the next question from the line of Parth Mehta from Vallum Capital. Please go ahead.
Parth Mehta: Just to continue on the distribution side, if you could just help us what is our touch points for this?
Mahesh Viswanathan: So, unique billing has been approximately 120,000 but we have we have a universe of 2x that much that we are interacting with. Obviously, when you meet a retailer, we're not doing the conversion on day 1, it will take multiple visits before we start occupying their sale. So that's the -- so about 200,000, 210,000 is what we are currently engaging.
Moderator: Thank you. The next question is from the line of Anirudh Agarwal from Valuequest Investment Advisors. Please go ahead.
Anirudh Agarwal: Two questions from my side. First one was on copper prices again. So what is the hedging strategy if any that may follow? So I know that in our business largely there is a pass-through that is done. But in the interim is there any vo latility, any hedging that we do or how do we manage sourcing and pricing of our copper supply?
Mahesh Viswanathan: Okay. Purchases are largely domestic although the pricing is element-driven. What do we do, we buy on average. So for example, we are in a month of May now. All receipts of copper that I have taken in the month of May will be pric ed at the May average now the May average will be found out on the 2nd of June, or 3rd of June. Obviously, the supplier is not going to wait until then. So for cash flow purposes there is a provisional price which we agree on and that is what I settle each time material is received at our end. And at the end of the month, when the actual average is discovered, we set the difference. If I had paid more, I get the money back. If I paid less, I pay the difference. That is what we do.
And so what we are effectively doing is that we are following the market. We do not take long positions on the metal. We are very clear that our ability to forecast a product, which metal prices would move 2 months from now, 2 days from now, 2 years from now. That is a year, yes, it is mine. So we don't take the risk on that on the record. We are very clear that the cost of the metal is a pass-through. So we will pass it through. There may be a small lag, but that's a temporary issue that we will

have to manage. The flip side of this is then what do we buy, what quantity do we buy. We buy only what we can consume in a month. That estimation has been reasonably good. We are not far away, there may be a 5% variation.

But otherwise, we've been able to manage that part fairly well. So the inventory carry also we have is also rather limited. And we believe that is a risk that we can live with so if I have to sacrifice margin for a month, so be it. But then there will be a practical before that.

Anirudh Agarwal: Second one was on capacity utilization in the sub-segments of auto and Agri wires given that you've seen very strong growth this year across there. Do you have sufficient capacity for growth this year?

Mahesh Viswanathan: Agri, yes. Auto by the time we require it as our additions in [inaudible 50:58] will be online.

Anirudh Agarwal: And what is the quantum of expansion there? How much are we expanding the capacity in that?

Mahesh Viswanathan: I think we are taking that from -- I think it's a thread if I'm not wrong.

Anirudh Agarwal: Thank you. That's it.

Moderator: Thank you. The next question is from the line of Mehul Mehta from Nuvama PCG. Please go ahead.

Mehul Mehta: Congrats on great side of number. Part of my ignorance, but I have a question on EHV cables side. Apart from Universal cables, how is the conflict landscape? How many other players and what is the size of that market? Can you update on that?

Mahesh Viswanathan: Yes, I think the market size is around INR3,500 crores or so. Universal is a large player there. But then you also have other players like KEI, KEC, Polycab and LS cables, LS is a Korean company, which makes up to 220 kV here in India. And then you have Sterlite Power as well.

So these are the largest players. There are some others, who were planning, but have -- they were there up to '23, but not beyond '23. Torrent is also there in 66. So that's another large player in that.

Mehul Mehta: Thank you.

Moderator: Thank you. We take the next question from the line of Manoj Gori from Equirus Securities. Please go ahead.

Manoj Gori: My question here is with the retail touch point. If I'm not wrong, probably somewhere around FY'20, FY'21, we had around 35,000 to 40,000 retail test points and which we increased to roughly more than 2x test points today. But if I look at the overall performance of probably volume growth, we have been lagging versus what we would have actually aspired to do.

Given that we have been multiplying a retail presence, what do you see like what is your personal assessment over here? And probably how satisfactory the responses have been? And so that if we are lacking somewhere. So what are those the areas where we would be focusing in the coming years, which shou ld lead to significantly bette r than industry growth rate?

Mahesh Viswanathan: Okay. I understand the question. First is that 40,000, 45,000 was an estimate, because we were growing by 4,000 channel partners multiplied by an average reach of 10. So that's where we

were going. We didn't really have data on how many retailers were being serviced by those partners.

Secondly, yes, you're right that while we have - we are now engaging with close to 200,000 plus partners, our billing is only to about 50% of those. Part of this is the effort that is required before we are able to convert retailers from giving us a sale space from one brand to the other.

It requires repeated efforts; it requires convin cing somebody that this is a product that we should sell. While the brand has excellent recall, th at is helping us, but still requires a lot more effort from us to get that done. I think basically, that is one point.

The second is we now have information on what moves in a particular market, and therefore, we are able to start tailoring schemes for individual markets and individual regions. I think those should again help us in converting more of the uncommitte d retailers, if I were to say that over a period of time. So these are 2 things that we should definitely need to look at.

We also need to look at how much of what range is somebody carrying. And effectively, are we delivering the kind of ROI that somebody that we promised someone at the beginning. So we did some calculations. We worked out a mathematical model from them. And if we are able to - if we're able to show them time after time that their investment is paying off in exactly the same management we said it would, I think that would help us to carry the story to the

others and convince this.
Manoj Gori Sir, one more point over here. So if I look at some of the peer companies have been talking about engaging with the influ

encers and ruling them under the program. And they believe like
that has been one of the major drivers probably for whatever performance has been delivering,
like what the update over here? Are we doing this? And what differently we would be doing a
- any colour over there?
Mahesh Viswanathan Okay. We do engage with the influencers. No w at the retail level, we engage with the electricians. We have a few programs running for them. There is a cash incentive that goes on
the cable that we buy, I mean on the wire that we buy. Besides that, there are multiple training and other engagement programs that we run for them, we take a market and invite those people
and spend a day with them talk to them about different practices, what should be the right way to do things and so on. So those are measures that we've been taking. Not now, it's been there for a long time. It's been
there in the company even before I joined the company. Because that at a B2B level, the
engagement has to be with the architects, the contractors, the people that are in decision-
making roles in either a developers firm or buil ders firm. That is something that we probably
could do better. We have been doing that, but maybe there is a better possibility.
Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. On behalf of Finolex Cables Limited, that concludes this conference. Thank you for joining us, and you may now
disconnect your lines.

Call: Aug 2024

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Sub: Transcript of the Analysts/Investors Meet held on 14th August 2024 at 4.00 PM.

Ref: Regulation 30 read with Clause 15(a) of PART A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir/Madam,

Pursuant to the above referred Regulation, please find attached the Transcript of the Analyst/Investor Meet held on 14th August 2024 at 4.00 pm (IST) to discuss financial results of the Company for the quarter ended on 30th June, 2024.

The transcript of recording can also be accessed on the Company's website at https://www.finolex.com/View/Page/Analyst -meeting -transcript .

Kindly take the same on record.

Thanking you,

Yours faithfully,
For FINOLEX CABLES LIMITED

Gayatri Kulkarni
Assistant Company Secretary
& Compliance Officer

Encl .: As above

"Finolex Cables Limited Q1 FY 25 Earnings Conference Call"

August 14, 2024

MANAGEMENT : MR. MAHESH VISWANATHAN – DEPUTY CHIEF
EXECUTIVE OFFICER AND CHIEF FINANCIAL OFFICER ,
FINOLEX CABLES LIMITED

Moderator : Ladies and gentlemen , good day, and welcome to the Finolex Cables Limited Q 1 FY '25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode . There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Mamta Samat from Perfect Relations . Thank you, and over to you, ma 'am.

Mamta Samat: Thank you, Dovin. Good evening , everyone , and thank you for joining us on Finolex Cables Limited Q1 FY '25 Earnings Conference Call.

Today we have with us Mr. Mahesh Viswanathan – Deputy CEO and Chief Financial Officer from Finolex Cables.

Before we begin, I would like to say that some of the statements that will be made in today 's discussion may be forward -looking in nature. We will begin the call with the "Opening Remarks " from Mahesh sir, after which we will have the forum open for the interactive Q&A session.

I will now request Mahesh Viswanathan sir for opening remarks. Thank you, and over to you.

Mahesh Viswanathan: Thank you , Mamta. Good evening, participants. Thank you for joining us on this call today. So as usual, I will give a brief remark about the quarter that just went by.

So, there were three distinct features to this quarter :

- One was the elections. It was held in the background of the elections . So, the business sentiments were definitely impacted by the changes that were felt during the course of that three -month -long election period.
- The second was the extreme summer . So, while this helped in certain busines ses, it was the opposite in certain other businesses.
- And lastly was the extreme volatility in the commodity markets. Copper, for instance, touched a high of $10,857 on LME and also a low of $8,809 on the LME in the same quarter . So, that's a difference o f almost 20%. And so, these three major features impacted the business during this quarter. What started as an extremely promising quarter did not eventually pan out to be so.

Our revenues improved only by about 2% over the corresponding quarter of last year and were lower by 12% compared to the immediately preceding quarter. This was also reflected in the

electrical cables business where we ended up with a turnover of 1,031 crores against 1,011 crores. in the last year and compared to 1 ,200 crores in the previous quarter .

So, like I said , those three events or rather those three items significantly impacted the business during this quarter. As we speak now, copper prices are still yet to recover . Yesterday was about $8,800. So, w hat this has meant is th at there is a serious pressure on price reduction. To the extent that was possible without hurting margins too much, we have done so. But volumes are yet to recover.

Having said that, we had to revise prices downwards in the month of June and that impacted the overall margins as well . So, we closed the quarter with about 13% margin overall for the company and slightly over 11% for the electrical cable segment.

On the communication cable segment, the same metal impact was felt on the metal -based products . So, that would be coaxial cables, LAN cables and so on. While optic fiber volumes were better by about 10% , although realizations were lower because of the ongoing low prices on fiber across the globe. We expect the fiber prices to recover over the next 2 -3 quarters . So, I think going forward it looks better . But for the quarter, the volume impact was overshadowed by the lower prices.

The silver lining was on the other segment which comprises of the new products that

we have
brought in . So that could be the fans, water heaters, appliances and the conduit pipes . All of them showed a very healthy growth both in volume as well as in value realization. Of course , on lights, while there was a very good volume impact , the price erosion continues . LED prices continue to fall across the globe.

With this background, the profit for the quarter after taxes was about 122 crores , lower than the corresponding quarter of last year , which was 132 crores , and of course lower than the immediately preceding q uarter at 146.

Basically, these are the highlights of the quarter . So, now I will stop with my brief , and I can take questions from now on.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Rahul Agarwal from IKIGAI Asset Management. Please go ahead.

Rahul Agarwal: Three questions. Firstly, on the wire sales, could you just elaborate as in what 's really happening post 1Q, like July -August, what is your experience? Copper, as you said, is still not, it's got down obviously, but how is the channel behaving there? And a bit of an outlook on overall demand for wires, both housing as well as on the automotive industry for the balance of the year.

Mahesh Viswanathan: So, like I mentioned, copper is still down. Yesterday 's close was about 8,800, I think. So, it doesn 't get back to, it is barely at March average levels at this point in time. As long as it maintains this number, I think things will pull up afterwards.

I remember talking about the high or rather the increasing copper values when we last spoke in the month of May. And there was a question somebody asked, how long do you think this will last? And nobody was clear at that point in time. I had explained the reasons why prices were going up at that point in time, but I had also said, not very sure how long this would last. And, well, within a couple of weeks after I said that the price has bottomed out. It has still not recovered to the extent that we would li ke to see it at.

In the meanwhile, quite a number of purchases had been made in the month of April and May by the channel. And there is still some of those stocks available in the channel. It is still not fully dried out.

I think demand will start to p ick up maybe once there is stability at the price level. If people see that the prices remain at 8,800, 9,000 levels, probably demand will pick up immediately afterwards , or one might have to wait a little bit longer. At this moment, I am not really sure. We did expect sometime early July that the prices would recover, but it hasn 't happened. It has actually dropped further since then.

Your second part was on the automobile pickup . Last quarter I think was not such a great quarter for the automobile compa nies within the country , and I think we had a reflection of that as well. But as the demand starts to pick up, festival season is upon us any time now and we expect those demands to pick up soon thereafter.

Rahul Agarwal: Any comments on the industrial an d agri side , please?

Mahesh Viswanathan: I am sorry , I couldn 't get that question. Any comments on the ?

Rahul Agarwal: Industrial and agri cables ?

Mahesh Viswanathan: Agri was good both April and May . In fact, we were unable to keep up with the demand between April and May. Now is the lean season . So, the next pick up on agri would happen somewhere around November time frame when in a pre -sowing , it starts up again. But the monsoon season is basically slack season for agricultural products. Industri als, the price change seems to have hurt ed a little bit. It is similar to what I said about construction wire.

Rahul Agarwal: Secondly , any update on the wire CAPEX and the Fiscal '25 cash outflow for the overall CAPEX for th

e full year?

Mahesh Viswanathan: On the CAPEX , happy to say that both the E-beam equipment have been installed, commissioned. From our side everything is go. We are just waiting for the final clearance from

AERB. They are supposed to come , inspect it and then give us a go ahead for consen t to operate .
So, that's the thing that we are waiting for. We have invited them for the inspection. As soon as their schedule opens up , they will come and do that . So, we are hoping that by this quarter we should be able to offer products in the market. The trial lot productions have all performed at much, much better levels than what the standards demand . So, we are very happy with the products that have come out of the facility.
The auto cable expansion at Roorkee, the equipments are landing either today or tomorrow at Roorkee . So, we expect that by mid -October to mid -November , we should be ready to put them to use.
As far as the performance is concerned , the structure is ready. Current ly the HVAC work is going on , and simultaneously contractors are designing the effluent treatment plants and the other necessary features. The equipment, the main machine is expected to be installed in the month of November, I mean October and November . So, we are hoping the trial productions can start by December or January at the latest . So, those are the major CAPEX programs in place.
Besides this, we are adding a compounding plant for Goa. Currently, the insulation compound is moved from Urse to Goa. Now Goa has reached a stage where it can sustain a compounding plant of its own . So, we are putting the plant there. The permissions to construct have been obtained from the local bodies . So, right now, a tendering process is on for finalizing the contractor . So, hopefully by May, June of next year, that facility should be operational. This is broadly the CAPEX plan. It is to say , it's going on as we have planned. There have not been any glitches so far.
Rahul Agarwal: And what is the cash outflow expected on CAPEX for Fiscal '25 full year?
Mahesh Viswanathan: It will be about the same that we talked about last quarter. There is no change in the outflow. Overall expenditure until next year would still be around 500 cror es. Bulk of it would be spent this year.
Rahul Agarwal: Sir, I had one more question , if I may , please. On the consol margins, if you could elaborate a bit on a three -year range, right? Obviously, pre -COVID, the business was at 15%. Should we work around 13%, 14%? Is that the right number for the overall business to consolidate? This is inclusive of electric cables and communication cables . So, at EBITDA level, what comes out in the entity, what should be the long -term EBITDA margin range, please?
Mahesh Viswanathan: At the entity level, there is going to be a little bit of changes here and there, depending on the dividends one receives from the associate company. But if you exclude that, 13 %, 13.5% is something that you should work on.

Moderator: Thank y ou. The next question is from the line of Sonali Salgaonkar from Jeff eries. Please go ahead .
Sonali Salgaonkar: So, my first question is, could you give the quantum of the price cuts in electrical wires that you talked about in June? And also , you said that impacted operating margins . So, should we consider this quarter sort of as a one -off and expect the core operating margin to regain , say, about 13% from the coming quarters?
Mahesh Viswanathan: Well, it depends on how long the commodity prices stay at the level they are. If I go back to April and May, we were unable to satisfy demand to the extent we would have liked . So, what probably has happened is there is a fairly large number of stocks in the channel and when the prices tumbled, there was just freezing of orders from the channel side . So, they probably are still sitting on some level of stocks which they have procured at an earlier price.
Now to expect us to cut down the prices to those levels may not work . So, I think there would still be a little bit of resistance for some time. But then if the commodity prices settle where they are without too much of volatility, then you might see demand coming back in again . It is a little bit of conjecture of course, but that 's the best that I can offer at this point in time .
So, coming to margins then, if demand remains at a low level, then margins would also be similar. But if demand picks up, then I think we should be back on track.
Sonali Salgaonkar: And what was the quant um of your price cuts in June?
Mahesh Viswanathan: I think we took overall from then till now about 10% .
Sonali Salgaonkar: So, from 1st of June till now is about 10%.
Mahesh Viswanathan: Yes.
Sonali Salgaonkar: Sir, my second question is regarding the overarching opportunity for communication cables. I mean, without concentrating on just about the near term, like one or two quarters, you had earlier spoken about BharatNet opportunity and the tender floating, and generally the impending 5G rollout as we ll. And now with your new CAPEX coming in optic, could you help us understand about your broader path of the opportunity that you foresee for

communication cables going forward?
Sonali Salgaonkar: So, the one opportunity that we talked about last time was on the BharatNet opportunity. We had to say that finally the tender, the bids were filled I think one week ago, last Tuesday or last, yes, last Tuesday finally. We have also participated in the tender through a consortium. This, the technical bids have been opened, but I think there is evaluation going on. We expect the price bids to be open sometime in the next month, month and a half. This opportunity is

approximately, the total size is about between 15 to 17 million kilometers, but this covers only eight states. There are other states which still have to come up for their piece of the third phase, and we believe that opportunity is going to be as big, if not slightly bigger.
And then we talked about 5G rollouts . We also talked about how the towers ar e still to be connected by fiber and so on . So, the opportunity size is fairly large, and in that context, what we are doing is to ask the right thing to do . We are building capacity. At the same time, we are also adding capacity on the back end, which wil l give us better pricing, and better control over pricing, and flexibility as well, when we participate in such large tenders .
So, in that sense, I think we have done the right thing, and we believe that the opportunity over the next few years is fairly large, we are talking multiple, multiple opportunities there. I don 't want to put a number to the size, because it 's all finally going to depend on the financing ability, and the speed with which finance comes into the picture, but the numbers are fairly huge. We are still nowhere near where China is, or even where the Western countries are.
Sonali Salgaonkar: Sir, just to clarify, you mentioned that you have participated in the BharatNet opportunity, and by when can we expect to understand what part of thi s entire tender we have ?
Mahesh Viswanathan: That's what I said. So, the technical bids have been opened, and the price bids are yet to be opened . We expect those price bids to be opened once the technical evaluations are completed. There are 21 or 22 bids which have come in . So, I guess they will need some time to go through each of the bids to make sure that everybody is qualified, and all the T 's and I 's are dotted and crossed . So, that will take som

e time. So, p robably by the end of September is whe n
one can really expect them to open the price bids. At that point in time, we will know whether we have win, how successful we have been.
Sonali Salgaonkar: Sir, my third question is regarding your FMEG business. Now this quarter, we have seen some very good growth over here. I do remember we had a target of breakeven . So, could you elaborate where we are into this achieving the breakeven from an annualized perspective, and what are our plans going forward for this segment?
Mahesh Viswanathan: If you recall my comments from the earlier conversations, I have always been saying that between 250, around 250 crores we should be breaking even and we are there at this point in time. 68 crores is what we have done in this quarter, times 4 is just over 250 . And I think at this speed , we will be breaking even, barring any blips .
Moderator: Thank you. The next question is from the line of Sa ket Kapoor from Kapoor & Company. Please go ahead.
Saket Kapoor: Sir, f irstly, you were alluding to the fact of the fluctuations in copper prices , which resulted into lowering of prices in the wires and cables segment. And sir, do you think that there is also a shift that is happening in terms of the demand also moving towards aluminum being a better

metal of choice in the cable segment going ahead then because of the availability and the higher prices for copper?
Mahesh Viswanathan: Typically , aluminum , at least in our country, on the construction wire, people still use copper. On automobiles, people still use copper. On agricultural applications, it is still copper. Aluminum gets used more on the power cable side and definitely at some of the lower voltages, so 110, 132, there are many utilities which prefer aluminum .
So, having said that, our presence in the medium voltage power cable segment is fairly small. I think I have said this earlier also . Out of a total market size of about 25, 000, 28,000 crores , our presence is only about 200 crores. We have always been a little reticent about that. Payment patterns are , you are dealing with a lot of distribution utilities who are not the most well-funded companies and there are leakages along the way when you get the order, when you execute the order and when you have to collect the money for the order . So, we have been a little reticent about participating in that portion of the entire market .
So, I am not able to comment whether there has been a shift from copper to aluminum . It could be a factor because obviously aluminum prices are lower , but then to push the same quantity of power , you need more quantity of aluminum also to be used there . So, that's something there .

So, I can 't, with any firm conviction , say that it has happened, or it is happening.
Saket Kapoor: Sir, in the extra high voltage segment that is the EHB segment, what is our current order book and current out of the sales mix ?
Mahesh Viswanathan: We have a fairly decent order book there. Our current order book is close to 300 odd crores. The challenges there are slightly different. It is more to do with between the time an order is secured and the time the order is completed. There are multiple challenges there. You need to get ROW permissions , which are a problem in our count ry. While you may get it from the civic authorities , as you go to execute it , a lot of people start popping up from the ground that managing them is a challenge.
And t hen, of course , there are, from the time you are declared L1 to the time that you sign the contract , also there is a long waiting period. The utilities have their own processes to go through before you get the contract signed and then production started. Those are challenges , which I think some of them can be overcome. We need to be bette

r a t that. I think that is where we are focusing on right now.
We have been fairly successful in getting orders. I think the next step for us is to ensure that our speed of execution is good and that the orders are converted quickly into sales and into profitable sales . So, it has been a learning curve. I hope that the learning curve doesn 't go too long from now.
Saket Kapoor: Can you give me the revenue for the EHV segment for the last financial year?

Mahesh Viswanathan: Last year was about 130 crores.
Saket Kapoor: Last financial year.
Mahesh Viswanathan: Approximately 130 or 123 somewhere around that.
Saket Kapoor: And depending on a 300-crore order book , what should we envisage for this year?
Mahesh Viswanathan: Our target this year is 240.
Saket Kapoor: And sir, last point on EHV segment is that what is the current scenario? I think there is lot of trust in the state s' DISCOM 's financials now also improving and things like the renewable story all together getting a lot of traction and a network to be built for the same separately, how does this segment penciling -in and going ahead, what should be an ideal order book position for you , as you told that we are in the learning curve and that is the first process ?
Mahesh Viswanathan: As far as the potential is concerned , the potential has never been in that. With so much infrastructure needing to be done and needing to be upgraded, the need for high voltage cables or extra high voltage cables is definitely there.
Where our cables find use mostly are in the transmission sector where the overhead lines are getting replaced with underground lines , especially when they come into a metropolitan area or urban area . And there is quite an amount of work to be done.
Secon dly, even areas which were earlier serviced by 66 kV lines are now upgrading themselves to 220 or 132 and so on . So, that need definitely is there.
The difficulty so far has been in the utilities being able to fund themselves, to be able to handle all th ese CAPEX s and that is where the project gets announced today. You expect it to be done in six months or one year , but then it pushes over to a couple of years because money flow is still not as smooth.
If you look at the utilities, to some extent they have been able to get themselves funded either through REC or through Power Finance Corporation , but then not everybody is rated on the same scale and there are some where the projects go smoothly and there are some where it gets delayed for f unding reasons . So, like I said, opportunity or potential is never in question. It is more the reality of funding the projects. That is true for most infrastructures projects in India.
Your second point was on, sorry.
Saket Kapoor: Sir, it was on the EHV only. I think you have answered it .
Mahesh Viswanathan: As far as we are concerned, our present facility at constant prices can generate revenue of about 400 odd crores with this one vertical line. To increase it, we need to put additional lines.

But then the rest of the utilities you don 't need to put in . So, the buildings , everything else is tailored for three lines, whereas the insulation line, we have populated it with only one at this point in time. Once utilization gets to 100%, or gets to 70%, 80%, then we can start thinking of putting another one there.
Saket Kapoor: Very small point, sir, and then I will join the queue. We are in the VCB lines?
Mahesh Viswanathan: Yes, on the vertical line, yes.
Saket Kapoor: And sir, for OFC, I have one qu estion, if the moderator allows me. Sir, for the OFC segment , if

you could give us some understanding on how post -June exit, what are the OF and the OFC prices? And I think major players are running subo

ptimal capacity in the current scenario, in the count ry, and also at globally also.

Mahesh Viswanathan: You are right, because no big rollout has happened . So, after the technical 5G rollouts by the telecom players a year ago, not much fiber has been consumed. BSNL has not bought anything in the last one year. Nothing of significance in any case . So, you are right in saying that most people are running suboptimal capacities. And therefore, that is reflected in the prices. Also, in the beginning of, or towards the end of, all through the last year, most o f last year, there was a lot of cheap fiber coming from China. Then in February this year, the government came out with an AD, and to some extent that has stopped. But fiber prices still haven 't gone back to where they were, let 's say, two years ago. They are still sub $4 at this point in time. But I think with additional demand coming in from either the BSNL tender or what is expected to come subsequently from the other states, plus now that telecom companies have revised their tariffs upwards, they will have a little more cash to spend on CAPEX . We do expect more fiber to be utilized in connectivity over the next year, year and a half.

Saket Kapoor: So, sir, as you mentioned , firstly, about the BharatNet technical tender being open, and the financial one will take some time , and about the telco part of the story, also, the revival of Vodafone post their FPO. So, for the OFC in particular, optic fiber cable, what kind of demand can we see? Because as the prices are lower, the CAPEX cost should be lower for that telco . This is one of the best opportunities to put the CAPEX in front because the cost of OFC is trading at a multi -year lo w.

Mahesh Viswanathan: I don 't deny that. But they haven 't done so far. So, w hich is why I said, now that they have the cash to spend, if you see all the telecom players, whether it is Reliance or Bharti or now Vodafone , all of them have raised their prices towards the consumers . So, they will have more money coming into the kitty. And that they could uti lize to buy, I mean, roll off either across wherever they needed to be .

Saket Kapoor: So, what could be the amount spent, especially only for the …

Mahesh Viswanathan: Last year? Last year, nothing much to talk about .

Saket Kapoor: This year what we can anticipate with technical b ids, like you told , for BharatNet being open . So, there you are getting an understanding of what kind of money will be spent only particularly for OFC layout, laying out the cable ?

Mahesh Viswanathan: BharatNet , the current tende r spend is expected to be somewhere around between 50 ,000 and 55,000. I don 't know who 's quoted what, but between 50 ,000 to 55,000 crores. But then this includes a lot of electronics and other stuff as well. The cable portion there is , let's say , about 10%.

Saket Kapoor: And so, at current prices, what does it translate into the 5 kilometer, 5 kilometer?

Mahesh Viswanathan: It depends . It depends on the design . There are multiple designs . There is a 6-fiber design . There is a 24-fiber design . There is a 48-fiber design . There is armored , there is unarmored , all of it put together . So, I will not be able to give you an average. It's not as simple as that.

Saket Kapoor: And our utilization level, sir ? At what capacity are we running?

Mahesh Viswanathan: Right now, our Goa factory is running full because we have orders from Bharti . So, we are supplying to them . Urse , there is still some capacity.

Saket Kapoor: And another which region, sir?

Mahesh Viswanathan: Urse .

Saket Kapoor: Come again?

Mahesh Viswanathan: Urse . That is in Pune .

Saket Kapoor: Urse . Okay . And total market share, what is our optic fiber cable market share?

Mahesh Viswanathan: We w

ill be about between 13 %-14%.

Saket Kapoor: So, sir, we will stay in this vicinity going at since now there is no point in improving or increasing the capacity or have we planned any CAPEX for the OFC segment?

Mahesh Viswanathan: That is what we talked about in the beginning. What we have done on the OFC fiber, everything is that we are putting up a preform plant . So, we gain control over th e raw material that goes into the fiber . We are adding capacity on the fiber draw towers so that currently we have a 4 million draw capacity. We will take it up to 8 million over two stages, first from 4 to 6 and then 6 to 8. The preform capacity that we are putting in now will give us an equivalent of 4 million kilometers of fiber. The preform should be operational by December or January latest and the fiber draw tow er from 4 to 6 should happen maybe 3 -4 months down the line. So, that

will give us more control over the material prices because currently we are importing the
preforms and we will have better pricing ability.
Saket Kapoor: But the end product cable …
Mahe sh Viswanathan: Cable we have put , we have constructed a factory to house the machines , but right now, like I said, the Urse factory , still there is some capacity available. We will wait for the results from the BSNL tender to be known , and if at that time we believe that we need additional capacity, we will populate the place.
Saket Kapoor: And with this completion, what will be our margin accretion for the optic fiber segment ? I think that now we are at a 1.5 % or 2% margin.
Mahesh Viswanathan: Yes, if you went back a few years ago, we were close to double digits . We were about 9% or 10%. The aim is to reach there . We may not be able to reach there in one go. It might take two steps before we reach there. But definitely double of where we are tod ay.
Moderator: Thank you. The next question is from the line of Sonali Salgaonkar from Jefferies . Please go ahead.
Sonali Salgaonkar: Sir, just two quick questions , and I will keep it brief. Sir, firstly , on the capacity utilization, could you let us know what is our present capacity utilization separately into electrical cables and communication cables?
Mahesh Viswanathan: Electrical, under 60% now. Around 60% now . Communication , like I mentioned, see, the Goa plant is running full, whereas Urse, there is still some spare capacity. So, we are probably around 70 overall.
Sonali Salgaonkar: Sir, it is good to know that we are not facing any constraints . Sir, second question is, of our cables and wires mix , is it fair understanding that about 65 % to 70 % is wires and the rest is cables?
Mahesh Viswanathan: Cables would be about 10 % to 12 %. The rest is all wires or various applications.
Sonali Salgaonkar: So, we are more into B2C centric wires vis -a-vis B2B centric cables. Is that right?
Mahesh Viswanathan: If I were to take 100, about 10 to 12 is cables. Some part of it is through the channel . Some part of it is direct. Then of the balance, let ’s say 85 % to 88 %, about 10 % to 12 % goes to automobiles. That is B2B. The balance is B2C.
Sonali Salgaonkar: I understand. So, that is about 65 % to 70 %.
Mahesh Viswanathan: That is about 70 %, yes.

Sonali Salgaonkar: Sir, my third question is about EHV. Could you help us understand , say, approximately , of our overall electrical space, how much would be EHV currently?
Mahesh Viswanathan: EHV is done through the joint venture , right? So, that comes , and since it is a joint venture, we don’t consolidate line by line. We are only consolidating at equity level there. But if I were to add that number, you add another 125 crores to the electrical piece. This is on an annual basis , and I am talking about last year ’s numbe

r.
Sonali Salgaonkar: Sir, my last question is regarding the mar gin of our communication cables. You did mention that we are targeting to achieve double digit or rather regain the double digit 9 % to 11 % that we used to do about three to four years back. We understand that is a two -step process. But with the current opportunity that you elaborately explained, would it be a fair assumption to expect those margins coming back, say , by FY ‘26 or ‘27?
Mahesh Viswanathan: Yes, if the numbers, if the volume comes in, then I don ’t see that as a major challenge.
Moderator: Thank you. We have the next question from the line of Drashti from Thinqwise . Please go ahead.
Drashti: Sir, I just wanted to know what are the prices of fiber optic cables globally now and what has been the price decline in the last one year?
Mahesh Viswanathan: Again, I cannot give a single price point there because it depends on the design. You have your products which have only 2 fibers in them. You got 4, 6, 24, 48, 96 and so on and so forth. So, depending on the design of the product, depending o n whether it ’s armored, whether it’s an aerial cable, whether it ’s going to go underground, the costing changes. And so , I can ’t give you a single price out there. All I can tell you is that the price of fiber, which is one of the major elements that goes into the cable , is around $4 at the moment.
Drashti: And what has been the price decline in this?
Mahesh Viswanathan: It used to be 5.5 sometime ago.
Moderator: Thank you. The next question is from the line of Rahul Agarwal from IKIGAI Asset Management . Please go ahead.
Rahul Agarwal: Just wanted to dwell a bit more on this OFC tender. The way I understand the business, you do about 500-550 crores annually on communication cables. Let’s say , whatever market share we have on the specific BharatNet tender, this revenue number on an annualized basis, what is the

revenue potential we are talking about here? And what is going to be the working capital cycle? Because my sense is right now the balance sheet is pretty lean. As of March, it looks like we a re running like a 30, 35 day kind of sale number there . Will that expand because of BharatNet ? These are my two questions.

Mahesh Viswanathan: The way they have positioned it, you are right with the receivables will expand for sure, but it will not expand straight away by the value that is invoiced because they have factored in a system where they will give you an advance towards managing the working capital. It is then up to the efficiency of the organization to see how quickly they are able to rotate that number. So up to 10% of the tender value can be claimed as working capital advance once certain initial steps have been taken. So , that's one part.
But other than that, yes, there will be a slight increase in the receivables. They have also taken , I think, steps to say that they will make payments within 90 days or so. Now , these are government organizations saying 90 which means 90 can go up to 120 , I think . So, to that extent , there could be an increase in the size of the balance sheet.
What does it mean for any individual company? Like I said, the total expected spend on this particular tender is anywhere between 50 ,000 to 55,000 crores . That is over 16 packages , and all these packages have different sizes . But then if you were to take an average, so 55 divided by 16 works out to about 3,500 per package . And no one company or one consortium can get more than 4 packages . That is the best that one can get . So, 4 times 3.5 is about 12 ,000-14,000 crores and that has to be done over 3 years . So, 14 divided by 3 comes to about 4,600 crores per year , and so 90 to 120 days out of that would be ou tstand ing.
Rahul Agarwal: And then you have to apply the 10% for the cable po

rtion of it also on this number, right?
Mahesh Viswanathan: Yes, so this is at the consortium level . So, if you apply a 10% number on this, so you are talking roughly about 450 crores of cable revenue.
Rahul Agarwal: And that is provided all the 4 packages comes to one consortium.
Mahesh Viswanathan: One, yes.
Rahul Agarwal: So, my sense is the hit rate could be like max, it could be like 50% . So, we are talking about one of 550 crores run rate today, so we are talking about 250 to 300 crores of additional revenue over a 3 -year time frame, is that co rrect?
Mahesh Viswanathan: Per year.
Rahul Agarwal: Is that correct?
Mahesh Viswanathan: Yes, you are right , but it is per year I would say.
Rahul Agarwal: Yes, per year , absolutely. And if we do that, so let 's say if we do at a, if we run at a 7 00-800 crore annual revenue starting next year, at that point of time we should hit 8 % to 9% of EBIT margins is what you mentioned. Is that correct?

Mahesh Viswanathan: Correct.
Rahul Agarwal: And secondly, similarly on the E -beam side just to clarify, I mean , the total assets turn on this asset is how much ? Like what 's CAPEX and what 's the sales potential here?
Mahesh Viswanathan: The CAPEX is slightly under 100 crores.
Rahul Agarwal: And what 's the asset turn you are expecting?
Mahesh Viswanathan: Initially we are , let's say , about 2. Going 2 -4.
Rahul Agarwal: Sorry, 2 to how much?
Mahesh Viswanathan: Initially, you have 2 going to 4 to 5. And typically, how much time will this take to achieve full utilization?
Mahesh Viswanathan: The application -wise, solar would be the first application that we are looking at. Additionally, we are working on designs for railways. So, those would take a little bit of time before the approvals are in place. And then you have applications around instrumentation and automobiles. So, the quickest, I think, would be solar and automobiles, followed by railways and instrumentation.
Rahul Agarwal: So, we are looking, we are talking about incremental full year revenue of 200 crores, maybe starting Fiscal '26. Is that fair to say?
Mahesh Viswanathan: Yes.
Rahul Agarwal: And what could be the EBITDA margins here?
Mahesh Viswanathan: I think it 's still something that we are working on here.
Moderator: Thank you. The next question is from the line of Praveen Sahay from Prabh udas Lilladh er. Please go ahead.
Praveen Sahay: So, the first question is related to your CAPEX . So, all those CAPEX , post that how much the

capacity is going to increase from existing? So, if you can give the color on how much electrical from here the capacity is going to increase and the other segments.

Mahesh Viswanathan: So, the bulk of the spend is going on the fiber and fiber -related assets. So, there, we are setting up a preform facility, which will deliver about 100 tons of preform, which is equ ivalent to 4 million kilometers of fiber.

Secondly, our fiber, currently, we have a dr aw capacity of 4 million. In stage 1, we take up that 4 million to 6 million. And in stage 2, we take it up to 8 million. This is where the bulk of the spend is going to happen between this year and next year.

Finally, we have cabling capacity on the optic fiber side of about 8 million kilometers of fiber. Depending on the outcome of the BharatNet tender and additional opportunities that will come, we may take it up t o 10 million kilometers of fiber. So, that is still something that we are keeping it open. We have not placed any orders on anybody for that part as yet. But the rest of it, we have placed orders.

So, this is how the capacity will increase. So today, pre form, we have zero capacity. That will go to 100 tons. Fiber, we have 4 millio

n kilometers. That will go up to 8 million kilometers over two stages.

On the electrical side, we are increasing capacity on the automobile cables at Roorkee by half . So, it again depends on various designs there . So, I am not able to give you a specific volume number . And on the E-beam side , we are putting up a new facility , which has two equipments , both of which have now been installed.

Praveen Sahay: And especially in the extra high voltage, the CAPEX has been done, what you are saying?

Mahesh Viswanathan: I am sorry.

Praveen Sahay: In the EHV side, you had done...

Mahesh Viswanathan: Yes, EHV side is done through a joint venture . It is not within this entity . It is in a joint venture where Finolex Cables participates together with Sumitomo .

Praveen Sahay: So, there the CAPEX has been done or you are still in the process?

Mahesh Viswanathan: We have not done, the factory is functional, but that particular business h as a very long gestation period of getting yourself certified and so on and so forth . So, we are now in a position where we are able to compete in tenders most of the time and most of the utilities have, we have qualified there . So, there are still a few utilities where qualification is an issue, but otherwise , we have qualified for a substantial portion of utilities , and we are able to participate in, let ’s say , about 7 out of 10 tenders floated , we are able to participate. And currently , we have an order book which is in excess of 300 crores. And what else is there to mention? At about 230, 240, we should breakeven t here.

Moderator: Thank you. The next question is from the line of Sushil Choksey from, I am sorry, is an individual investor . Please go ahead.

Sushil Choksey: Thank you for taking my call, but you answered all my questions from the previous two, three questions.

Moderator: Thank you. The next question comes from the line of Saket Kapoor from Kapoor Company . Please go ahead.

Saket Kapoor: Sir, for the E-beam facility, electron beam, solar cable, what is the size of, we are going to set up and currently when will this be on stream and the CAPEX been done and also are we catering to the railways also in terms of their rolling stock and cable requirements?

Mahesh Viswanathan: So, E-beam, we have got two accelerators . One accelerator works at 1 MeV and the other one works at 1.5 MeV . Both the machines have been installed and commissioned as far as the manufacturers go. Trial production has happened. Quality from the trial production far exceeds the standard requirements. So, we are very happy about the equipment itself .

We are yet to receive consent to operate from AERB . That is the Atomic Energy Board. They are the regulato ry agency involved in this , and we have called them for an inspection. Once they complete the inspection, we believe that we should have the consent to operate and put the products out into the market. We are starting first with the solar cables. We are al so working on designs for automotive industry. We are in talks with a few of the OEMs there.

As far as the railway is concerned, we are working on designs , which we need to get approved by RDSO before we are able to supply to them. The other opportunity there is on the instrumentation side, which will be probably the last of the products to come on stream. So, that’s broadly the answer here.

How much have we spent on this? Slightly less than 100 crores. That’s the total spend. That

includes equipment, building. I have not added the cost of land to this because the land is
something that we have reused our existing piece.
Saket Kapoor: Sir, in the railway part of the story, we have been hearing about this anti -collision part or the
Kavach scheme . Therein also, I think the requirement of cables and other e

quipment will be
there. Does the demand for the railway cables coincide or come along this Kavach project only
where we will be supplying the same or are these two different aspects also there?
Mahesh Viswanathan: Honestly, I do not know. I should not say something about what I don 't know. So, I can get
back to you.
Saket Kapoor: But last, the point which you were mentioning about the railway part , that I missed in terms of
supplying cables to the railways .
Mahesh Viswanathan: What I understand is they do need cables which are E-beam cured. But then those designs have
to be approved by RDSO. Anything that you supply to railways has to be approved finally by

the Railways Design Organi zation , which is RDSO. I mean, we are working on samples under
those designs. We will have to get them approved before we are able to supply to them.
Saket Kapoor: What was the cable category you mentioned , sir? I missed it again .
Mahesh Viswanathan: No, they do require certain cables which are E -beam cured.
Saket Kapoor: E-beam?
Mahesh Viswanathan: Yes.
Saket Kapoor: Electron irradiated…
Mahesh Viswanathan: Yes, those cables are irradiated cables.
Saket Kapoor: Irradiated cables. And for the Kavach part of the story, you need to come back.
Mahesh Viswanathan: I need to come back to you. I do not honestly know.
Saket Kapoor: And sir, in the solar cable part, what is the current installed capacity in the country ? Who are
the major players ? And what ki nd of annual demand for solar cables do you envisage, sir?
Mahesh Viswanathan: The number is huge. We are talking of what, 50 Gigawatts of solar energy through non -
conventional sources. And you are talking of huge solar parks that are coming in. And all o f
them require, the panels require to be connected by cables to the inverter and so on. So, there is
a very large requirement out there. The cables can be supplied either through a chemical
process or this irradiation process. The chemical process obviously is not that environment -
friendly. And in the long run, this is a better process to use. So, the requirement is growing,
continues to grow. There are other suppliers today. I think a few of our competitors already
have a line which is not similar to ours. It is made by different manufacturers. So, Polycab has
got a line. I think APAR has got a line. And I am not sure about the others yet.
Saket Kapoor: Universal Cables and Vindhya Tele have also reported in their annual report about the solar
cable and the E-beam part. So, we are competing with them also .
Mahesh Viswanathan: Yes, if they are in this line, then we would be competing with them.
Saket Kapoor: And your market share in this solar cable?
Mahesh Viswanathan: Sir, we have not released anything so far.
Saket Kapoor: Sir, come again.
Mahesh Viswanathan: We have not released our product as yet.

Saket Kapoor: No, taking into account the capacity which you are going to set up and depending upon the
total capacity in the country, what woul d be your contribution?
Mahesh Viswanathan: You mean my wish part?
Saket Kapoor: Currently, sir, what capacity you are putting, if that capacity would have been there, w hat
would your market share become ?
Mahesh Viswanathan: That’s what. So, you are saying if this were to convert into 100% sales, what would it be? That
is what you are asking, right?
Saket Kapoor: Yes, sir.
Mahesh Viswanathan: I think we would like to get to somewhere around between 15 % to 20%.
Saket Kapoor: And sir, lastly p oint sir, as railway part, definitely later on you will mention, but there are also
signaling cables, quad cables . Do we cater to those segment also?
Mahesh Viswanathan: At the moment, no. So that is what I said when I meant railway

s , they have a lot of
requirement of E -beam quad cables, both for their rolling stock operations as well as for their
instrumentation operations. So, these are products which we will be able to supply by using
our accelerators.

Saket Kapoor: Thank you once again , sir, for ans wering all our questions and very elaborate call. Hope to hear more , sir. And next time , sir, please do get the data for the Kavach part of the story also.
Mahesh Viswanathan: I will do that.
Saket Kapoor: And all the best to you , sir, to the team also.
Mahesh Viswanathan: Thank you.
Saket Kapoor: Hope to interact further.
Moderator: Thank you. This brings us to the end of the question -and-answer session. On behalf of Finolex Cables Limited , that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Nov 2024

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Sub: Transcript of the Analysts/Investors Meet held on 14th November 2024 at 4.00 PM.

Ref: Regulation 30 read with Clause 15(a) of PART A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir/Madam,

Pursuant to the above referred Regulation, please find attached the Transcript of the Analyst/Investor Meet held on 14th November 2024 at 4.00 pm (IST) to discuss financial results of the Company for the quarter ended on 30th September , 2024.

The transcript of recording can also be accessed on the Company's website at https://www.finolex.com/View/Page/Analyst- meeting -transcript .

Kindly take the same on record.

Thanking you,

Yours faithfully,
For FINOLEX CABLES LIMITED

Gayatri Kulkarni
Assistant Company Secretary
& Compliance Officer

Encl .: As above

"Finolex Cables Limited
Q2 FY '25 Earnings Conference Call "
November 14, 2024

MANAGEMENT : MR. MAHESH VISWANATHAN – DEPUTY CHIEF EXECUTIVE OFFICER AND CHIEF FINANCIAL OFFICER – FINOLEX CABLES LIMITED

MODERATOR : MS. MAMTA SAMAT – PERFECT RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to Finolex Cables Limited Q2 FY '25 Earnings Conference Call, hosted by Perfect Relations Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch- tone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Mamta Samat from Perfect Relations Private Limited. Thank you, and over to you, ma'am.
Mamta Samat: Thank you, N eerav. Good evening, everyone, and thank you for joining us on Finolex Cables Limited Q2 FY '25 e arnings conference call. Today, we have with us Mr. Mahesh Viswanathan, Deputy CEO and Chief Financial Officer from Finolex Cables. Before we begin, I would like to say that some of the statements that will be made in today's discussion ma y be forward -looking in nature.
We will begin the call with the opening remarks from the management, after which we will have the forum open for the interactive Q&A session. I will now request Mr. Mahesh Viswanathan for the opening remarks. Thank you, and over to you, sir.
Mahesh Viswanathan: I hope I'm audible and clear. So good evening. Welcome to this call from Finolex Cables Limited. Thanks to all the participants for attending. Let me start by a few quick remarks, and then afterwards, I will take questions. So we had a bit of a difficult quarter . We started the quarter with, A , high inventories, and B, inventories which were procured when copper was also very high in terms of value.
So the first couple of months were spent more in ensuring that the stocks got liquidated, both at our end as w ell as at the trade end, which obviously had its impact on margins. We had to take a few price cuts during the quarter because while we were trying to do the liquidation, copper also was consistently falling. So just to give some numbers, average copper at the LME was about $10,130 in May, which dropped to $9,641 in June, $9,394 in July, $8,963 in August. So right through the middle of August, there were situations where copper was continuously declining, and we had to keep adjusting our selling prices acco rdingly. There was some kind of a revival towards the end of September. And in fact, on the 29th of September, we revised our prices upwards for the first time after 4 months. The trend has been quite volatile as far as copper is concerned during the last 7, 8 months.
As we speak today, copper has dropped below $9,000 again. So that volatility plays on the pull from the market and impacts volumes. And when the volatility is fairly sharp, like it happened at the end of first quarter, it also impacts margins. But I believe that as far as the margin corrections are concerned, the worst is behind us, and we should be more stable from now onwards.
So -- while that was the position as far as copper is concerned, overall, as a company, revenue in the quarter improved to INR 1,312 crores, which is 7% higher than the immediately preceding quarter and 10% higher than the corresponding quarter of last year . As I mentioned

earlier, margins did take a hit. We dropped approximately 4 percentage points compared to the comparable quarter of last year and about 1.5 percentage points compared to the immediately preceding quarter.
Barring this aberration, I think v olumes were steady, given the environment in which we were working in during this quarter. Electrical cables, I think, should start showing some signs of recovery from now onwards. On the communication cables part, we had lower realizations, both on the me tal-based cables because copper was fal

ling, and also on the fiber side, while volume was substantially high.
Quarter -on-quarter, the volume was up almost by 50%. But values realized were -- had dropped. Fiber prices have been coming down over the last 2 y ears. So again, to give some reference points, what used to be $4 per kilometer 2 years ago is now $2.6, $2.7 per kilometer landed in India. So there is a substantial reduction in the realization of fiber. I think as the consumption of fiber picks up acros s the globe, we should expect to see this coming back to normal levels, probably over the next 6 to 8 months.
The opportunities on the fiber side still continue to be exciting. BSNL's tender was -- those bids, which were submitted early in August, were ope ned last week -- sorry, this week, and our partners have placed L1 on certain bids. So the -- once the orders are released, then we will know exactly how and in what periods our revenues will change. I expect that the ordering

from BSNL to the bid winners will happen sometime towards the latter part of this quarter and supplies will commence probably around February or March.
Besides this, there are also opportunities on the 5G rollouts as well as data center requirements. But those are kind of somewhat a little long term in nature. Other products have done reasonably well. Values have climbed, and I think we are on track to hit INR 300 crores this year. We did about INR 228 crores or INR 230 crores last year. We should be looking closer to INR300 crores this year. And like I've always mentioned, breakeven should be around INR250 crores, INR260 crores. So this year, we should have that in hand.
The last comment I would like to make is on the capex portion. We had quite a few items lined up, of which the major ones were on the e -beam facility. That is now complete, and we are expecting BIS clearances -- I mean, BIS certifications anytime now. So revenues from this investment should start flowing in from the -- anytime now.
This one, the installation is -- insta llation of the equipment is to commence in the next 2 to 3 weeks. The engineers from the manufacturer are expected here in the next 1 week or 10 days, and then, they should commence the installation. We expect commissioning by -- latest by end of quarter 4 and production to be available from then onwards. The other major part was the expansion of t he auto cable lines in Roorkee.
The equipment have reached and are under commissioning. So we expect all that to happen and get completed by end of December. So these are the 3 major parts of the capex portion, which were underway. All of them should be then closed by end of this fiscal. What remains is the expansion of the fiber draw capacity from 4 million to 6 million. The orders for the

equipment have been plac ed. I think they should arrive somewhere around May or so, May or June, and then the commissioning will start from then onwards. So that's on the capex portion.
Yes. So again, to recapitulate, slightly difficult quarter with margins getting impacted, but I think, as I said before, I believe that the worst is behind us and we should see return to normalcy soon. I'm now open for questions.
Moderator: First question is from the line of Sonali from Jefferies India.
Sonali: Sir, my first question is with regards to the BharatNet that you just spoke about in your opening remarks and the BSNL order. So you're saying...
Moderator: Sonali, you're not audible. Can you speak a little louder, please?
Sonali: Yes. Is this better?
Mahesh Viswanathan: Yes, it is bet ter. It is better.
Sonali: Yes. So, sir, my first question is regarding to the BharatNet or the BSNL order. You said that your partners have received it. Any more color you would like to give us in the sense what is the quantum of the order wherein you/your partners have been anointed as the L1 bidder

?
Which regions? What's the normal terms of the contract? And who is the partner of yours in this BSNL?
Mahesh Viswanathan: Okay. So the bids have been opened in the last 2 days. So in terms of the contract val ues and so on and so forth, that is -- it is too -- still too early to say any numbers. So we had an understanding with one of the bidders that they would use our cables. And they have won, I think, 3 of the bids that they participated in. So at this moment, I'm -- I wouldn't want to name those people, let that process get completed. I think it's little too early to talk about numbers and values at this point in time.
Sonali: Okay. Got it, sir. Sir, my second question is with regards to the electrical wires . Sir, the volume growth has been a bit of -- muted at 2% this quarter. We are a good brand. Could you help us understand about the current demand scenario? Even last quarter, I think the volume growth was in single digits, if I'm not mistaken.
Mahesh Visw anathan: It has been. It has been muted over the last 6, 8 months. Part of the reason, I think, is if you look at the commodity price volatility, it's becoming a little bit difficult to differentiate between what demand is speculation -led and what demand i s actually consumption led. So it kind of gets -- one gets fused in the other. And especially in the first part of the year, March, April, and maybe a couple of weeks of May, copper was climbing and climbing pretty rapidly. So from $8,500 in the beginning of the year, it went up to almost $11,000. So there was -- there were multiple price increases that were announced. And immediately after the announcement, we -- because while you announce it today, the effect of that announcement happens after a week, let 's say. In that interim period, a lot of pull happened. Obviously, that

was substantially speculative. I mean, you buy it today at today's price, and you expect to sell it at a higher price a little later.

But then there was a very sharp correction from th e middle of May. From $11,000, it went down to almost $8,200, $8,300. So that put the brakes on any further buying from the trade and that continued all the way through August. So yes, it has been muted, but there has been some prebuying, let us use that w ord. And then later on, it has got consumed over the last 4 to 6 months period.

I think that volatility is also changing the consumer -- I mean, the trade behavior to some extent.

Sonali: Got it. So is it correct in understanding that there was destocking in the channels due to a sharp correction in the copper prices from $11,000 to $8,000 till mid of August? And after that, have the channels started restocking that? Do you see demand normalization right now as we speak?

Mahesh Viswanathan: Yes. So as I spe ak, that's what I -- in my opening remarks, I said, by the end of September, the average had climbed back to $9,250, but that's the average. So spot prices could have been also $9,700, $9,600. But then again, as we speak today, spot prices have gone below $9,000. It's about $8,800, $8,900 today. So the swings have been fairly high. And the swings have not had a very large period of stability in between.

So the peaks and valleys have been pretty sharp. And I do not know how that will continue to impact consu mption going forward.

Sonali: Understood. Sir, would you like to quantify the inventory loss this quarter because...

Mahesh Viswanathan: We are back -- our inventory now is back to more or less similar levels as where we were last year September and very close to this year March. March, we closed at INR 570 crores, I think, in terms of value. And in September, we were at INR 610 crores or something like that, yes, INR604 crores. Not very far away from that number. And in terms of number of day s, also, we are back to normal.

At the end of March, we were, I th

ink, 52 days, all inventory put together. And we are back to the same level.

Sonali: Understood. Sir, would you -- could you quantify the price cuts that you have taken in Q2?

Mahesh Viswanathan: There were 3 corrections, all totaling to about 11%, I think.

Sonali: And since then it's been steady, is it?

Mahesh Viswanathan: Since then, we had 1 price increase in same, in September, on the last day of September. That was 2% or so. And now we'll have to wait a nd watch because last 1 week, LME has been dipping.

Sonali: Got it. Sir, structurally, do you foresee housing and capex cycles to remain strong? Are you seeing some kind of a slowdown in these 2 broader cycles? Or are you seeing them quite steady across?

Mahesh Viswanathan: I think they are steady, but what impacts the numbers is the kind of volatility that we've been seeing. So that kind of distorts the picture to a large extent.

Sonali: Understood. So largely, this impact was because of copper volatility.

Mahesh Viswanathan: Yes.

Sonali: And competition wise...

Mahesh Viswanathan: There is a little bit of a mix change as well. There has been more project -based selling as opposed to pure retail selling. So that also has had a slight impact on the margins, not much, but definitely there.

Sonali: Sir, generally, our project -based selling is about -- was about -- B2B was 25%. What is it this quarter?

Mahesh Viswanathan: No. When I say project -based, the channel is the same, but we know that certain products are picked up by electricians and certain products are picked up by contractors because they like longer lengths. So the longer length have sold more in quantity as opposed to the standard 90-meter boxes. So -- and the longer lengths because it goes to the Building segment directly, the pricing is a little finer than what is sold through the retail outlets.

Sonali: Got it. Sir, do you expect the margins to revert back to your steady -state 11%, 12% in the coming quarter? Or do you foresee this kind of mix chang e or volatility -based pricing to continue to impact margins?

Mahesh Viswanathan: If the volatility continues, then getting back to 12% might take a little longer. That's about it. It will eventually go there, but it might -- the journey might be a little longer.

Sonali: Got it. And just one last question on the mix change part. Within the electrical cables, autos, construction, et cetera, has there been any material change in these subsegments for you as well?

Mahesh Viswanathan: No, no material change exc ept for certain season dictated stuff. So, for example, typically, in

quarter 2, the agricultural applications are lower in volume because rains are there and water tables are not where you need to use large numbers of -- I mean, large quantities of wires to pull the -- to pump the water out. But other than that, no change.
Moderator: Next question is f rom the line of Shriram R, an I ndividual Investor.
Shriram R: Firstly, what is the market share...
Moderator: Shriram, can I request you to speak through the handset?

Shriram R: Yes, sorry. So what is the market share for us in the Buyer segment alone? And if you can give some update on the pending litigation, that would be very helpful.
Mahesh Viswanathan: Market share on an annualized basis is what I can talk about because on a monthly or a quarterly basis, that number is a little misleading. At an annual basis, and again, if I take last year's number, our wire revenue was somewhere around INR 4,200 crores or INR4,300 crores
out of a total wire market size of about INR 25,000 crores. So slightly over -- slightly under 20% at that level. That's what it would be. Individual product lines might be different. Auto would be different, agri would be different and so on. But overal

l, wires would be around 18%
to 20%.
Your second question was on the pending litigations. Other than what you might have seen in the public domain, I have nothing additional to add there. There was one matter before the NCLAT, which was disposed off and directions given to the NCLT to decide on the matter that is before them within a period of time.
And what is that matter between -- in front of the NCLT is basically who holds ownership of the disputed shares in Orbit, and therefore, who ga ins -- who gets control over all the entities. So that basic question is still to be answered. And NCLAT has given directions to NCLT to hear that matter and dispose it off quickly. Beyond that, there is nothing much that I can add or there is nothing much that the company or I know about.
Shriram R: Okay. That's helpful, sir. I mean, in terms of market share, compared to now when you said 20% in FY '24, so maybe 2, 3 years back, how much was it? I mean I'm just trying to understand have we maintained our m arket share at least for the last couple of years?
Mahesh Viswanathan: I think in the last 2, 3 years, we have been more or less steady. Maybe 1% here or there would have been different, but I suppose -- I mean, I think it's been more or less steady.
Moder ator: Next question is from the line of Achal Lohade from Nuvama Institutional Equities.
Achal Lohade: Sir, is it possible to get the capacity what we have as of now for the electrical cables, cables and wires put together? And what is the expansion or what kind of expansion are we seeing over next 2, 3 years?
Mahesh Viswanathan: Well, we have -- if I use a standard product, then I can -- I mean if I use that standard 90 -meter box as the unit of measurement, then we have the capacity to make approximatel y 23, 24 lakh coils per month. Utilization is around slightly over 65% at this point in time. This is on the standard wire. Then, of course, there are additional capacities for auto cables and for agricultural applications.
Auto is more or less 80% occupi ed. Agricultural is slightly seasonal. So last quarter was not much of an occupancy because once we have a range, then that particular product line, the demand is not very high. It is only maintenance requirements that are there. But overall, at a company level, our utilization of the wire assets would be somewhere around 65% to 70% in between.

Achal Lohade: Right. And if you could talk to split, let's say, FY '24 split, so you mentioned about wires, about INR4,200 crores, right? But does that also include the auto and agri cables or it's purely wires?
Mahesh Viswanathan: No, no, excluding that.
Achal Lohade: Only wires, right?
Mahesh Viswanathan: Yes, yes, yes.
Achal Lohade: Okay. Understood. With respect to the industry capacity, any similar number you hav e for the industry as a whole for wire and also for cable?
Mahesh Viswanathan: No, it's difficult. I mean, there is some information available with IEEEMA -- I-E-E-E-M-A, that is the industry trade association, but it all depends on how transparent everybody is in terms of sharing that data. Long before, maybe before 2014 or '13, MCA used to mandate that you declare the capacities, and therefore, also what levels you're operating at. That requirement

was removed at that point in time. And since then, you only have to rely on what is published
by IEEMA.
Achal Lohade: Right. Understood. Second question I had with respect to the -- while the copper prices have
been volatile, if you could help us understand -- because we see that the others like the market
leader and a couple of others, have actually shown a 20% -plus kind of a volume growth in
wires. So I mean...
Mahesh Viswanathan: See, everybody reports consolidated numbers. What you see is a number that is reported that
includes wires, cables, everything. The total market -- the

segment reporting is only at
electrical cables level. And so some of our peers have a much larger exposure to the cable
market, whereas we do not. I talked about the wire market being...
Achal Lohade: Fair, fair. In fact, in the calls, they have mentioned, sir. In the earnings call, they have talked
about, like Polycab has talked about 24%, 25% volume growth in wires, so is the case with
KEI 20% -plus, so is the case with Havells, wires growth was very strong. In fact, that is the
reason the margins got impacted, et cetera. So I'm just curious, is there any basic difference in
terms of sourcing or hedging of copper for us vis -a-vis the industry or these key players? Is
there any difference?
Mahesh Viswanathan: I cannot comment on how they hedge us or what protection measures they take or don't take. I
know what we do. We buy on month averages. And I think I've explained this in earlier calls
also. We buy on month averages, we don't take long calls. So we -- for cash flow purposes, we
have an understanding with the supplier as to what would be the provisional price that we will
pay. And later on at the end of the month, we settled difference.
And just to correct you in your this thing, just -- I'm looking at, for example, KEI, they have
reported a 9% increase in revenue, not in quantity, in wire, and 24% increase in cables. Now if I go to Polycab, again, they
have -- cable and wire, cable reven ue is up 24%, EBIT margin at
12.3%, down 231 basis points. So everyone has had an issue on the wires side this year. Cable,

yes, they've all improved more. And our participation in the overall cable market is very small.
Out of the market size of approximately INR25,000 crores, we do a business of less than
INR200 crores. So that skews the presentation a little bit.
Achal Lohade: Right. No, I was more talking from a volume growth perspective, which they talked about in the earnings call,
but I'll take that offline, sir. So you said INR 25,000 crores is the power
cables market size. Is that so?
Mahesh Viswanathan: Yes, yes, power and control cable. So that includes all voltage grades above 11 all the way to -
- sorry, 6 above all the way to 500.
Achal Lohade: Right. And our revenue in that particular segment is just INR 200 crores.
Mahesh Viswanathan: Yes. Slightly more than that. I think INR 200 crores from this entity and about INR 200 crores
from the JV.
Achal Lohade: Right. So about INR 400 crores total.
Mahesh Viswanathan: Yes.
Achal Lohade: Understood. Any plans to add capacity in this particular power cable side? How do you see the
situation? Do you see this getting slow down or this is very much steady or strong?
Mahesh Viswanathan: No, it is rather -- it's a strong scenario. I don't see demand coming down there. But it is tender -
driven, L1-based business. And a significant percentage of the customers are power utilities. Most of them being -- belonging
to the distribution side. So risks that are there are tow ards
collection, timing of collection. So you will find that many of my peers have that impact visible on their DSO. I have a DSO o f,
I think, 14 days or 15 days.
Typically, you will find most of them having DSOs of 60, 70 days. Some of them even longer
than that. So it's a different environment. And some of the practices are not something that we
are very comfortable with. So on the call this is all I can say.
Achal Lohade: Fair point, sir. That's very helpful, sir. Just last question, if I may. With re spect to the
communication cables, if you look at the segment margin, it's -- EBIT level, it's about 2% to
3% for last couple of years. One of the reason is the price correction what you've highlighted.
For this particular BharatNet, BSNL orders, is it fair to say that the margins will be similar or
they could be materially different or at the company level average for these order

s?
Mahesh Viswanathan: It should be better than what we have today. The numbers that you see today are 2% to 2.5%
as a result of 2 things. One is the price realization that has been there for the last couple of
years. And the second is also the fact that volumes have not changed -- this quarter was good,
but, otherwise, volumes have not moved substantially over the last year, 1.5 ye ars. The reason
for that is government, which is a very large customer in this area, did not have any

procurement over the last 1.5 years. And normally, they account for about 60% of the buy during this -- in this segment.

So utilization of assets was als o low, and fixed cost absorption was, therefore, affected, and
that impacted margins of course. But once we -- once the procurement from the government
side starts, and volumes start moving up, then these 2 will definitely start climbing back. It will
take a little bit of time before it reaches the historical averages. We used to average around 7%,
8% in the past. For that to happen, it will take a little bit of time, but it should start climbing.
Achal Lohade: And what is the execution period for or supply period for these cables, sir?
Mahesh Viswanathan: The BSNL tender, I mean this current tender that we're talking about is 3 years post ordering
and then followed by a 7-year period of maintenance subsequently.
Achal Lohade: And typically, what would that split be? Let's say, if it is INR 100 order, how much would be
the cable -- communication cable supply part of it?
Mahesh Viswanathan: Cable, our estimate is above 10%. It might differ in some of those -- there were 16 packages,
so on the average, it would be around 10%. Individual packages might differ between -- it
might be between 9% and 11%.
Achal Lohade: It is that narrow a difference. Okay. Understood.
Mahesh Viswanathan: Because you have -- it's not just cable supply, it is erection involved. There is lots of …
Moderator: Ladies and gentlemen, please stay connected while we re-join the management back to the
call. Ladies and gentlemen thank you for your patience for the line for the management
reconnected. Achal, would you like to guide sir, where the line dropped?
Achal Lohade: Sir, you were talking about this is just not the supply, and after that, it got disconnected, sir.
Mahesh Viswanathan: Okay. I'm sorry. Let me repeat that part. The -- it's not just the supply of cables. There are also
electronics and other active and passive elements that are involved. So the package values or
the cable supply percentage might vary a little bit depending upon the concentration of other
elements in the whole package. That's about it.
Achal Lohade: Got it. Got it. And sir, if you could just comment on the capex for FY '25, '26 and '27?
Mahesh Viswanathan: So in my remarks, I said that we -- the major capex plans that we had announced about a year
ago was on expanding capacity on the optic fiber cable side . Number one was we were putting
up a preform plant. Preform is a glass from which fiber is drawn. So that -- in Phase 1, we
were putting up a plant to generate approximately 100 metric tons of glass, which would equal to around 4 million kilometers
of fib er.
That plant, the equipment is here. Commissioning is expected to start in the next 2 weeks or
so. We are expecting the engineers from the manufacturer any time now. And we expect that
Phase 1 commissioning would be over by quarter 4, and initial product ion would start from
there. The second part of this expansion was to increase the fiber capacity, fiber draw capacity.
Currently, we have 4 million kilometers capacity, increase that to 8 million in 2 stages; stage 1,
up to 6 million, and stage 2, later on to 8 million. For stage 1, the orders have been placed, and

equ

ipment is expected sometime in the second quarter next year. Once that happens, the
insulation commissioning of that will start.
The third part of the same business is to increase the cable c apacity. Currently, we have a
capacity to cable 8 million kilometers, to take it up to 10. The building is ready. So we were waiting for clarity on the BSNL
tenders. And soon, we'll have to decide whether current
capacity is sufficient to meet that or do w e need to extend -- I mean, increase the cabling
capacity.
Like I said, the building is already ready, the equipment lead time is about 7 to 8 months. So
we can take a call on that once the ordering situation becomes clearer. So this is on the optic fiber business. Next to that, we
had announced a program on setting up an e -beam facility with
2 e-beam accelerators, one at 1 MeV and the second one at 1.5 MeV. Both the machines are
installed, commissioned and ready for some co mmercial use.
We have -- you have a choice of either selling your product with BIS label or not. We've opted
for using the BIS label. So our BIS testing has all happened. We are expecting the certification anytime now. Once that is
done, then we can launch it as an ISI -marked product. So that
should happen any time now.
The third large spend was on adding to our auto cable capacity at our Uttaranchal plant, where
the plan was to double the existing capacity at that plant. Machines have arrived. And they
have been installed. Testing is going on. So we expect that to be com missioned by end of

December. So these were the major items. All told, approximately INR 500 crores was to be spent on all these programs.

Last fiscal, we spent about INR 160 crores, I think. Bulk of the balance will be spent in the current fiscal with a small overflow into the next year. Beyond that, we will have to see now if -- we talked about wire demand, where it is, is it expected to grow, is it expected to be stable or what. So that is something that we are looking at. And depending on that, we will take the call, and if necessary, go ahead with this.

Achal Lohade: Sir, is it fair to say that FY '26, the capex could be, say, INR 100 crores to INR 200 crores?

Mahesh Viswanathan: Yes, it's possible.

Moderator: Next question is from the line of Raman KV f rom Sequent Investments.

Raman KV: Sir, I just have one question. What is the revenue or volume guidance for this year?

Mahesh Viswanathan: Look, last year, we did INR 5,000 crores -- just over INR 5,000 crores. Barring -- I mean, our numbers are always impa cted by what happens on the commodity side. If copper remains steady, then that number can be towards the INR 6,000 crores number. But if it keeps zigzagging, then it's a little difficult to predict. So at the moment, 6 months, we are at INR2,600 crores, I think, yes. So typically, quarter 3 and quarter 4 are about 65% -- 60% plus of the year's numbers. So that could be an indicator for you.

Raman KV: And so can we expect the margins to be around 10%?

Mahesh Viswanathan: Yes. Like I said, the second quarter margins were low, but I think we should track back to normalcy in the coming quarters.

Moderator: Next question is from the line of Praveen Sahay from Prabhudas Lilladher.

Praveen Sahay: Yes. So my first question is just on the communication cable, and tha t's a clarification. As your numbers suggest, it's a 2%, 2.5% of our margin business. And as you had also highlighted, it's because of a low utilization this kind of a margin you have. So once the utilization will improve from here, do you see this margin profile to improve? And if it's improved, how much you can reach in this business?

Mahesh Viswanathan: If you go back a couple of years, we were averaging about 7%, 8% in margins from this business. So that is something that is definitely doable. We've done it for several years in t

he
past. So there's no reason why we should not be able to do it again. That's number one.

Number two, some of the money that we're spending on capex will also help us in increasing our margins because we will be backward -integrating in terms of our raw material, which means today, what we are buying from somebody else.

And obviously, that someone else has got some margin when he sells it to us, that will be something that we will capture in our books. And we could use it in 2 manners, either it helps us to be more competitive in our end pricing towards our end customers or we could still reiterate and increase the margin. So the margin increase could come either by keeping everything with ourselves or by increasing volume, and therefore, volume brings in more margins.

Praveen Sahay: And second question related to that, sir, once you bid for a certain pricing for this project, how the behavior of the raw material price pass on in such kind of projects?

Mahesh Viswanathan: So wher e we bid on a long gestation projects, typically, we have -- we try and build a price variation clause into that and see what are the major items affecting it and then that variation clause then helps us to maintain stability. There are a few cases, of cou rse, where, for example, government contracts, the prices are required to be firm for a certain period of time. There, once we get the order, we back -to-back freeze the prices with our suppliers.

Praveen Sahay: And usually, lifespan of the -- any project, especially in the BharatNet.

Mahesh Viswanathan: Well, in BharatNet kind of a project, then we will -- this particular thing says the main installation as to be completed in 3 years. So that's the lifespan. And so when we -- let's say, I'm supplying cable to one of these bid winners, we will have to agree on our purchase -- I mean, sales contracts that there will be a price variation included so that we are protected.

Praveen Sahay: Okay. And lastly, related to this, sir, if you are backward integrated in terms of optical fiber manufacturer as well, is there any margin difference versus just a cable supply, optical fiber cable versus you are also manufacturing optical fiber? So is there a material difference in that or it's just the same?

Mahesh Viswanathan: In the normal course, there would be. In a normal course, there would be because fiber, depending on the design, can constitute anywhere up to 50% of the cost of the cable. And

where the fiber count is very small, it may not be that high. But typically, the kind of designs that, let's say, BSNL sources, which is 48 or 96 fiber cables, there -- of course, there would be -- the cost of the fiber would make a difference.
However, the last 2 years have been slightly different because of global supply scenarios . The unused capacity in China reflecting on price trends everywhere. What used to be $4, $4.5 per kilometer is now about $2.8, so -- but I don't think this luck is going to last very long. When the requirements for 5G connectivity and other applications i ncrease, I think fiber prices will move upwards again.
Praveen Sahay: And which states you are covering in this?
Mahesh Viswanathan: I don't recall offhand where -- which bids our partner has won. But it's 1 of those 16. But this is not just the one opport unity. Besides this, there are 7 to 8 more states whose DPRs are currently under evaluation, and they are likely to come out with tenders in the next 3 to 6 months, and not all of them together, but over the period of next 3 to 6 months. And some of them a re in large states. So there you have Gujarat, you've got Maharashtra, you have Karnataka, you've got AP, all these people coming in line there.
Praveen Sahay: And your utilization currently in this segment right now?
Mahesh Viswanathan: It's now -- at the moment, as we speak, the utilizatio

n is high because we are one of the largest suppliers to Bharti. Their -- so their requirement is keeping us full for almost 60% of the capacity.
Moderator: Next question is from the line of Mukesh Patil, I ndividual Investor.
Mukesh Patil: Sir, about FMEG business for H1, what is the number?
Mahesh Viswanathan: Sorry, I didn't get your question.
Mukesh Patil: For FMEG business...
Mahesh Viswanathan: About FMEG business, what is your question?
Mukesh Patil: H1 number?
Mahesh Viswanathan: H1 number?
Mukesh Patil: Yes.
Mahesh Viswanathan: So we are at about INR 128 crores at the end of H1 against INR 100 crores last year. So volumes are -- I mean we are doing very well in volumes as far as lighting is concerned, as far as switches and switchgears are concerned. Where we still need to improve is on the fans and water heater, that category. Conduits are doing very well. So I think, like I mentioned at the

beginning of the conference, we are on track to be very close to the INR 300 crores mark this year, which would be almost a 40% jump from last year.
Also, like I said, I've said this in the past also, at INR 250 crores, INR 260 crores, we should be breaking even. And I think that position still stands. The only other point that I would like to add there is, while volumes are improving in lighting, price erosion has been fairly strong in the Lighting segment, so it's a race to be on top of that.
Mukesh Patil: And aside from volume growth, have you mentioned about what was the volume growth for our wire business during this quarter?
Mahesh Viswanathan: Your voice is again getting distorted. Volume growth on which product?
Mukesh Patil: What was the volume growth for the wire and cable business for this quarter?
Mahesh Viswanathan: Yes, that volume growth overall is about 2%.
Moderator: Thank you very much. Ladies and gentlemen, that was the last question. On behalf of Finolex Cables Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your li nes. Thank you.
Mahesh Viswanathan: Thank you.

Call: Jun 2025

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FCL:SEC:SE :25:43 04th June, 2025
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Sub: Transcript of the Analysts/Investors Meet held on 2nd June 2025 at 4.00 PM.

Ref: Regulation 30 read with Clause 15(a) of PART A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir/Madam,
Pursuant to the above referred Regulation, please find attached the Transcript of the Analyst/Investor Meet held on 02
nd June, 2025 at 4.00 pm (IST) to discuss financial results of the Company for the quarter and Financial Year ended on 31st March, 2025.

The transcript of recording can also be accessed on the Company's website at https://www.finolex.com/View/Page/Analyst- meeting -transcript .

Kindly take the same on record.

Thanking you,

Yours fa ithfully,
For FINOLEX CABLES LIMITED

Gayatri Kulkarni
Assistant Company Secretary
& Compliance Officer

Encl .: As above

"Finolex Cables Limited
Q4 FY '25 Earnings Conference Call "
June 02, 2025

Moderator: Good evening, everyone, and thank you for joining us on Finolex Cables Limited Q4 FY '25 Earnings Conference Call. Today, we have with us Mr. Mahesh Viswanathan, Director, CEO and Chief Financial Officer from Finolex Cables. Before we begin, I would like to state that some of the statements made in today's discussion may be forward-looking in nature. We will begin the call with the opening remarks from the management, after which we will have the forum open for an interactive Q&A session.

As a reminder, all participant lines will be in the listen only mode and should you need assistance during this conference call, yo u may signal the operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mahesh Viswanathan. Thank you, and over to you, sir.

Mahesh Viswanathan: Thank you, N eerav. Good afternoon, everybody. Thank you for joining on this call. I'm sure by now, you must have seen the results, reviewed them, dissected them. And you will have questions, I'll be happy to answer them. By way of introduction, the quarter has been dece nt.

After a difficult second and third quarter, I think we have pulled back with a growth of about 14% quarter -on-quarter and 35% from the immediately preceding quarter.

Profit numbers are also good. At INR208 crores, the profit before tax, the highest that we have seen so far per quarter. Margins were under pressure throughout the year. There has been a lot of volatility on the commodity side. And that, together with a few changes in the mix has resulted in a lower contribution, lower margin during the ye ar.

Some of it, we will be able to catch up. Those are timing differences, which we will be able to catch up. The rest, the product mix and so on, we'll have to see how to manage those in the future. Barring this short comments, I do not have much more by way of an introduction.

So let's go straight into the Q&A session. So I'm open to questions now.

Mod erator : Thank you very much. The first question is from the line of Vidit Trivedi from Asian Market Securities. Please go ahead.

Vidit Trivedi: I have 2 questions. First is, could you please elaborate on the commercial potential and the margin profile of the e -beam products which were launched during the year? And second is, any guidance for the capex for this year and the coming year? And any update on the BharatNet opportunity?

Mahesh Viswanathan: Okay. So 3 questions, actually. On the e -beam project that was commissioned early this year, January. And we have launched 2 sets of products in the market. One is on the construction side, building were, which is our most premium wire, it has all the features, halogen -free flame resistant as well as e-beam cured. So in terms of life, minimum life of about 25 years. And in terms of performance, far superior to everything else that we have got so far.

That was launched in -- towards the end of February. Simultaneously, we also launched the solar cables. There was a little bit of delay in getting the BIS approval, which we now have. So

these are 2 offerings that are available at this point in time. We expect the pl an to generate revenue when it is in full steam of about INR 500 crores to INR 600 crores per year from these 2 products. Newer products will add on to that revenue stream. So that's one question answered. Your second question was on the capex . Last year...

Vidit Trivedi: Sorry to interrupt you. Second was on the margin profile of these new launch products?

Mahesh Viswanathan: Okay. We still have to find the right pricing part for it. They have just been launched. So at the moment, the launch prices are quite attractive. But I think over the next 3 to 4 months as we see demand picki

ng up, that is when our final pricing policy very much.

So I think it's a little early to talk about that at this moment. The second part of your question was on capex . '24, '25, our capex has been about -- actual spend has been INR 236 crores. We had announced a INR 500 crores plan 2 years ago. Out of which about INR 160 crores was spent in '23, '24. 235 -- INR236 crores was spent in the last fiscal. The remaining part will be spent i n the current year. Most of it -- so all those projects should get closed by the end of this fiscal.

Additionally, always, there is a reinstatement capex of about INR40 crores, INR 50 crores. So that is something that will be spent. We're working on a few other plants, but not ready as yet to make an announcement. So once those are finalized, we'll come back.
The last part of your question was on the BharatNet project. We had participated in -- as a consortium partner, we had taken part and we have placed bids in 2 of those circles Unfortunately, we did not -- our consortium did not get any place position in those 2 bits. However, many of the winners across the 16 circles, have used our manufacturers authorization to place their bids so we are in discussion with many of those winners, and we are hopeful of a decent level of business in the current and the next years.
Mode rator : Next question is from the line of Sonali Salgaonkar from Jefferies India.
Sonali Salgaonkar: So my first question is regarding the m ix change that you were talking about in your initial remarks. Maybe I understand what exactly have you changed in the production mix and what percentage does each end user segment account for...
Mahesh Viswanathan: In construction wide still accounts for the majority of sales, but what has changed in terms of mix is the stand -alone sales through in the form of standard boxes. That has come down vis -a-vis project sales. And as you know, project sales is where the price is discounted to some extent. So the c omposition of project sales to total has changed over the last few years, and this year was more pronounced. So that's the major reason.
Sonali Salgaonkar: So if I recollect, we were about 65% to 70% B2C or retail and the reminder was B2B in that way, wher e are we in B2B or projects now?

Mahesh Viswanathan: No. Like the -- we do not sell directly to any project, we sell it through our distribution channel only. So in that sense, our sales are routed through the channel. However, we know that many of those s ales are going 2 projects. And therefore, there is a discounting on the price.
Sonali Salgaonkar: Yes, very clear. So what is the mix right now of projects versus, say, 3 years back?
Mahesh Viswanathan: That would have changed maybe between -- about the 8% to 10%, that would be a shift.
Sonali Salgaonkar: So incremental delta 8% to 10% towards project?
Mahesh Viswanathan: Correct.
Sonali Salgaonkar: So my second question is regarding the BharatNet comm entary that you made that many of the bidders , I didn't quite understand that. A re you saying that many of the bidders are going to use other optic fiber cables for that?
Mahesh Viswanathan: See, at this time around quite a few of the bidders are not actually producing optic fiber cable. So they will have to so urce their cables through from somebody. And therefore, they were allowed to use manufacturers authorization to place their bids. And this is not new it's happened in the past as well. But the numbers of non-OFC manufacturers have been more this time aroun d.
Sonali Salgaonkar: And by when do you expect the volumes of OFC to pick up for this BharatNet?
Mahesh Viswanathan: I think the orders have recently been released. While the bid mechanics concluded sometime last November, the actual orders have been -- have gone out to the eventual winners sometime in March or April. So t

he procurement process is on -- they have 3 years to build and 10 years afterwards to service. So there is -- it is the procurement process has just started for most people.
Sonali Salgao nkar : Understood. Sir, my third question would be regarding pricing actions. Could you quantify what are the price increases that you've taken in Q4? And some April to now, has there been any pricing changes in cables and wire?
Mahesh Viswanathan: Well, we had one day before yesterday. So in the last fiscal, there were 12x when prices were revised only on wires. So it's almost once a month. There have been a few cases where -- about six cases where the prices were revised downwards and another 6x when the p rices went up.
That is purely a reaction to the volatility that was there during the year on commodity prices.
So net impact, I think costs would have gone up about 12.5% to 13%.
Sonali Salgaonkar : In the fiscal FY '25, right?
Mahesh Viswanathan: Yes. In the fiscal.
Sonali Salgaonkar: Yes. During April and May, you mentioned that about -- just about a few days that you took up pricing decision?

Mahesh Viswanathan: Effective yesterday, prices have changed by 3%.
Sonali Salgaonkar : Prices between, so upwards?

Mahesh Viswanathan: Yes.
Sonali Salgaonkar : Understood. Sir, my last question is regarding EHV. A lot has been talked about the solid opportunity in EHV. Any thoughts or plans to increase our projects there?
Mahesh Viswanathan: EHV, the growth prospects are still very good. There is concentration of requirements around the plus 160kV plus range. But as you know, these are projects which are very long in every part of that business, whether it is the tendering or the decisions on the tenders are
subsequently on our and execution. Currently, I think the market size is approximately anywhere between $400 million to $500 million worth likely improvement towards $1.5 billion, $2 billion is not far -fetched.
I think at this moment, we are reasonably placed in terms of ability to get orders. But then the business being -- a long lead time business, it takes more than 18 months, 20 months to complete a particular project and then more time to collect the monies around the project. So that's the nature of thi s particular business.
Sonali Salgaonkar : So currently, as of FY '25, how much of your revenue is coming from EHV?
Mahesh Viswanathan: That is in the JV. It's not in our books.
Moderator: Next question is from the line of Manoj Gori from Equirus Securities .
Manoj Gori : So I have one question. If I look at the FY '25 performance and when I look at the other companies reporting the numbers and the commentaries probably somewhere we feel like we have underperformed in the via space, especially in the B2C side. And you just highlighted like some of the growth in FY '25 has been driven from the project business.
So what are the areas? And what were the reasons which led to this underperformance versus peers probably how should we look at things in the coming tim e. Is this -- are these issues behind us, so probably will take some time for this underperformance to arrest and probably then grow in line or better than the industry?
Mahesh Viswanathan: Okay. My first statement was after a difficult second and third qu arter. So second and third quarter was difficult for us. First quarter was across the board. I think everyone faced a problem in terms of the in terms of the lack of enthusiasm from the market after the initial reports around the election. But subsequently, as others have gotten off the mark quicker than us. That is true. But I think we've done a fairly good fourth quarter.
In terms of growth in the fourth quarter, our numbers are not very different from our peers.
Some of them have larger volu mes, yes, but the growth numbers are not very different. So I

think -- we have -- we had lagged in the second and third quarters, but have caught up in the fourth quarter. And I think that is something that is behind us right now.
Manoj Gori : Right, sir. S ir, secondly, if you look at from the demand perspective, what we are seeing is probably from last 2, 2.5 years, we are seeing wires relatively growing slower than cables …
Mahesh Viswanathan: This is true.
Manoj Gori: We are a wire dominant company. How do you see demand environment panning out from, let's say, FY '26 or FY '27 point of view? If you can break it into two parts, FY '26 and '27, both individually. And what would be the trigger? Because obviously, real estate, we have been talking a lot that there should be some pickup, but we are not seeing any major signs of revival of demand for is as a category. How should we see this?
Mahesh Viswanathan: I think there is -- if you look at the registration and other data that is there, there is definitely inventory reduction from the -- on the unit side. Simultaneously new projects are getting announced as they near completion is when the demand for wires would pick up. As you said, we were expecting the pickup to happen over at least the second half of last year, which is not.
But I think with the kind of construction activity that is going on, it wouldn't be far -fetched to say that the current fiscal from the second half, you should see a revival in demand.
Hopefully, the level of volatility that was there last year, doesn't continue through this year. If there is stability, then I think things would pick up. Yes. The business -- this is what I believe at this point in time. And I think you should see growth next year for sure and probably from the second h alf of this year.
Manoj Gori : Sir, lastly, if I may touch up on the margins. In Q3 and Q4, we have relatively done better on margin delivery. Should we assume that probably those margin pressures, which we are witnessing the worst is behind us. From year onwards, either this should be the base case margin profile and probably we might see gradual improvement.
Mahesh Viswanathan: I would say that there should be gradual improvement. I think if you look at our numbers over the last 5, 6 years, this '24, '25 w as probably the first year when the margins have taken a dip and then come back to -- and not yet come back to where it was, but going towards that.
I do believe that most of the margin pressure related issues are behind us. We have addressed them as best as we can. And I think that from now, one should see stable to renewal growth
over the next period.

Moderator: Next question is from the line of Kaustav Bubna from BMSPL Capital.
Kaustav Bubna : Just wanted an update on the optic fiber cable capacities that were supposed to come up? Or what's the update over there?

Mahesh Viswanathan: Okay. So on the optic fiber business, there were a few measures that we were taking. The first one was to set up a preform facility. So the facility is ready. It's been mechanically installed and completed. We are waiting for the production trials to start that is slated for sometime this month. When that is over, then that should take about 2 to 3 months before the trials are over and the plant stabilizes. So from then onwa rds, then I think we have the product in the market as well as for our own consumption. So that would be the preform.
The second step was on the fiber capacity increase. Fiber capacity -- the machine is expected sometime towards the second half of this ye ar. I think somewhere around December time frame and would take another 2 to 3 months to install and commission. So when that is done, fiber capacity will go up from the current 4 million kilometers to 6 million kilometers.
The last stage was for adding an other line to the cabling capac

ity. The building is ready. But once the fiber line is commissioned, that's when those equipments would come in. But those are fairly simple to install, it should not take too much of time . Within 6 months , that can be made ready .
Kaustav Bubna : And could you speak a little bit about what's happening with pricing on the fiber side and...
Mahesh Viswanathan: The last fiscal fiber prices went through one of their lowest numbers. Partly, in view of the excess capacity as well as excess stocks available in China. While India had brought in additional duty, the prices kept falling, and I have even heard of $2.5 a kilometer kind of numbers at which price it's really unrealistic to produce.
But having said that, over the last 2 to 3 months, we have seen a change in the way the fiber market has been developing. Globally, the consumption and demand related activities in the U.S. have strengthened very quickly, and there is a lot of demand in North America. There is also additional demand coming in from Europe. So we are seeing prices firming up now. So it's closer to $3.5 right now as opposed to $2.5, which was prevail ing for most of the year last year.
Moderator: Next question is from the line of Saket Kapoor from Kapoor & Company.
Saket Kapoor : To take the discussion forward on the OF and the OFC prices. So you were alluding to the fact that the prices for OFC has mov ed up from an average of 2.5 to 3.5. This is what just -- that is for the fiber and -- that is the fiber price, okay. Then what are the fiber cable prices, OFC prices?
Mahesh Viswanathan: That would depend on the design of the cable, right? So you might ha ve 2 fibers, 4 fibers, 288 fibers so the design mix, the price change. I mean there is no standard si ngle price for all the cables.
Saket Kapoor : Sorry, sir. Come again?

Mahesh Viswanathan: I'm saying there is no standard single price for all the cables be cause the price of the cable will depend on the design of the cable.
Saket Kapoor : If we take the utilization levels for the optic fiber cable for our company and also for the country , domestically, how have the utilization levels been for the last fiscal? And what kind of uptick we have seen in the utilization levels for the current 2 months of this fiscal?
Mahesh Viswanathan: Last year, I think was fairly low across the board because government orders had been delayed. And like I mentioned earlier, while the tendering process for the Bharat Broadband project got completed sometime in November, orders have been released only sometime in March or April -- sorry, February or March.
So orders to the cable manufacturers have not -- there were not much . So the utilization levels would have been fairly low last year, around 50%, 55%. This year, I think that should change because the delivery of those 16 circles is required to be done in 3 year s. And while there is fiber capacity, cabling capacity will have to catch up because peak capacity may not be sufficient. So I think the utilization levels will improve in the current and the next fiscal for sure.
Saket Kapoor : Because I'm just coming to t he point by the comment by one of the leading optic fiber cable manufacturer in the country where in the ir release, they have mentioned about utilizing reaching the optimum level of, say, 90% to 100% by the month of July on the basis of what the

tendering process has been. So are we also expecting those high levels of optic fiber cab le utilization by the first or the second quarter? Or what's the outlook currently for the same, sir?
Mahesh Viswanathan: Okay. My gut feel says that it would be more later than earlier. I think July is probably -- from where I stand, it's probably a little optimistic but later for sure.
Saket Kapoor : Okay. For the later half, we can expect higher utilization level.
Mahesh Viswanathan: That's for sure

, yes.
Saket Kapoor : And thes e are on premise of both the global demand from the data centers and also the domestic demand coming up from the BharatNet tendering. These are the 2 demand drivers, the key demand drivers.
Mahesh Viswanathan: Correct. So the BharatNet project, which has b een tendered out recently, that only completes 16 circles. So this is Phase 3. There are other states which are doing it on their own. So for example, Gujarat, Maharashtra, I think Karnataka -- not Karnataka, Tamil Nadu, Andhra they are all doing it on the ir own. So that is still expected to come shortly. Those DPRs are I understand currently being made.
Gujarat had come out with the tender, but the others not yet. So that demand is going to drive the requirement of cables over the next 2 to 3 years. Besid es that, of course, there will be consumption in data centers. There is also consumption happening at the last mile

connectivity. So as the 5G rollout happens or as the acceptance happens, there'll be more fiber -to-home applications. So that will also cons ume different kind of cables.
Saket Kapoor : Okay. So in just a summary, we can conclude that the worst for the optic fiber cable demand and utilization levels are behind , and going ahead, the -- what seems to be coming 2, 3 years, they are going to run at full steam depending upon how and when the projects get opened up and for the process to continue.
Mahesh Viswanathan: Yes, I think it is a positive output for sure.
Saket Kapoor : Okay. Sir, just a small question on the total capacity of optic fiber cable in the country, taking into account the type of capacity addition that has happened over the last few years, what is the total capacity? And where are we in terms of our market shares domestically?
Mahesh Viswanathan: Our shares have been around 11% in this market. Total capacity, I would be guessing if I make a number , I think I'll have to look up at those numbers before I say something right now. I can come back to you later.
Saket Kapoor : So now on the electrical cable part of the story, sir, how are we seeing the demand drivers for the EHV cable and also the new setup being for the renewable segment that is leading to the new distribution line being set up. How are we seeing the demand drivers from there? And what portion of our revenue is derived fro m the EHV segment , the extra high voltage?
Mahesh Viswanathan: So like I mentioned earlier, the EHV part of the business is being done by a joint venture. So those numbers are not included in our stand-alone results, only the profit or losses accounted in our consolidated results. But EHV as a segment seems to be growing. I earlier mentioned that current level of the market is about $500 million. And we see that it can grow up to $2 billion in the next 4 to 5 years. So that's the potential that is there. Players, there are multiple players in India also now.
And some of them are now entering the field with technology that we brought in 10 years ago or what Universal brought in 15 years ago. So there is definitely a place for multiple players at this point in time. The difference between the traditional wire business as well as this is that the gestation period in this business is fairly long.
Each project takes anywhere between 12 to 24 months to complete. So your sales recognition is not at one point in time, it spreads over 24 months. So that's the challenge, and that's the business. So from an existing level of $500 million to a potential of $2 billion is the market size…
Saket Kapoor : Sorry, I interrupted you. You wanted to conclude?
Mahesh Viswanathan: That is on the EHV part. You had another question, which is on the renewables. So we have -- like I mentioned earlier, we have introduced wires and cables, which are cured by e-beam. The application primarily was to address the solar power i

ndustry. Thes e are cables with an

extremely long life. So if you expect, for example, a panel to last 25, 30 years, you would also

expect the cables to last the same number of years. Otherwise, we'll have to keep changing the
cables every so often.
Once they're cured by E -beam, that results in a very long life for these cables. We have
launched them in February, and we have recently got our certifications through BIS also. And we expect this industry to grow.
I think currently, the volume of these cables that are sold are anywhere between 20,000 to
25,000 kilometers per month, and that can only increase given the fact that our government's
target to improve the power generation from solar and wind generation is climbing and the
targets for the future years are even hig her than what they are today.
So we do see a large potential in this space. Additionally, the E-beam facility, we have also
launched a premium provider product. So this will go into building into construction, where
we expect the life of the wire to be a minimum of 25 years. So that would also add to overall
volumes, plus it would add to the premiumization of the product.
Saket Kapoor : And sir, in this space, are these the E -beam cross -link solar PVs cables? Or what are the
product portfolio...
Mahesh Visw anathan: These are cross -linked Polyethylene .
Saket Kapoor : Come again, sir?
Mahesh Viswanathan: These are XLPE cured by E -beam.
Saket Kapoor : Okay. So these are different electron beam and the one you mentioned at 2 different types.
Mahesh Viswanathan: No, no. The curing is done by an electron beam. So the cable is finished with XLPE, but it is --
after it is finished, it is cured the bar through an E -beam process.
Saket Kapoor : Okay. So we have the entire setup to...
Mahesh Viswanathan: We have the setu p. We have got 2 accelerators, one at NAV and the other one at 1.5 NAV. So
we can pure multiple sizes of products through the machine.
Saket Kapoor : And are we also in the submersible cable and the coaxial cables , sir?
Mahesh Viswanathan: We are in submers ible cables. We are in what we call 3 core flats. Those are basically some
moment for submersible applications, so water and so on. And you talked about coaxial, yes,
we have lines both in Goa as well as in our OFC factory. We are long -term suppliers to Ta ta
Play to Sun TV to Airtel to most of the DTH operators.
Saket Kapoor : So we can conclude that for at least for the segmented reporting for OFC part also, we are
going to see improved margins going ahead with the utilization levels improving, and also the

prices also for OF improving from -- by $1, as you mentioned. So in all, there are both the
price as well as the demand pool that we are going to witness going ahead?
Mahesh Viswanathan: Yes, we should see those.
Saket Kapoor : Okay. And sir, for the EHV cable, what is our just concluding, sir -- for the EHV cable, what is
our market share and we're the dominant player, you did mention the name?
Mahesh Viswanathan: Okay. So like I said, again, the EHV part of the business, we do through a JV. We do not do i t
directly in this entity. There, the dominant player in India so far has been Universal Cables.
Currently, Universal is there. We are there.
KEIs there. Polycab is there. Havells is there. But so far, only Universal and us, we have the vertical process t he others use
horizontal process. All of them are acquiring equipment to put
in vertical processes. It takes time. It takes about 2 years before it can get implemented. But
things are moving.
Saket Kapoor : And as in the hardness cable segment, are we also a player there or will participate?
Mahesh Viswanathan: We supply virus to the harness manufacturers. We supply our wires to…
Saket Kapoor : What portion of ou

r sales are -- do we derive from this segment? What kind of the market
share we have? Or what is the size TAM, the target market?
Mahesh Viswanathan: The size -- currently, our s ize in this market is about INR400 crores, INR 500 crores. Most of
the harness manufacturers are our customers. The overall market size will be much larger, but
the dominant pl ayer here is Motherson.
Moderator: Next question is from the line of [Swayam Ranawat 39:05] from Pinpoint Ex Capital.
Swayam Ranawat: Yes, sir. So my question is related to optical fiber. Like you mentioned that demand is picking up from
domestically also and internationally and prices are more over bottomed out. So like,
sir, what could be the capacity utilization for our company in preform and fiber capacity going
forward? Like if you can give any ballpark percentage going forward?
Mahesh Viswanathan: So it will depend on how many projects get announced. So the comment that I made earlier
was with reference to what is happening on the BharatNet project. And therefore, I do see that going forward, the requirement
of cables would firm up, which means that downstream
requirements also would follow similarly.
You want the utilization to be as high as it can be. We had -- while when the project was being
announced, we said if we operate at 70%, then the payback is in about 4.5 years or so. So right now, the pre form factory is

while it is mechanically completed, production is yet to start.
The trials are going to start this month. So it will be another 3 months before the product is available. And the initial usage will be lower because as people get used to the production

formalities, the processes. And only then they'll be able to ramp it up. So first year who is not going to be very high. But from the second year onwards, I expect at least a ramp-up to initially 60%, 70%.
Swayam Ranawat : Got it, sir. And sir, given that our capacity utilization will increase in future. So can we see some margin improvement over there? And if yes, then...
Mahesh Viswanathan: That is the reason why we went into this business because it is in a way a backward integration. It reduc es your dependency on someone else. It reduces imports. So today, when you buy the product, you want to buy it for a certain period of time, say, your inventory levels are much higher, whereas you make it on your own, then your inventory levels can be managed with lower numbers as well. So those are all savings that you will get -- so we definitely expect this project to result in attrition to the margins.
Swayam Ranawat : Got it, sir. And sir, if I'm correct, then our capacity would be finalized by this FY itself?
Mahesh Viswanathan: When you say finalized, what do you mean?
Swayam Ranawat : Either commercialize like it wi ll be used for selling products?
Mahesh Viswanathan: So our intent when we set up this factory was the output of this factory would be used to make fiber on our own. Currently, we are importing the entire set of reforms from overseas. So once this factory goes live, then that import would stop and our initial requirement -- I mean our requirement would be met by internal production. That is h ow you get the margin accretion.
And if there is excess capacity available, of course, we could sell the preforms out in the market as well.
Swayam Ranawat : And sir, you mentioned that 60%, 70% fiber utilization would be by next year?
Mahesh Viswanathan: No brief on my side.
Swayam Ranawat : Okay. Okay, sir. And sir, are we looking for export side also?
Mahesh Viswanathan: So far, we have been looking, but we have contracts with our suppliers who are also in that business overseas. So there are certain terri tories where we have mutually agreed that we will not compete in. And therefore, we have not been active there. But if I'm making the product myself, then those agree

ments are no longer relevant, and we could.
Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Viswanathan for closing comments.
Mahesh Viswanathan: So thanks, everyone, for participating in the conference. I hope I've been able to respond to your queries adequately. Thank you.
Moderator: Thank you very much. On behalf of Finolex Cables Limited, that concludes this conference.
Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2025

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FCL:SEC:SE:25:62 19th August, 2025
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Sub: Transcript of the Analysts/Investors Meet held on 14th August 2025 at 4.00 PM.

Ref: Regulation 30 read with Clause 15(a) of PART A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir/Madam,

Pursuant to the above referred Regulation, please find attached the Transcript of the Analyst/Investor Meet held on 14th August, 2025 at 4.00 pm (IST) to discuss financial results of the Company for the quarter ended on 30th June, 2025.

The transcript of recording can also be accessed on the Company's website at https://www.finolex.com/View/Page/Analyst-meeting-transcript .

Kindly take the same on record.

Thanking you,

Yours faithfully,
For FINOLEX CABLES LIMITED

Gayatri Kulkarni
Assistant Company Secretary
& Compliance Officer

Encl.: As above

 "Finolex Cables Limited
Q1 FY '26 Earnings Conference Call"
August 14, 2025
MANAGEMENT : MR. MAHESH VISWANATHAN – DEPUTY CHIEF EXECUTIVE OFFICER AND CHIEF FINANCIAL OFFICER –FINOLEX CABLES L IMITED
MODERATOR : MR. PRATIK PATIL – DENTSU CREATIVE PR, INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good evening, and welcome to the Q1 FY '26 Earnings Conference Call of Finolex Cables Limited. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during this conference, please signal for an operator by pressing star

and then zero on your touchtone telephones.
I now hand the conference over to Mr. Pratik Patil from Dentsu Creative PR, Investor Relations Team. Thank you, and over to you, Mr. Patil.
Pratik Patil: Thank you, Farah. Good evening and thank you for joining us on the Finolex Cables Limited Q1 FY '26 Earnings Conference Call. Today we have with us Mr. Mahesh Viswanathan, Deputy CEO and Chief Financial Officer from Finolex Cables Limited.
We will begin the call with the opening remarks from the management, after which we will have the forum open for the interactive Q&A session. I must remind you that the discussion in today's earnings call may include certain forward-looking statements and must be viewed, therefore, in conjunction with the risk that the company faces. Please restrict your questions to the quarterly performance and to strategic questions only.
I would now request Mr. Viswanathan for the opening remarks. Thank you, and over to you, sir.
Mahesh Viswanathan: Thank you, Pratik.

Mahesh Viswanathan: Good evening, everyone. Thank you for participating in this earnings call. A quick set of opening remarks from me, and then I'm free to take questions. We ended the quarter at just under INR 1,400 crore of sales, about 13% higher than the corresponding period of last year. PAT also was in line with that number, which is also up by about 13%. On the gross margin side, we were stable at about 20% comparable to the corresponding period of the previous year.
Within the segments, electrical segments, overall volumes were up by about 16%, more contribution came from power cables than wires. The second part was in the electrical wires, agricultural applications were impacted because of the unseasonal rains, which started sometime around mid-May.
On communication cables segment, volumes and values were slightly depressed. Contracts which we were hoping to close with some of our customers took longer to close some of those contracts have been closed in July and some are still under discussions so there has been a drop in the revenue from that sector.

Others, again, because of erratic weather as well as price erosion especially in the lighting sector, the values have been slightly depressed. The other key feature of the quarter was our ad spends were higher. Both ad and promotion spend were higher than the corresponding period of last year. So that's broadly what I wanted to start off and introduce the quarter.
I'm now free to take questions. I'm sure you've seen the numbers. You must have done your analysis already.
Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Vidit Trivedi from Asian Market Securities.
Vidit Trivedi: My question is that you have said that the volume growth was close to 16%. Despite having a volume growth of 16% in the wires category and cables almost double, we have seen hardly 1.5% jump in the EBIT in the segment. What's the main reason behind this?
Mahesh Viswanathan: The product mix and this is a trend that we've been seeing over the last few quarters. There is more of sales towards project and those are at discounted prices.
Vidit Trivedi: Got it, sir. Sir, what's the absolute number for cables and wires during the quarter as well as for the financial year FY '25?
Mahesh Viswanathan: FY '25, last year.
Vidit Trivedi: Yes. And for this

quarter as well?
Mahesh Viswanathan: Okay. I'll have to give that to you separately. I don't have that information right in front of me, but I can get back to you separately on this.
Moderator: The next question is from the line of Manoj Gori from Equirus Capital.
Manoj Gori: Sir two questions. See, not being on quarter specific, but if we look at over last 4 - 5 years or even 6 years, we have seen some underperformance by Finolex Cables versus the industry.
Now my question is whether this should be attributed to rising competition where we have been underperforming, especially in the wire segment.
So, I'm doing a wire-to-wire comparison or probably when we look at, I think all the management related issues also started around 6 - 6.5 years back. And prior to that, we were growing in line or better than the industry. So, can you throw some light qualitatively like where are we missing on the growth front on such a longer time horizon that I have been referring to?
Mahesh Viswanathan: In terms of the growth, I think we have been quite subdued on the power cable side, whereas

all our peers have grown substantially on that side. But within wires, yes, competition has been a little more aggressive on the pricing, while we have not been that aggressive.

We have been focusing more on the overall margins rather than just on the absolute numbers so there could be some impact of that but most of the growth that the peers have had is on the cable side, where our participation has been kind of limited until now.

Your second part of your question was whether the dispute within the promoter family has impacted the results of the business. I wouldn't say too much. Yes, there would be some impact, but not overall.

The business is being managed by people who have been in this industry for a long time. The product has a certain quality attached to it and that premiumization continues. I don't believe that the market has moved away from us so much.

Manoj Gori: Got it, sir. Sir, but when I look at probably somewhere around FY '15 or probably FY '16 to FY '19 period, where our gross margins were significantly higher, even when we look at the EBITDA margin at company level on the stand-alone basis, we were doing reasonably well.

But if we look at our gross margin from close to around 27% - 28% mark today, in FY '25, we ended close to around 19%, if I'm not wrong. Our EBITDA margins were high single digit, probably came down to below 10%. I'm not sure when was the last time we reported below 10% on an annual basis.

So, when you say we are trying to protect our margins or profitability, so see, I think here probably numbers also even on the margin side, we are seeing some sluggishness. And plus, we are seeing top line or volumes which have been underperforming.

Because when I look at some of the peers, including the market leaders or some players who have gradually increased their exposure into wires and have been growing at an exponential pace. There we have seen margin improvement as well as top line growth. So that's what I was referring to.

Mahesh Viswanathan: I don't have an immediate response except to say that my belief is that the growth explosion that some of my peers have had was more on the power cable side rather than on the wires.

And so, because not many people report those numbers separately. It's only recently that some of them have started indicating certain numbers in the public domain. If you have other information, which is not in the public domain, then I wouldn't be able to compare and comment on it.

But whatever is there in the public domain that is available only in the last couple of quarters, not before that and from there, you can get a sense of where their revenue stream is coming from, so yes, there have been margin pressures over the last 2 quarters, that is for sure but that is also a result of our change in the product mix, like I mentioned earlier.

Manoj Gori: Correct, sir. Sir, just one last question. So, if I look at probably for rest of the year or probably medium-term projections or a road map that the company would have set internally, how do

we see probably from here on? Because if you look at wire demand anyways has been a bit slow as compared to cables.

So on the flip side, if you look at, I think there are a lot of projects which would be near completion in the current and in the next year, those which were especially announced after COVID where we saw some significant pickup into real estate bookings.

Do you see these projects reaching near completion, which should actually translate into double-digit kind of volume growth for wires as a category and which will obviously lead to some operating leverage also. So, what are the internal projections? If you can share, that would be very helpful for our modelling purpose?

Mahesh Viswanathan: I think that the last 2-3 quarters ago, people have been witnessing a fairly high collection on the sale of real estate, but my sense is that most of the accumulated inventory has gotten exhausted.

And the projects which were announced, and which are getting completed now will get into their end phase in the coming quarters, some of it probably has started now, but bulk of it should come maybe by third quarter this year and I think that should be the time that we should also see growth picking up.

Manoj Gori: That should continue for at least 5- 6 quarters.

Mahesh Viswanathan: It should continue at least for a few quarters, 4 to 6 quarters for sure.

Moderator: The next question is from the line of Achal Lohade from Nuvama.
Achal Lohade: Sir, can you help us understand the mix in terms of cables, wires? You did mention that as of now in your earlier answer. So, if you could give us some sense in terms of how do you see these cables? What kind of capacity, how much have we invested? What asset turn? How much incremental investment is going into cables? That's my first question, sir.
Mahesh Viswanathan: On the cable side, we have not substantially increased our investment from what it was, let's say, a year ago. But our utilizations have improved and that means that we have stuck our neck out in a few projects and have taken orders. We were a little reluctant in the past to take an exposure on the utility side.
We have been a little careful, and we have taken some exposures on the utility side over the last 2 quarters, and those have resulted in these numbers. Our capacity still is available. We can, can still improve the numbers by another 30% - 40% with the present investment.
The question more was what kind of a risk you would like to take when you are being exposed to the DISCOMs or the some of the transmission utilities. That was always the question in our mind. I don't know if it answers your question fully, but this is what I have. What was your second part of the question?

Achal Lohade: Yes. What kind of investment are we looking at? What is the capex and how the split is in terms of cables and wires? I'm just talking about electrical cables at this stage.
Mahesh Viswanathan: On the investment side, we had made an announcement on our capex program a couple of quarters ago, and that is continuing. From there, what was relevant to electrical cables was the e-beam facility, which is completed and the e-beam cured products are now available since March this year. The utilization is ramping up, and we hope to reach a satisfactory level in the coming months.
Beyond that, our investment in greenfield addition to the capacity, we have not done anything so far. There is, of course, continuous additions to the segment, either in terms of replacement or in terms of improving productivity. For

the current year, that number should be somewhere around INR 60 crore - INR 80 crore.
Achal Lohade: Right. And this is the existing gross block, what you have, what is the potential turnover you could reach for the electrical cables and wire segment, sir?
Mahesh Viswanathan: The potential turnover only on the segment.
Achal Lohade: Yes, only for the electrical cable segment. This is the capacities what you have and assuming same copper price what is the maximum turnover you could achieve?
Mahesh Viswanathan: At current prices could go up to INR 6,500 crore.
Achal Lohade: Right. Okay. And this assumes what asset turn, sir?
Mahesh Viswanathan: Gross block will be around INR 700 crore – INR 750 crore, so about 8x.
Achal Lohade: Right. And if I were to just squeeze on this, out of the INR 750 crore, how much would be cable? Would that be, say, less than INR 100 crore?
Mahesh Viswanathan: You mean the investments?
Achal Lohade: Yes, in gross block for cables?
Mahesh Viswanathan: Yes, INR 120 crore or so.
Achal Lohade: Understood. Got it. Sir, just on this exposure to DISCOM, transmission utilities, any particular reason like have you seen substantial money getting locked in the past for the peers for the industry or it's just their health is so weak that you are concerned about that rather than really seeing any evidence of that?
Mahesh Viswanathan: A few things. One is their health has been always bad, right?
Achal Lohade: Right.

Mahesh Viswanathan: Secondly, the business there is tender driven, so you have to be L1. If you're not L1, you don't get it. Even if you do get it, you have to match the L1 prices. And the last part is there are several great practices which we are not happy to get into.
Achal Lohade: Got it. May I ask one more question, sir, or I can fall back in the queue. On the communication cable, if you could help us explain, we are seeing fairly stagnant number for a few years now and the margins being in the range of 1% to 2%. So how do we explain this presence? What is the end game here? And what is the synergy out here if I were to ask?
Mahesh Viswanathan: It is a cable product, but then okay, we are integrating backwards so those facilities should be ready. In fact, the preform facility is ready, we are waiting for the trials to be completed, and

there has been a small hitch with the power supply which should be sorted out in the next 1 month or so, after which the trials will commence.
What that we will do we will be able to reduce our dependence completely on imports, and we will be making our own preform, which means there will be value addition within the company so that should see margins improve. Secondly, that will also allow us to sell the excess capacity of preforms into the market if the cable demand is lower.
The issue with this segment has been it's largely dependent on government programs. And while huge amounts are announced as part of the government programs, the execution part has always been very slow.
Announcements have preceded the execution by substantial amounts of time. If you were to look at the National Optical Fibre Network, it was announced sometime in 2010, and we are in '25, and we are now starting on Phase 3. Originally, all this was supposed to have been completed by, I think, 2013 or '14.
Money deployment into these programs have been slow so at times when there has been a lack of money deployment, yes, it has impacted the business. Unfortunately, the cycles on fiber also have coincided with the periods when large investment deployment from the government sector has been less.
For example, right now, fiber prices have been depressed and the reason for that is large-scale availability of fiber from China, which is getting dumped globally. Government of India did take action in terms of bringing antidumping duties but still, whatever had already come in was en

ough to spoil the market.
Those long delays mostly have had an impact on the business. Even as we speak, Phase 3 of BharatNet program, orders have recently been issued to the people that won the tenders. We are now expecting orders to flow to us for the cable supply. I expect some pick-up again to happen maybe from end of this year.

On the private side, there are mainly two people who buy, Bharti and Reliance. Our contract with Bharti has been there for a long time, and it continues now also. Reliance has been focusing more on reaching or reaching their FTTH offerings, fiber-to-home offerings.
The fiber count that is in the cable is fairly low. It's maybe one or two fibers so while kilometres you will get, you will not get the revenue. In fact, I made the statement a couple of times again, a couple of quarters also so that's been the issue with this optic fiber business.
Achal Lohade: Got it. And the investment you've made in this in terms of gross block and potential revenue, if at all?
Mahesh Viswanathan: Currently, we announced a program of INR 500 crore, out of which about INR 325 crore to INR 350 crore would go on the fiber business.
Achal Lohade: And to be spent over what period, sir?
Mahesh Viswanathan: It should be over by this fiscal.
Moderator: The next question is from the line of Rehan Saiyyed from Trinetra Asset Managers.
Rehan Saiyyed: Sir, I have only one question on the copper price volatility side. Copper price volatility and product mix shift affected margins this quarter. So are you considering hedging strategy or planning to protect margins going forward…
Mahesh Viswanathan: No, we have spent considerable time on this, the way we handle copper is, we do not buy copper on spot. We only buy on the month average so whatever is the month average is what I'm paying for.
And yes, that will be followed by a pricing action. But typically, any time there is a pricing action, there is a slight delay before the pricing action is introduced into the market and the time that the copper price have actually moved.
For example, if copper price today is, let's say, $9,700 on LME and it moves to $1000 tomorrow morning, I do not change the price tomorrow morning because the market will not accept it. They will be prepared for an increase, but they will not accept it tomorrow morning. I'll have to ensure that, that increase is not just a 1-day spike. It is going to be the new norm, let's say, at which point in time I will be able to change the price upwards so here is pressure while you increase the prices, there is pressure from the market to delay it a little bit. On the other way around, there is pressure from the market to quicken it a little bit.
This is not something that happens only to me, it happens to everybody else. You will see that in most cases, we announced the changes first and then peers follow in a few days' time and that's the nature of this market.

The issue is if you are stuck with a fairly large inventory and the price falls, then you have a problem. Therefore, your ability to manage with a reasonable stock base is what really matters.
Rehan Saiyyed: Understood. Sir, if I put more clarification regarding this side. So, sir if we suppose -- if we normalize copper price at current level, what would be the target EBITDA margin range if you just clarify for the next 2 quarters or 3 quarters?
Mahesh Viswanathan: I would like to see my segment margins around 12%, but that has not been the case over the last 2 quarters. Prior to that, it was fairly consistent. Over the last 2 quarters, it has dropped.
Moderator: The next question is from the line of Manoj Gori from Equirus.
Manoj Gori: Sir, my question is on the FMEG portfolio. So somewhere we ventured into this portfolio in FY '17. And probably after COVID, we also laid do

wn the plans that we are adding close to around 1,00,000 - 1,50,000 touch points to our retail network, which will be boosting our FMEG portfolio as well as our wire sales.
But when I look at on the FMEG portfolio, so far, if you look at from FY '17 to FY '25, probably we have reached close to around INR 40 odd crore close to around INR 250 crore last year. So, I know at EBIT level, we are not burning cash into these businesses. But any aspirational target and what are we planning to do differently? Because even here, if we look at, probably somewhere we have been missing our internal targets as well.
Mahesh Viswanathan: You're right. The growth there has been much lower than what we expected to have. There have been serious conversations within the organization also in terms of where we are heading and how we're getting there. One solution was to increase the retail footprint which is ongoing. The second solution is to increase your product offering so newer models are coming into play. Since, we are still dependent on third-party sources for our products, one is to be able to design the product and hand it over to them. Second is to ensure that the development of the product happens the way you want it and the features that you want so there has been some issue, which we are trying to overcome.
I think in the coming season, you will find more product releases. If I'm selling the same thing again and again, the interest from the market will also go down over a period of time so I will need to vary those offerings, which is currently happening.
The third point in this is that on the lighting sector, the price erosion has been enormous over a period, and that's something that's been felt by every company in this field. So that is something that is dragging the top line. Volumes have been okay. They've been growing as well and at a good percentage.
But the erosion has eaten up the volume growth. So that's a problem. But then that's something common to everybody. I can't complain as being alone in that. These three, four elements have

been dragging us. But I think we do need to show more aggression on this area. That point I take.
Manoj Gori: Right, sir. Sir, secondly, if you look at over last 4 - 5 years, especially, most of the leading brands have been focusing on increasing their in-house manufacturing percentage of the overall thing. Now we have been looking to invest into communication cables. But so far, we haven't seen any promising or encouraging numbers, especially in the previous 4 years.
We haven't explored anything or probably discussed internally on the FMEG side. If you want to invest heavily on manufacturing, then you can have a better control over production on product launches and also on the quality.
So just want to understand probably because see, somewhere if you look at, there is one business where we have been very hopeful, even government orders probably have not been coming on time on the communication cable side.
There has been some slowdown or liquidity issues with some of the service providers as well for the communication cables. But on the other side, we have a business which will be largely controlled by you if you go aggressive on this business?
Mahesh Viswanathan: Our initial thought was that we will need to have certain scale before we start –putting our investments on the ground. And so that is where we've been struggling. The other alternative was to see whether we could acquire some players.
Where, again, the valuations today did not match to the profile of the company. Yes, there are some questions which we have to ask ourselves and answer and I take your point, this is something that we should be looking at seriously.
Moderator: The next question is from the line of Anirudh Agarwal from Valuequest.
Anirudh Agarwal: First question was on the margins front. So, for elect

rical cable segment, I mean, if you could
help us understand what sort of margins you are making on the agri wires and what is the contribution of that to the overall sales?
And even ex of agri business getting impacted in this quarter, core margins seem to be under pressure. So, what is the bridge for us to get back from the current level of margins to the targeted 12% that you spoke about?
Mahesh Viswanathan: Well, agriculture application, those products went down by almost half this quarter, right? The product there would give us about 10% - 11% so that is something that we missed out on, and the project business picked up quite a bit of the slack, project business is at a deep discount. You do not make the same number as what you would on a boxed product. The discounts are fairly deep. You get volumes, you get cost efficiency in the plant but then at the end of the day,

the margins are definitely lower, and they are lower by about 4% 5% percentage points. That's basically it's the mix and the larger focus on project side.
Anirudh Agarwal: Okay. And as the project segment basically seems to be the place which is driving the growth and incrementally also as we were discussing earlier in the call, with projects expected to pick up, margins would take time to get back to 12%. Is that the way we should think about it?
Mahesh Viswanathan: I think another couple of quarters before we reach that.
Anirudh Agarwal: Okay. And was there any element of inventory losses, etcetera, in this quarter, which would have depressed the margin?
Mahesh Viswanathan: No.
Anirudh Agarwal: Understood. And you spoke about ad spends being higher in this quarter. If you could just quantify that, how much were the ad spends?
Mahesh Viswanathan: The total promotional cost this quarter was about INR20 crore so that is sitting under the line other expenses and corresponding number is about INR11, crore, I think.
Anirudh Agarwal: Understood. Okay.
Mahesh Viswanathan: These were commitments which were made on spots which had been bought earlier so we had to go ahead with it.
Anirudh Agarwal: Got it. Final question was on the BharatNet project. So basically, have we received any orders from the people who have won the tenders yet or are those discussions still ongoing?
Mahesh Viswanathan: Discussions are ongoing.
Anirudh Agarwal: Okay. And any broad timeline that you expect execution to kick off for us?
Mahesh Viswanathan: Those people have received their orders in the last 1 month or so. It is not just cables that they have to line up. There's a whole bunch of other electronics and stuff that they need to get together. They have a prep time of 2 to 3 months before they will release all those final orders. There is still some time for us to get those.
Moderator: The next question is from the line of Varun Singh from AlfAccurate Advisors.
Varun Singh: Sir, just wanted to check anything that you would like to call out on demand for cable for data centers.
Mahesh Viswanathan: Well, yes, there will be a requirement for power cables there besides the data cables. Quite a few of the data center announcements have been seen but similar to construction activity, the center has to be structurally ready before the cable part of it gets in there, so I think there is scope for increasing our power cable sales.

Varun Singh: how would you think about how big should typically be the opportunity for supplying cable for this particular sector? I mean if you can offer some mental math or how should we look at it?
Mahesh Viswanathan: Typically, the data center numbers that they talk about, they talk about in terms of how many megawatts of power they would be consuming that's how they describe their investments. It will be a combination of both high voltage and extra voltage cables there on th

e power side.
And of course, you will have LAN cables and other data cables being required. Not able to translate that into size.
Varun Singh: I mean, typically, for 1 megawatt of what power needs, how much value of cable is required?
Mahesh Viswanathan: Yes, that's what I am saying. I am not able to say that because it depends on what kind of design they want to use, and each design cost is very different.
Moderator: We have a question from the line of Achal Lohade from Nuvama.
Achal Lohade: Thank you for the follow up opportunity. Sorry, just a clarification, sir. With respect to the electrical cables, you said the projects are doing well compared to the retail wires and projects are at a lower margin. Have I understood right? This is pertaining to wires you are talking

about, right, sir?
Mahesh Viswanathan: Correct.
Achal Lohade: And what would be the mix broadly if we were to see, what is the mix of projects for us? And how much would that be for the industry as a whole?
Mahesh Viswanathan: I wouldn't know that. I wouldn't know what it is for the industry because that level of granularity is not available to us. All I know is, in our case, that mix has changed in the last 2 quarters. And that is impacting the numbers a little bit.
Achal Lohade: Right. Any number you want to point out, sir?
Mahesh Viswanathan: Well, there used to be a time when retail sales for retail in a sense, the box sales used to be close to 75% - 80%. Now that has dropped to about 60%, I think.
Achal Lohade: 60%?
Mahesh Viswanathan: Yes.
Achal Lohade: Understood. And are you seeing this is the trend for the industry as well where the project wires are basically seeing more sales?
Mahesh Viswanathan: It could be, yes.
Achal Lohade: Right. And that is driving. So, for us, wires are almost 90% of our electrical cable segment revenue. Have I understood right, sir?

Mahesh Viswanathan: 75% to 80%.
Achal Lohade: 75% to 80%.
Mahesh Viswanathan: Because there is also automobile, there is also industrial and so on.
Achal Lohade: Understood. Got it. Sir, total capex, if you could mention what would that number be? You've said about INR 80 crore, INR 90 crore for the replacement or maintenance capex for the electrical cable.
Mahesh Viswanathan: It is replacement plus enhancements and productivity related expenditure.
Achal Lohade: Right. And the total capex for the full year at the company level?
Mahesh Viswanathan: Including -- it should be around INR 300 crore, I think.
Achal Lohade: And of that, close to INR 80 crore - INR 90 crore is basically this one and balance is for the optics, communication cable?
Mahesh Viswanathan: Yes.
Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Viswanathan for closing remarks.
Mahesh Viswanathan: Again, thank you, everybody, for participating in this meeting. There was one gentleman whose question I could not respond to. Maybe he can connect with me later. Thank you.
Moderator: Thank you. On behalf of Finolex Cables Limited, that concludes this conference call. Thank you all for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

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FCL:SEC:SE :25:103 18th November , 2025
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Sub: Transcript of the Analysts/Investors Meet held on 14
th November 2025 at 4.00 PM.

Ref: Regulation 30 read with Clause 15(a) of PART A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
Dear Sir/Madam,

Pursuant to the above referred Regulation, please find attached the Transcript of the Analyst/Investor Meet held on 14
th August , 2025 at 4.00 pm (IST) to discuss financial results of the Company for the quarter ended on 30th September , 2025.

The transcript of recording can also be accessed on the Company's website at https://www.finolex.com/View/Page/Analyst-meeting -transcript .

Kindly take the same on record.

Thanking you,

Yours faithfully,
For FINOLEX CABLES LIMITED

Gayatri Kulkarni Assistant Company Secretary
& Compliance Officer

Encl. : As above

"Finolex Cables Limited Q2 & H1 FY '26 Earnings Conference Call"

November 14, 2025

M
ANAGEMENT : MR. MAHESH VISWANATHAN – DEPUTY CHIEF EXECUTIVE OFFICER AND CHIEF FINANCIAL OFFICER ,
FINOLEX CABLES LIMITED
MODERATOR : MR. PRATIK PATIL – DENTSU CREATIVE PR,
INVESTOR RELATIONS

Moderator: Ladies and gentlemen , good day, and welcome to the Q2 and H1 FY '26 Earnings Conference Call of Finolex Cables Limited.
As a reminder, all participant lines will be in the listen -only mode, and t here will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal for an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Pratik Patil from Dentsu Creative PR - Investor Relations Team. Thank you, and over to you, sir .
Pratik Patil: Thank you, Mark. Good evening and thank you all for joining us on Finolex Cables Limited Q2 and H1 FY '26 Earnings Conference Call .
Today we have with us Mr. Mahesh Viswanathan – Deputy Chief Executive Officer and Chief Financial Officer from Finolex Cables Limited.
We will begin the call with the opening remarks from the Management , after which we will have the forum open for the interactive Q&A session.
I must remind you that the discussion in today's earnings call may include certain forward-looking statements and must be viewed, therefore, in conjunction with the risk that the company faces. Please restrict your questions to the quarter's performance and to strategic questions only.
I would now request Mr. Viswanathan for the opening remarks. Thank you, and over to you, sir.
Mahesh Viswanathan: Thank you, Pratik a nd welcome to all the participants in today's conference. Very quick updates from my side. On the revenue side, we had a modest growth of about 5% for the quarter, and for the half -year, it was about 9%.
EBITDA levels for the quarter were pretty decent. Quarter was up by about 26%, and half-year up by about 19%. A nd P AT levels, for the quarter, we were above corresponding quarter by about 35%, and for the half-year, by about 21%.
If I get into the product segments, wires and cables, the quarter revenues were up by about 8%, and for the half- year, we were up by about 12%. I know that this is modest in comparison with many of our peers, but we do have certain business lines which were facing certain headwinds.
Agriculture, for instance, we had a very prolonged monsoon, and the applications around agriculture, the volumes were depressed. Building wire, in reaction to a kind of moderation in the real estate sector, the growth was more or less flat.

Where we did grow was on the industrial cables and solar applications. Auto is geared for growth in the future. Cables, we had a very good quarter , we grew volume by close to 60% in the quarter.
Commodity volatility continued during the quarter. We had to take one pricing action that was later in the quarter, towards the end of September. In the initial two months, there was a dip in the commodity prices, and then it suddenly surged towards the second half of August. From the second half of August, it has been climbing, and we took pricing action in September.
On the communication cable side, most product lines, the volumes were muted. BharatNet , I am sure you will have questions. We still do not have any meaningful contribution yet from the BharatNet business.
Fiber prices, again, were low, continued the trend from the previous quarter in this quarter as well that depressed the cable revenues. We understand that there is a sign of the fiber prices hardening. We are yet to see it, but we are waiting and watching it.
On the metal-based communication cables, like I said earlier, the volumes were muted, but that is more to do with contract negotiations. We have yearly contracts with the customers. Some of those contracts, we had to get into protracted negotiation, and we are recently closing with some of them. I think that catch -up will happen in the comin

g quarters.
Balance sheet, as always, has been strong. Working capital is reasonably well managed , slightly over a month of working capital is what we carry , I think there we are ahead of most of our peers in that sense.
On the CAPEX , we spent approximately INR 75 crore s in the quarter, INR 100 crore s for the half-year. Two of the major areas where the money was spent, two of the major programs was one on the preform plant whic h is ready. It is awaiting production trials which should start in the next couple of weeks.
And the fiber draw plant, the building is nearing completion, and the machines are expected any time so, once that is done, we hope to complete this by March end. Both the major spends that we had announced one year ago would then be completed by March '26.
With this, I open up the floor for questions.
Moderator: Thank you very much, sir. We will now begin the question-an d- answer session. The first

question is from the line of Vidit Trivedi from Asian Market Securities. Please go ahead, sir.
Vidit Trivedi: My first question is with respect to the top line. If we look at our peers, they are growing in the double digits, but if we look at our top line growth, it is quite muted. W here are we lacking on this? Any color on that?

Mahesh Viswanathan: In my opening remarks, if you remember, I said the growth was very modest this quarter. I also understand that some of our peers have done much better than us. The difference is in two major areas.
We are a rather small player on the cable side. Although we had a fairly good growth in the cable volumes in this quarter, our base there is relatively small. In a total market size of about INR 25,000 crore s, we do approximately INR 200 crores - INR 250 crore s. Whereas some of our peers are fairly big on that, and their focus is on that s o, that is one big differentiator.
The second, like I mentioned, the prolonged monsoon also hit us on the agricultural applications. That application accounts for approximately 10% to 12% of our revenue, and that was really muted there. G ood monsoons, good for the country, but not really good for us in that sense.
Vidit Trivedi: My second question is on the competition side. UltraTech in their recent con call have mentioned that they will be starting production in Q3. I mean, according to them, they must have started by now a nd by January next year, they are anticipated to get into the market. H ow are we planning for this? How are we planning for the competition from a new player?
Mahesh Viswanathan: Two major business houses have announced their intention to enter. One of them has been very specific about what their plans are while the other one has not yet spelled out their plans. But I think we have a brand. The brand is well entrenched across the country. At the retail end, I think we will remain a relevant player, and actions that are necessary, we will take to protect our turf, that is something that we will do.
Vidit Trivedi: And s ir, what is the price hike during the quarter?
Mahesh Viswanathan: September, we took a 3% - 3.5% correction.
Moderator: The next question is from the line of Balasubramanian from Arihant Capital. Please go ahead.
Balasubramanian: Sir, net working capital days increased to 33 days in H1 FY '26 compared to 22 days in H1. And what could be the reasons for increas e in net working capital days? Is this a new normal driven with a project business mix? Or when can we expect to be back to 2025 kind of levels? And what specific initiatives are in place to manage receivables from discounts and other utility clients?
Mahesh Viswanathan: Net working capital this quarter was slightly higher than the previous quarter. That i s true. 33 days against the earlier numbers. But if you look at it, the major change was on the payable side, I think, t he payables had come down

drastically so that is a cyclical thing. It should correct itself once those payments are out.

On the receivable side, we are at, I think, 15 days. Inventory was slightly higher at 65 days, but that was also a planned exercise in the sense there were certain disruptions , close to some of our sites, and therefore we needed to carry additional inventories at that point in time.
Mahesh Viswanathan: You had a second part of your question, what is that? Can you repeat that, please?
Balasubramanian: W hat specific initiatives are in place to manage receivables from discounts and other utility clients?
Mahesh Viswanathan: When you a re saying receivables from discounts, meaning going deep discounting on the sales. Is that what you mean?
Balasubramanian: Yes.
Mahesh Viswanathan: Look, when it comes to large projects or big-time customers, big builders, there will be a price differential between what you sell it at the retail level and what you sell it on the project side s o, yes, one will have to moderate those. One will have to make sure that it still makes sense to the company in terms of while getting top line, you should not lose your bottom line as well. To that extent, I think we are careful, but it has to be a price which the market will bear so, we will have to be competitive at that stage. I think the process that we follow is bag the orders, but not orders at any cost.
Balasubramanian: On the communication cable side, I think EBITDA has declined nearly 51% year-on-year. And with the new preform facilities, I think it is expected to reduce cost, and what kind of improvement we can expect in those areas? And given the dependence on lumpy government orders like Bharat Net kind of orders, what are the tangible order pipeline for Phase 3? W hat portion of your capacity is already underpinned by some customer commitments?
Mahesh Viswanathan: A bout Bharat Net, like I mentioned, we still do not have anything meaningful from the BharatN et

set of tenders that were floated last year. There were 16 tenders which were floated, out of which 12 have been ordered to the suppliers and 4 are going in for retender. While we participated in the tenders, we were not successful in any of the tenders . I think the retender is expected to come in September. Out of t hose 12 have been where orders have been placed ,we are now following up with people who won the tenders and who do not have the cabling capacity or the fiber capacity but those are discussions which are ongoing.

On the non-BSNL side, the state tenders are yet to be floated. There are about seven states which are coming out. I think only Gujarat had floated tenders. The other states have not yet done so, those are all expected in the next two to four months. W e are hopeful that we will gain some positions in those.

Coming to the private side, we are one of the largest suppliers to Bharti, and we have an ongoing yearly contract with them. We also supply to the other telecom service providers, be it Reliance or be it Vodafone. Currently, factory booking is probably around 60% of the capacity.

Balasubramanian: Ad and promotion spend increased to INR 20 crore in this quarter. I think at last quarter, it is around INR 11 crore. Whether the spend is for supporting new FMEG launches or defending brand premium wires, so where we spend majorly?

Mahesh Viswanathan: If you look at the ads, it will be all brand promotion for sure and we do command premium over many brands in the market. I think it is on both counts. We are conscious of the fact that you will need visual impact. You will need to message the customers, not just the immediate customers like the builders or the contractors, but also eventual end users like you and I because if I, as an investor in a home, am concerned about safety, and that is th

e factor that we are focusing on, that our wires are safe, it gives a long life, you can use it, and then you can forget it for the next 40 -50 years s o, that is the messaging that we are giving. It is definitely useful, but do I have a direct correlation between the spend and its immediate impact on the numbers? No. It is, in a sense, an investment.

Balasubramanian: My last question on that FMEG business side, I think we have been missing internal targets for since long. What is the strategic review underway, and what are the new product launches planned next two or three quarters? And how do you look at in this business next two to three years' time frame? I think the industry itself, some of the products are facing headwinds. If you could share which are the products are picking up, which are the products are slowing down?

Mahesh Viswanathan: W e are broadly in fans, water heaters, lighting, switches and domestic switchgear. Each one has its own characteristics. Fans this quarter had faced headwinds. The monsoon was fairly long, and I think numbers were low for most of the competition there as well, lower compared to their previous second quarter so, we were no exception. New models are under design and should be coming out.

In lighting, the issue has been more on price erosion across the market , that has been something consistently happening over the last few years with the drop in prices of LEDs. I think it is now nearing or rather bottomed out so, I think we should see more stable numbers going forward with the volume s and w ith the volume s increasing, that should show up reasonably well.

Switches and switchgears, there are multiple models on development. Next quarter, t here should be newer variants coming in from our side. Broadly, we are committed to this segment a nd w e made a statement somewhere saying that we would reach a number of INR 500 crores by 2028 or so a nd I think that target is still within reach.

Moderator: The next question is from the line of Vishal Shah from Sameeksha Capital. Mr. Vishal, please go ahead.

Vishal Shah: What demand trends are we seeing post Q2 from the Housing , industrial and infrastructure segment side for the electrical cables? First question. And second, sir, guidance for the FY 26 and FY27.

Mahesh Viswanathan: We have never given out any guidance, whether it is for the quarter or for full year or for future years. I think it is a little future- looking, and we prefer not to do that. Your other question was on the demand from infra and which other sector, you said?

Vishal Shah: Housing, industr ial and infra.

Mahesh Viswanathan: Housing, industr ial and infra. Okay. Housing, I think we have seen some moderation in real estate over the last quarter or slightly longer than a quarter. New launches in this quarter have also been down and what I am reading in reports also says that the offtake on the affordable housing seems to have dropped down a little bit. I don 't know whether how and when it will pick up. I think people were waiting to see clarifications around GST and so on. There is an implicit need for housing, t hat is for sure. The pickup is something that I am yet to see. It is probably a quarter, two quarters away.

On the infra and more on the cable side, we do see a lot of demand. While we have not been very positive on the cable side because of the fact that it is all tender-driven businesses where one needs to be L1 to gain the business, we do see quite substantial volumes happening there s o, we will be choosy in terms of which one we pick to participate in and to what extent we participate there , it is an opportunity, so we are looking at it with all eyes open.

Moderator: The next question is from the line of Yashi Shah from Shatrunjaya Investment s Managers LLP. Please go ahead.

Yashi Shah: Firstly, thank you for the opportunity. I

wanted to know any type of development in the product lines if you are having currently.

Mahesh Viswanathan: In which product lines are you talking about?

Yashi Shah: For the switches and switchgear and other cables also.

Mahesh Viswanathan: Well, switches and switchgears, multiple variants are under development right now. These products require not just testing at our end, but also certifications, especially the switchgears require certifications from the regulatory authorities, any product development takes about six to eight months to be released onto the market. L ike I said earlier, in the next coming quarters, there will definitely be some releases from our side.

On the fans and water heater segments, we are working on different designs and additional features , those should also come into the market maybe in the next six months or so.

On cables, we have variants around fire retardant cables, fire retardant plus low smoke cables, and the halogen- free fire retardant cables as well. People call it by different names. Some call them the last one, some call them green, but basically, it is h alogen- free cables.

We ha ve also recently introduced last year cables which are cured by E -beam, which prolong the life to 40 -50 years so, where you are looking at high rises with a building life of 100 years, these are very suitable for those kinds of applications. V ariants in terms of packing, variants in terms of sizes, those are also being released.

On the special products like optic fiber and so on, designs will change depending on the customer's need. W e have several designs which are constantly being used. Currently, we are working on designs meant for, besides telecom, other users as well.

Moderator: The next question is from the line of Darshika Khemka from AV Fincorp. Please go ahead.

Darshika Khemka: I had two questions. Firstly, what is the status of the current case that is going on? Is there any progress, or is it still sub judice? When do we expect a settlement if there are chances of any?

The second question is that what is the kind of guidance that we are giving for the electrical cables, communication cables, and the FMEG segment for the next few years until '27, '28? And in the light of the current market scenario, also, a guidance for the current year would be extremely helpful, both on the revenue and the margins.

Mahesh Viswanathan: On the case, as you a re aware, it is between two shareholders. At the company level, I have really nothing to say or talk about s o, you will have to excuse me on that and on the guidance, like I mentioned, we do not give guidance in terms of either the quarter or the full year or any future period. That is how we handle this.

Darshika Khemka: All right. You had in the last con call mentioned that we have the capability of doing INR 6,500 crores in revenues from the electrical cable segment at a peak level. By when do we aim to achieve that? What is the similar number for the communication cable segment?

Mahesh Viswanathan: Well, the capacity, I mean, at certain price levels, that INR 6,500 crores number was what we could achieve basis the capacity that we had at that time , that would have changed now because in the meantime, we have added multiple machines at multiple places , that number would have changed by now. All I can say at this point in time is my utilization is approximately just slightly under 70%. That is for the electrical cables.

For the communication cables, again, it depends on the configuration of the designs that the customer wants. If it is a low fiber count product, then the revenue per kilometer would be much lower. Whereas if it is a large fiber count product, then the revenue per kilometer would be much, much higher. It i s kind of difficult to put a rupee value on th

at.

Darshika Khemka: And with a preform facility expected to start soon, what kind of margins can we expect? What margin accretion can we expect in the communication cable segment?

Mahesh Viswanathan: Look, if I am importing from Japan, , then the duty is zero, whereas if I am importing from the U.S. or any other place, there is a 5% duty , so, that would be straight away sa ved. Beyond that, it will also depend finally on the realized efficiency at the plant , we are still awaiting production trials. It would be too quick to give a number out on that, but it should be margin accretive. Currently, because of utilizations and low fiber prices, our communication segment margins are in the lower single digits. Like I mentioned earlier on, I think once the preform plant and the additional fiber draw stabilizes, it is not going to be from day one, but once it stabilizes, it can go back to the traditional margin levels that we used to have. I think that used to be around 8 % to 10% levels, depending again on the designs.

Darshika Khemka: And sir, my last question is that we are considering in-house manufacturing for the FMEG segment. Do we still have that on the card?

Mahesh Viswanathan: Absolutely, it is still on the cards. We need to hit the volumes first.

Darshika Khemka: So, not anytime soon, I would say.

Mahesh Viswanathan: Not this year, for sure.

Darshika Khemka: That's it from me.

Moderator: Thank you. As there are no further questions, I now hand the conference over to Mr. Mahesh for the closing comments.

Mahesh Viswanathan: Thank you for participating in this conference. I hope you found the information useful.

Moderator: On behalf of Finolex Cables Limited, that concludes this conference. Thank you for joining us. You may now disconnect the lines.

Call: Feb 2026

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Sub: Transcript of the Analysts/Investors Meet held on 12th February 2026 at 5.00 PM.

Ref: Regulation 30 read with Clause 15(a) of PART A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir/Madam,

Pursuant to the above referred Regulation, please find attached the Transcript of the Analyst/Investor Meet held on 12th February, 2026 at 5.00 pm (IST) to discuss financial results of the Company for the quarter ended on 31st December, 2025.

The transcript of recording can also be accessed on the Company's website at https://www.finolex.com/View/Page/Analyst-meeting-transcript .

Kindly take the same on record.

Thanking you,

Yours faithfully,
For FINOLEX CABLES LIMITED

Siddhesh Mandke
Company Secretary & Compliance Officer

Encl.: As above

Finolex Cables Limited
Q3 & 9M FY '26 Earnings Conference Call
February 12, 2026

MANAGEMENT : MR. MAHESH VISWANATHAN – DEPUTY CHIEF EXECUTIVE OFFICER AND CHIEF FINANCIAL OFFICER
– FINOLEX CABLES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and 9M FY '26 Earnings Conference Call of Finolex Cables Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
I now hand the conference over to Mr. Pratik Patil from Dentsu One - Investor Relations team. Thank you, and over to you, sir.
Pratik Patil: Thank you, Steve. Good evening, and thank you all for joining us on the Finolex Cables Q3 and nine month FY '26 Earnings Conference Call. Today, we have with us Mr. Mahesh Viswanathan, Deputy CEO and Chief Financial Officer from Finolex Cables Limited. We will begin the call with opening remarks from the management, after which we will have the forum open for the interactive Q&A session.
I must remind you that the discussion in today's earnings call may include certain forward-looking statements and must be viewed, therefore, in conjunction with the risks that the company faces. Please restrict your questions to the quarter performance and to strategic questions only.
I would now request Mr. Vishwanathan for the opening remarks. Thank you, and over to you, sir.
Mahesh Viswanathan: Thank you, Pratik and good evening, ladies and gentlemen. Thank you for joining this call. Very quickly, let me take you through the quarter with some brief remarks, and some points on the performance and then I will open up for questions.
You must have seen the results that were uploaded on both the exchange as well as on our own website day before yesterday. We've had a pretty good quarter in terms of overall performance. Revenue was close to INR 1,600 crores for the quarter and for the nine-month period was about INR 4,370 crores.
In the quarter, an incremental performance of about 35% quarter-on-quarter and for the nine-month period, about 17% higher than the corresponding period last year. As a consequence, EBITDA numbers also showed an improvement, 12% quarter-on-quarter and 17% over the nine-months period. PAT also reflected a 10% increase quarter-on-quarter and 18% over the nine months period.
In terms of performance, this was not just a price-led performance, it was also a quantity-led performance. Overall, Wires and Cables, the volume increase was more than 25% - 26%. Individual product lines performed slightly differently. Electric Wires was about 28% in the quarter, Auto cables were almost 42% in the quarter, Industrial was about 28%, and Power Cables were also about 22%.
Big new entrant for us during the quarter was Solar Cables, we are currently hitting close to 80%-85% of our capacity that we built up last year so that's good news again. What didn't do so well was the Agricultural Applications. A, it was off season, and there were pricing issues, so the overall numbers on the Agricultural side was a little lower than the previous years.

The other part of the quarter was the continued increase in copper prices and commodity prices. We had to take multiple price corrections. Overall, during the quarter, we took a correction of about 12% in the selling prices and most of the input price increases have been covered.
Utilization, like I mentioned earlier, solar, auto and power cable plant utilizations are in the late 70s, Others are catching up.
Moving to the Communication Cable side, then OFC volumes were up by almost a third. The issue in this segment is that during the quarter and prior quarters, fiber prices had been depressed. We are now seeing a reversal of that trend globally. Fiber prices are hardening. The overall demand outside of India.
In fact, including India has strengthened considerab

ly. We are now witnessing a period of shortage both on the preform side as well as on the fiber side. That is, as we speak today, and prices are hardening so from an average of about slightly under $3, which was prevailing during quarter 3, the prices currently as on date, are closer to $5 a month so that's the extent of the demand pull that has happened over the last few months. The net effect of this will be seen in

the coming quarters.
As a corollary, the investment that we are making on both the preform factory as well as in the expansion on draw towers. Those investments -- the work is progressing fairly good. Currently, the preform factory is under production trials, and we expect to commission it within this fiscal.
The Fiber draw expansion, the building is more or less ready. Equipment for Phase 1 that is to take up the fiber capacity from 4 million to 6 million, that equipment is already at site and as soon as the cleanroom work is completed, we will start the installation there and the second part from 6 million to 8 million, that equipment is expected to reach by March end. We expect to have a fiber draw capacity of about 8 million kilometers by end of Q1 in the coming fiscal.
Capex. In the quarter, we spent about INR 36 crores and for nine months, it is INR 146 crores in line with the projections that we had made in the beginning of the year so most of those projects should be coming to a solution by now. We had a very good quarter, like I said earlier, and that also reflected in the cash flows.
The cash flow from operations was about INR 78 crores for the three months, against INR 9 crores in the corresponding period last year and INR 220 crores for the nine months against INR 75 crores in the corresponding period of last year.
This is broadly the comments on the performance Additionally, one single point I would like to make is that after the announcement of the new labor code going live effective 21st of November, we have reassessed the obligations towards gratuity and have taken a provision of INR 6 crores, which has been booked in this current quarter.
So that's it from me for opening remarks. So now I'm open to questions. Thank you.
Moderator: Thank you. The first question comes from the line of Vidit Trivedi with Asian Market Securities.

Vidit Trivedi: Thank you for the opportunity. Sir, any update on the BharatNet project as of now? And I just wanted to know your views on the way commodity is behaving and the overall outlook? And how many price hikes have we taken as of today?
Mahesh Viswanathan: Okay. So let me talk about the commodity first. Well, it's very difficult to predict where it will reach and how long it will stay there. Even in the last couple of weeks, you have seen movements which have taken it up to 14,000, then it's back to 12,800 and then again back to 13,200. It is a bit of a yoyo at this point in time. Difficult to predict how the swings are likely to be.
What we have always been doing and we will continue to do is to not take long calls, look at what we need to produce and therefore, procure only that much quantity and buy on average, which is what we've been doing all along and treat it as a pass-through to the extent possible. While there will be a lag in passing on any changes, that will even out over a longer period of time.
The next part of your question was how many price changes have we taken? Last quarter, we took 5, with an overall correction of about 12% in the selling prices. This quarter, between January and today, we have already done two changes. So as and when it is necessary, depending on how the fluctuation is or how big the fluctuation is, we will take that call. We also need to keep in mind as to what level the market can bear because at some point, things might become inelastic, so we keep that in mind.
Your second point was on BharatNet. As I ment

ioned in the earlier call, we have not secured a direct position on the BharatNet Phase 3 tenders that were floated by BSNL. But given the fiber position in the global market at this point in time, we are getting inquiries from participants who have secured positions, so it's a little too early yet, but we are hopeful that there will be adequate business for us over the next two years from these projects.
Vidit Trivedi: Okay. Sir, second question is on the inventory days. They have improved significantly from 69 to 61 days. So what are the structural changes in the supply chain we have taken in this area? And can we expect further improvement, bring it down to at least 50 - 55 days in the coming quarters?
Mahesh Viswanathan: That would be a little difficult, I think, what we are trying to do is to look at each segment of the inventory change. So how much should be in raw material, how much in work in process and how much in finished goods, we have been squeezing all 3. I mean, and this can only happen when two things change. A-your raw material supply, that chain is kept open, and there is a continuous speed from there and B-, our operating efficiencies at the plant goes up, and that will happen as capacity utilizations improve.
And the last one is at the field level in terms of improving service, which will mean the waiting period for the customers will be lower, and we should be able to service practically on demand.
We are trying to squeeze all three areas. I think, two months cycle across the chain is reasonable given the fact that when you get into industrials and automobile cables, the number of SKUs are substantially large.

It is not just like -- it's not like building here, where the number of SKUs are limited. But as we get into flexibles and auto cables, the number of SKUs are substantially high, and you need to have sufficient production runs or minimum order quantity for each of those runs for you to run an efficient operation.

So there will be a slight trade-off between efficiency and in the overall efficiency numbers. and we try to limit it to about two months.

Vidit Trivedi: Got it. I'll just squeeze one more question. There's a significant amount sitting in your capital work in progress, almost INR 307-odd crores. So what's the specific project it is tied to? And when can we expect it to be commissioned?

Mahesh Viswanathan: A lot of it is tied up on the preform project so as I mentioned in my opening remarks, at the preform factory right now, production trials are ongoing, and we expect to commission the plant by next month, so when that is done, out of the INR 300 crores, about INR 230 crores or INR 220 crores, somewhere around that will get capitalized, so then you will only be left with what is there for the fiber draw towers, which will get capitalized in the coming quarters.

Vidit Trivedi: Got it, sir. Thanks a lot, all the best.

Moderator: The next question comes from the line of Shreya Wazir from BMSPl Capital. Please go ahead

Shreya Wazir: Thank you for the opportunity. There has been a lot of talks on a few big players with deep pockets entering the space. So how do you see their capacities ramping up? And what product segments of Finolex will get affected and how? If you could just throw some light on -- if you see a meaningful impact on our business operations due to the entrance of these players?

Mahesh Viswanathan: Okay. So over the last one year, there have been announcements from the Birla side, they are coming in from the cement group. They are putting up a cable wire and cable factory. Our information is that it is likely to get into production more sometime next calendar year. The information that I have is, it's probably around second or third quarter next year and that will be on the wire side, that will be in direct competition to us.

The second piece of information was ab

out, Adani is getting into wire and cables. Barring the initial announcement, nothing more has been heard from them, so we do not know yet if their plans include introduction in '27 or '28 or '29. That is still something that we are not clear about. But yes, there will be competition to a large extent on the wire space, but we do believe that there is sufficient space for players to coexist.

Competition will intensify. And I think in a way that's okay, we should be able to handle those pressures. That much that I am aware of besides this.

Shreya Wazir: Okay. And my second question is, what is Finolex's strategy to grow its Telecom Cable business? As in what is the total market opportunity for players like Finolex from the data center building in India and globally, respectively? And how is Finolex building its product portfolio to participate in this opportunity?

Mahesh Viswanathan: Yes, you're right. Data centers will have an impact not just the telecom operations, it will also have an impact on our power cable operations because data centers will be massive consumers of power and they will need fairly heavy sized pipes for power consumption besides fiber as well as land cables, so that could lead to more market size in terms of the optic fiber cables that would be available for sale.

In that context, I think our integration backwards into making preforms, expanding our fiber draw capacity, all this is a part of preparing for that additional volumes that are expected to come. Currently, the glass preforms are all imported by us. There is only one manufacturer in the country, which is Sterlite. We would be the second entity there and so what it means is it reduces import dependence. At the same time, brings a certain self-sustenance part there. Simultaneously, we are also expanding our fiber draw capacity. We're doubling it over the next three months so that would again make products available. Designs that would be necessary for data center applications, we already can make them, that is not so big a challenge. The capacity to make those is also available with us at this point in time so again, that is not a big challenge. Material availability at the moment, is an issue. Like I mentioned in my opening remarks, the market has changed over the last 3 to 4 months and at the moment, neither fiber, nor preform is available for literally any amount of money so the demand scenario has changed at this point in time. I think our additional capacity coming into play at this time is going to be beneficial for us.

Shreya Wazir: Thank you so much and all the best.
Moderator: The next question comes from the line of Srinivasan with Sundaram Mutual Fund. Please go ahead.
Srinivasan: Thank you for the opportunity. Two questions. Firstly, on our expansion that we are doing, I think, you had mentioned that some 4 million kilometers, we are going to 8 million kilometers by Q1 FY ’26. So I wanted to know like, what is the revenue that we could generate this asset and if you can tell me like how the margin profile has improved -- will improve because you were mentioning about realization going up from about $3 to $5.
Mahesh Viswanathan: Correct. So over the last two to three years, the demand globally was a little depressed in relation to capacities available, so prices which were running at about $4.5 had slipped to slightly above $2 over the last 2 - 2.5 years and that has now changed in the last few months. We understand that there is a lot of application in the Defense industry. We also understand that there is a lot of applications in the Data Center industry overseas, which is pushing this demand to these levels. And as the previous participant asked, has more and more data centers get up to a functioning stage in India, this demand in India will also increase. Add to it, the BharatNet and other programs that are likely t

o come in the future. I think over the medium and long term, the demand is fairly robust.
The issue in this industry has been where you are dependent on the telecom side and especially in our country, bulk of the funding comes from government programs and if that funding is not

consistent or sustained over a period of time, then you do have blips plus government programs do have this tendency of time lag between announcement and tendering and then again, execution, so those have been issues in this industry.
But I think with the committed funds for those programs, we should see a period where over the next few years, besides data centers, you will also get in AI applications, and a lot of fiber will be required. The fiber design or construction might be different for different applications, but the overall demand is likely to be fairly robust.
Currently, we have a market share of about 11% - 12% in India. The biggest player is Sterlite followed by the Birla Cables and then HFCL. But we should be able to grow from here on with our additions to capacity.
Srinivasan: Sir, could you just answer the second part of my question. Like what is our current capacity to 4 million, what is the potential in terms of top line and what margin do you think we can expect?
Mahesh Viswanathan: The top line potential is not simply multiplication of the capacity times the fiber prices. The top line will depend on the cable selling prices and again, cable selling prices will depend on the design of the cable. It should go up now with fiber prices going up but depending on the configuration within the cable prices can go up to INR 1,50,000 to INR 1,80,000 per kilometer of different kinds of cables.
It's a little difficult to estimate it, but let me try. I think with the additional capacity that we have put up, total revenues from this can go to about anywhere between INR 600 crores to INR 700 crores in a full year.
Srinivasan: Okay. This is the additional revenue or the overall revenue you see, sir?
Mahesh Viswanathan: This would be the total revenue.
Srinivasan: Okay. And margins, how is the margin improvement here for us given the prices have gone up?
Mahesh Viswanathan: If you look at our numbers, if you go back and look at our numbers. When utilizations were higher than 75% or so, we have generated margins -- EBIT margins of around 9-odd percent.
It's only in the last three years or so, that number has fallen to the levels they are now 2.5% or so, there is a potential that it can go to about 8%- 9%.
Srinivasan: Got it. Sir, and just one last question. We generate a very healthy amount of cash flow every year. So what is our plan in terms of reinvesting after this?
Mahesh Viswanathan: Okay. So like I mentioned in the beginning, capacity utilizations are starting to go up. I also mentioned to you that, automobile and solar applications are touching their 80% numbers, so those are areas where we can look at additional investment, there is a need as well. Even within the construction wire, as we see capacities climbing beyond 70%, we should start planning for something new.
So because planning to execution will take about a year and a half. As we see those numbers inching up and touching 70%, we would start planning those, those are the areas where we will

invest whether it will happen next year or the year after, that will depend on how quickly the ramp-up happens.
We had already mentioned other potential areas where we could grow. And two quarters ago, we commissioned our E-Beam plant and that opens up multiple applications for us. As we get the clearances and certifications, we should start investing for those applications as well. So these are possible areas.
Srinivasan: Thank you, sir.
Moderator: The next question comes from the line of Veenit within I

nvestec.
Veenit: Thank you for giving the opportunity and very strong set of numbers. Congratulations on that. Couple of questions from my side. One is the inventory levels in the channel, given such a strong growth we've had within the industry and considering the price increases we've had. Would it be right to assume that, that would have been a somewhat of revamp which would have happened in Q3, and consequently, at least at the start of Q4, the channel inventories would have been much higher than it should?
Mahesh Viswanathan: I believe so, yes, the channel inventory would have been higher than it should, I believe yes.
Veenit: And sir, if you go to as guess, how much could it be different than the usual levels?
Mahesh Viswanathan: I think for all the participants in this industry, some amount of volumes were pushed by the constant commodity price increases. The trade probably that they would make -- if you buy a low and then as the price is increasing, you would get to sell it at a higher price. To some extent, I'm sure that it's there. But for whom, how much is a difficult guess to do -- and I think, I will refrain from that. But I am sure, there was some.
Veenit: Understood. Understood. Sir, my second question is on margins. Now pre-COVID or maybe '16, '17, '18, we used to do mid-teens sort of EBIT margins for the Cables division, those subsequently came down to low-teens and then subsequently now, it's in low double-digits. Sometimes we also recorded high single-digit margins in that segment.
Now I understand you've had a change in distribution model, which has had an impact by 2% to 3% on those margins. But what is led to such a sharp margin drop in the segment? And should we think that these are the bottoms and should they stabilize or we should see an improvement from here on?
Mahesh Viswanathan: Okay. I think a similar question was asked during the last call as well. Yes, there was a time when we used to do about 15%-16%. But then we brought in distribution. So some money had to be surrendered there to ensure that the distributors' costs are managed. So I think the sustainable level is anywhere between 11% and 12%.
Above that, in today's context, with intensified competition is really difficult to sustain. You might have the hard quarter when you do better than that. But I think what should be sustainable would be between 11% and 12%. We are slightly behind that at this point in time. That also has

to do a little bit with the change in mix. More of automobile, cable-related sales are more of industrial products tend to depress the margin a little bit because of the nature of that business. As the volumes grow faster and higher on the construction side, then the balancing would happen. So, last quarter, the margins were about 11.5% or so. This quarter, it is dipped a little bit. So it depends on which quarter what takes higher share of the pie. So the mix is also a little bit of an issue.
Veenit: But sir, just as we were discussing some time back, the competition is likely to intensify in the next 12 months' time, don't you think, again, that will have some bit of pressure, if not much and consequently margin expansion from these levels will be tough?
Mahesh Viswanathan: There would definitely be some pressure. I don't discount that at all and we need to be prepared to handle that, I think one of the things that we are doing right now is to make sure that our channel continues to be motivated, that our distribution network continues to be motivated.
We also educate them more about life cycle costs and things like that, so that people understand that when they buy a product like ours, when you use it, you use it for 20, 30, 40 years and so your investment at this point in time is going to pay you back over those 30, 40 years. and everybody may not have the same level of quality that we have, that i

s something that we would need to reinforce in our marketing picture.
Veenit: Okay, understood. Thank you so much.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today.
I now hand the conference over to the management for closing comments.
Mahesh Viswanathan: Thank you, ladies and gentlemen for participating in this conference today. I hope the interaction has been of use to you. If there are questions, please do reach out to us. Thank you.

Moderator: Thank you. On behalf of Finolex Cables Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jun 2026

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FCL:SEC:SE:26:36 03rd June 2026
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Sub: Transcript of the Analysts/Investors Meet held on 29th May 2026 at 4.30 PM.

Ref: Regulation 30 read with Clause 15(a) of PART A of Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir/Madam,

Pursuant to the above referred Regulation, please find attached the Transcript of the Analyst/Investor Meet held on 29th May 2026 at 4.30 pm (IST) to discuss financial results of the Company for the quarter and Financial Year ended on 31st March 2026.

The transcript of recording can also be accessed on the Company's website at https://www.finolex.com/View/Page/Analyst-meeting-transcript .

Kindly take the same on record.

Thanking you,

Yours faithfully,
For FINOLEX CABLES LIMITED

Siddhesh Mandke
Company Secretary &
General Manager (Legal)

Encl.: As above

"Finolex Cables Limited
Q4 and FY26 Earnings Conference Call"
May 29, 2026

MANAGEMENT : MR. MAHESH VISWANATHAN – DEPUTY CHIEF EXECUTIVE OFFICER AND CHIEF FINANCIAL OFFICER – FINOLEX CABLES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Finolex Cables Limited Q4 and FY26 Earnings Conference Call. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch-tone telephone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Pranay Premkumar from Dentsu One Investor Relations team for opening remarks. Thank you, and over to you, Pranay.

Pranay Premkumar: Thank you, Ryan. Good evening and thank you all for joining us on the Finolex Cables Q4 and FY26 Earnings Conference Call. Today, we have with us Mr. Mahesh Viswanathan, Deputy CEO and Chief Financial Officer from Finolex Cables Limited.

We will begin the call with the opening remarks from the management, after which we will have the forum open for the interactive Q&A session. I must remind you that the discussion in today's earnings call may include certain forward-looking statements and must be viewed, therefore, in conjunction with the risks that the company faces. Please restrict your questions to the quarter performance and to strategic questions only.

I will now request Mr. Mahesh Viswanathan for the opening remarks. Thank you, and over to you, sir.

Mahesh Viswanathan: Thank you, Pranay, and welcome, ladies and gentlemen. I'm sure you by now have seen the results, analysed and dissected it at your end. Briefly, I will go through the highlights. Revenue for Quarter-4 was up by about 22%, both year-on-year and quarter-on-quarter. For the full year, revenue was up about 19%.

EBITDA for Quarter-4, there was a 7% improvement year-on-year and 22% quarter-on-quarter. For the full year was about 14% better than last year. PAT for the quarter was approximately 6% better Y-o-Y and 19% better quarter-on-quarter. PAT for the full year was about 14% better than last year.

These are broad numbers. Of course, towards the end of Quarter-4, we had the shock from the Middle East, which resulted in cost increases across the board, while the LME copper did stay low for a couple of weeks, the rupee depreciation as well as cost hikes in most other raw materials meant that at the end, we were left with the higher cost of production than before and therefore, margins were slightly under pressure.

If I go into the individual segments for electrical sector, revenue was at INR 1,697 crores in the quarter was the highest that we've achieved, and it was about 22% higher Y-o-Y and 21% higher quarter-on-quarter. For the full year, about 22% higher than the previous year. EBIT numbers were also fairly strong, 30% higher on a quarter-on-quarter basis and 17% higher Y-o-Y. For the full year, EBIT was about 18% better than last year.

Some comments on the sector. There were certain product lines, which did extremely well, certain product lines where the growth was slightly lower and one product line where the growth was actually lower. Auto batteries, industrial flexibles and power, all these sectors did extremely well, generating approximately high-double digit growth in volume terms. Auto was about 30% higher. Flexibles were about 17% higher, and power was about 21% higher.

Solar cables, which we introduced last year in the fourth quarter, have been very well accepted, and we are nearing capacity utilization at this point in time. We are looking at increasing the capacity going forward. Building wire was steady, but had been impacted through the year because of constant copper price increases which meant that we had to pass it through to the customers. There were times when there was a resistance from the market. But overall, in the year, a very marginal volume growth.

Agricultural applications was one area where there was an issue. The pre-seasonal monsoon plus continued monsoon both impacted the volumes. It was down by about 15%-16%. The year end Middle East disturbances, like I mentioned earlier, had some impact in terms of increased RM costs. And together, coupled with the INR depreciation meant that the overall cost of production was higher, inventory costs crept up a little bit. And that, of course, impacted the end of the year margins a little bit.

We had, during the year, close to 14 price changes, all upwards. And the effective price change at the market was about 24%-25% in most of the SKUs, this is on electrical. Coming now to communications side. Revenues, if you saw was kind of flat for the year, whereas quarter 4, we did well. We were up by about 30% Y-o-Y as well as quarter-on-quarter. Some background to this, fiber prices during most of the year, at least for the first 7-8 months were pretty low, but started hardening towards the end of quarter 3 and since then have continued to climb.
Some of the reasons behind this, there is an explosion of data center applications in the U.S. and in Europe, which is practically eating up all available fiber supply. Currently, raw material availability is a constraint for everybody. Most capacities in China and Japan are blocked completely. Added to this is the newly found military obligations that have also pulled in a lot of fiber both the wars in Russia and in the Middle East have triggered newer applications and apparently fiber is getting consumed there.
That has resulted in a hard supply kind of a scenario at this point in time, which has helped the fiber prices harder. But I think the advantage to us in terms of improvement in revenue, we should see some during the second half of this year. Our commitments locally, domestically, have been long-term yearly contracts, and those were at fixed prices, so until those contracts run out, we will not see the benefit coming into our financials. Hopefully, next year, when we renegotiate the prices that should change.
On the fiber-related expansion part, we have commissioned the preform plant. I said in the last call that trials are likely to begin February and end in a month's time, so mid-March, we

commissioned the plant, and the plant should take another 2-3 months to settle down and stabilize. As of now, the performance is quite encouraging.
The second part of that program, which was the fiber draw capacity expansion that should get completed by, July. Some capex will still come in the current year, but the preform related capex, Phase 1, where we were setting up the plant for 100 metric tons that has been completed now.
Coming now to capex. Overall, we have spent about INR 240 crores last year, including infusion into the JV with Sumitomo. In the current year, that is 26-27, we expect to further spend another INR 200 crores on capacity expansion plans and complete the optic fiber preform-related capex, which is remaining, that will be another INR 100 crores, so that will be total spend in the current year.
The cash flow from operations was about INR 50 crores lower than last year. But towards the end of the year, like I mentioned earlier, after the disturbances started in the Middle East, we had to take additional inventory coverage. If you looked at our balance sheet numbers, the inventory is up by about INR 300-odd crores, so part of that investment has gone in there. Because at that point in time, nobody was sure how long this, who would last or what impact it would have in the medium or even short term so we needed to protect ourselves to be able to run the plants in April, in May, so some amount of prebuying but at higher expenditure was done. I think we should be able to pass on the costs over a period of time to the end customer. It should n

ot be a very long drag on the margins.
The other piece of information that I have is that the extra high-voltage JV with Sumitomo, that turned profitable this year. On a revenue of about INR 450 crores, we generated a profit of about INR 21 crores and the outlook is decent. We started the year with an order book of about INR 380 crores and so I think we have turned around the one corner.
These are broadly the comments that I had to make before giving the floor to you. I'm now free to take questions. Thank you.
Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. We take the first question from the line of Manoj Gori from Equirus Capital.
Manoj Gori: My first question. First, obviously, I would like to congratulate you on your new role. My first question is on the Communication Cable segment. Obviously, when we look at the quarter, this was the record quarterly performance on the revenue side. And even we saw some improvement on the margins, which would have been because of the scale benefit also.
Now preform benefits are yet to kick in, and we have seen relatively better improvement on the margins. As you highlighted in your opening remarks that given the demand, especially from the West markets and some supply challenges, there is a huge scope for business into Communication Cable segment.

For our purpose, how should we look at the growth from here on? And probably, where do you expect given the current prices, where should we expect that the margins probably by FY27 should settle for Communication Cable segment? That's my first question.
Mahesh Viswanathan: Okay. At the moment, like I mentioned, supply chain, there are still some challenges. The one is on the regular business side; there is an extremely high demand towards data centers. But beyond that, there is this military application, defense application, which is also pulling in a lot of material. There are some restrictions in being able to participate in that because your raw material supplier also puts in covenants saying this cannot be used for military applications and so on, the opportunities then get a little limited on that side.
I think we will get a little more clarity once there is some finite information about what's happening in the Middle East. That keeps spooking the market every other day. And to predict what we will end up with at the end of '27, even though it is not a long-term prediction, is a little difficult at this point in time. Also, because of the exposure to defense applications, some governments have put in MROs on export of certain raw materials. We need to work around and see how those challenges are overcome.
While there is a big opportunity at this point in time and the prevailing fiber prices are fairly high at the same time, securing the required raw material also poses certain challenges so we need to work around it. At this point in time, I'm not able to really commit to a number or even predict a number but I think it should improve beyond what we have seen this year. This year, we ended the year with about, I think EBIT numbers was about 6%. I think we should do better than that.
Manoj Gori: Sure, sure. Got it. So, my second question is on the JV. So, after a long period, we have taken a lot of efforts on the EHV side. And probably this is the first year where we have finally seen some numbers actually flowing in. Can you highlight like what are the steps that we have taken, how should we look at this business from a 2-year, 3-year view, where we can actually end up by FY28 or '29 in terms of revenue? Because PBT when we look at INR21 crores at INR458 crores of revenue, close to around 5%. So probably the things are looking relatively brighter year. So what's the overall thought process on this business?
Mahesh Viswanathan: It has been a challenge for us over the last sever

al years that we've been invested in this JV.
Challenges were mainly around getting credentials for participation, showing experience and some of the voltage grades becoming commoditized in the meantime.
In the last year, our focus was more on the higher voltage grids and also a mix of projects where there were only supplies and projects which were turnkey basis, that gave us a little bit of, once we started getting in purely supply orders, then the cash turnaround times became smaller, whereas when you get into a project-based business, then the turnaround times are much longer. Typically, you are unable to clear your receivables until the entire project is completed. And with the EPC part involved getting clearances and right of way in many of our cities or even

sometimes in villages becomes a time-consuming issue, which drags the project for longer periods.
This year, we've been able to get an order blend of both pure supply as well as full turnkey solutions, that improved the operations quite a bit. The second part was to ensure and see that the key equipment, the capacity utilization improves further. At this point in time, the most key machinery there is occupied more than 80%.
In fact, we are planning to enhance capacity there so that, that would help us in increasing the overall plant capacity towards the 70%- 75% numbers. Utilization of capacity has been better this year, and that means fixed cost absorption is obviously better. And focus on the blend of orders that we were getting. I think that is going to continue to drive the strategy.
On the market side, there is a very large market. Currently, I think the size is about $0.5 billion to $750 million. But the requirements that we are seeing when we talk to utilities across the country. Eventually in 3 to 4 years, that size could go up to $4 billion to $5 billion so that's the kind of market expansion that we are seeing, or we are likely to see.
It is also backed up by the fact that many in the competition are today trying to and, some are adding and some are trying to add capacity of similar technology that we have. Until last year, they were not willing to spend that money but over the last year, we have seen many more from the competition follow the same technology that we have in terms of the vertical insulation so that is something that is catching up, so both from the market side as well as from our own experience, we see that there is scope for growth.
Moderator: Manoj, I would request you to please join back the queue for follow-up questions. We take the next question from the line of Veenit from Investec.
Veenit: I had one question in particular. When we look at housing wires, that hasn't been doing well for

us as well as the industry as much as we would have liked, particularly considering how real estate cycle has been over the last few years, particularly post-COVID, it had picked up quite sharply. So what is stopping wires as a segment to grow at least, let's say, in high-single digit in terms of volumes?

Mahesh Viswanathan: I think the runaway price escalation on copper, probably in terms of trade stocking is not at conservative levels. It is where they are looking at it tightly because like I said, we've had 14 changes over the last year and we've had one more this year.

I think that's been an issue. But where the material is going to projects, we don't seem to have a major issue. The retail part of stock and sell, which is, I think, a concern. For a distributor, a dealer to invest for amounts of money and hope that the price holds. I think that would be a challenge. That is a risk that less people are willing to take at this point in time.

Veenit: Sir, I meant the tertiary demand. Now given wires as a proportion of doing up a house is so small, why are we seeing volumes n

ot picking up? Or people deferring their purchases as far as the tertiary sales and housing wire is concerned?

Mahesh Viswanathan: I responded saying when I meant project sales, those are the sales which are going into builders or contractors or developers. That is stable. That has not dropped off. The retail one where you go to the hardware market or the electrical market and where the distributor is selling it or the dealer is selling it, that has taken a hit.

Veenit: Understood. And do you expect a similar phenomenon to play out in FY27 as well given price increases? Or we should see some bit of improved demand, let's say, in the next 12 months or so?

Mahesh Viswanathan: I'm not going to put my neck out there. I do not know how to predict that part. It depends all on the price movements finally.

Moderator: We take the next question from the line of Pathanjali Srinivasan from Sundaram Mutual Fund.

Pathanjali Srinivasan: Congrats on your new role. I have two questions. Firstly, we showed an improvement in terms of margins for our Communication Cables business. Could you explain as to what caused this? Is it like a product mix or pricing? What is the reason for this? And you also mentioned in your opening remarks that we have some contracts with customers, so the pricing may not change. So, will we benefit when the fiber prices have improved or will we not get a meaningful benefit there?

Mahesh Viswanathan: We should benefit except that the timeframe is probably around second quarter.

Pathanjali Srinivasan: Got it, sir. And the first question?

Mahesh Viswanathan: First question was how did we get 6%? There were a few orders besides the long-term contract which were taken at current prices, that improved the numbers.

Pathanjali Srinivasan: Okay, sir. And just one last question related to this. So, with our future orders when we say we have contracts, what proportion of our business is contracted and what will be like unutilized or uncontracted capacity? And preform started in this quarter. So, we start getting benefits from that only in this quarter, and we also have Q1 additional capacity coming for fiber. So, will all these things change our overall revenue base in a meaningful way?

Mahesh Viswanathan: Yes, it should change, but you will not see it in quarter 2. The preform part of it, like I mentioned, we commissioned it in March. For any plant with this technology to settle down, which takes about 3 to 4 months. I expect that benefit to kick in from the earliest I can talk about the end of quarter 2 or maybe quarter 3.

And the fiber draw capacity, which will get increased will get commissioned towards the end of quarter 2 so any benefit that we would get from that will only be after that, so the second half

provided there are no other hiccups on the supply chain part should be much better than last year.

Pathanjali Srinivasan: Got you, sir. In the last quarter, you mentioned that your revenue potential can be around INR 650 crores after this entire capacity comes. But this quarter, you're talking some INR 160 crores of revenue. So, is this largely price driven? So, at current prices, can the revenue be like ballpark of INR 1,200 crores, INR 1,300 crores?

Mahesh Viswanathan: Again, depends on the end user, at the SKU level, depending how complicated the construction of the cable is, for example, cable, which has got 2 fibers or 4 fibers it's not a very difficult design to make you are just paying for the raw material.

But as it goes into multiple fiber counts, are higher fiber counts, 144, 288 or even beyond that, then the revenue per kilometer changes and changes substantially. It depends on what that order configuration looks like. But yes, given the price levels that are existing today, it can be beyond INR 750 crores.

Moderator: We take the next question from the line of Tushar Dhonde from Shanghavi Family Of

fice.

Tushar Dhonde: First of all, congratulations on your induction to the new role. I have few questions. First one being, sir, if I see the Communication Cable has segment has showed a good growth in this quarter Y-o-Y basis? I was just asking you to what's our outlook over here? I mean next few quarters could we expect similar such growth coming over the next few quarters as our preform capacity is live?

And on the preform capacity, you did mention that we will try to consume it internally. And then if we are left with the capacity, we will also try to sell it outside. How are we thinking on that? Do we have tied up with the customers for the selling of that capacity? And then I have a follow-up.

Mahesh Viswanathan: At this point in time, right now, the situation is that, like I mentioned in my opening remarks, fiber availability is a big issue at this point in time. There is no fiber to be had anywhere in the world and so any fiber that I can draw from my preform, I would use it myself, so selling a preform at this point in time, probably not the right area so that is today's case, how it might change 3 months from now, 5 months from now, that is something that we will have to look at, at that point in time. The second part of your question was?

Tushar Dhonde: Growth in the segment.

Mahesh Viswanathan: Yes. Look, as you are all aware, like in the West, there is an explosion of data centers coming into our country as well. And I think the government is also pushing to ensure that our data is hosted within our country and not outside. I'm guessing that will add to the number of data centers that get installed here over a period of time.

So yes, there is going to be growth. There is also going to be growth with the applications around AI and similar technologies. So it is, I think, the right time to be in this industry. Barring these hiccups around war disrupting supply chains, I think it should be a period of reasonably good growth over the next few years.

Tushar Dhonde: Okay. That's great to hear, sir. I just needed a clarification on the EBIT margin segmented and EBIT margin you calculate. I did see that communication cables has seen a significant jump. I just wanted to make sure that have we included other income as part of our EBIT margin calculation as well?

Mahesh Viswanathan: No. Other income is not included in this.

Tushar Dhonde: Other income is not included in this?

Mahesh Viswanathan: No. That is shown as unallocable items.

Tushar Dhonde: Okay.

Mahesh Viswanathan: At company level, it gets included, but at the segment level, not. Is that clear?

Tushar Dhonde: At company level, other income is around INR 32 crores, and at unallocable level, it's coming to be around INR 6 crores. I'm guessing the INR 24 crores would have been already included in above?

Mahesh Viswanathan: No. You're talking about other income on the top line, right?

Tushar Dhonde: For this quarter, it's around INR 32 crores.

Mahesh Viswanathan: If you look at the total that is around INR 237 crores for the year.

Tushar Dhonde: Yes, right.

Mahesh Viswanathan: And if you look at the unallocable total, that is about INR 224 crores for the year.

Moderator: We take the next question from the line of Nikhil Purohit from Fident Asset Management.

Nikhil Purohit: First question, what is the maximum revenue potential from the electrical cables segment? And currently, what is our utilization rate? And what is the target utilization rate for next year?

Mahesh Viswanathan: We keep enhancing capacities by rebalancing almost every year. Within the capex that we spend, there is a certain amount which is spent every year on adding 2 different lines. Basis, the capacity that was available, let's say end of March, utilization would be around the mid-60s, there is some ability to grow further.

Nikhil Purohit: Maximum revenue potential?

Mahesh Viswanathan: Revenue potential can be at about 80%-85% if somebody is operating, they are doing a good job because this is not a single machine, one process. These are multiple machines with multiple processes. Not all of them are equally balanced, there will be always some bottleneck either at the beginning or at the end or in the middle.
And therefore, if someone is able to achieve 80%- 85%, I think they are doing a fairly good job of running the plant. There is a headroom, 66% is where we're operating so about 15% headroom is still available. Your revenues at current prices can go up by another 15% without major investments.
Nikhil Purohit: Got it. Got. And could you give the Retail versus project mix this quarter. And where do you see this going again because of the margins that play out because of the share?
Mahesh Viswanathan: The retail versus project, you're talking about electrical wire?
Nikhil Purohit: Correct.
Mahesh Viswanathan: I think in the past our retail to project ratio would have been, 80/20. Now, probably it's around two-thirds, one-third.
Nikhil Purohit: Okay. And just last question on the communication side. So what is our utilizable capacity for OFC right now? And when will we hit the 8 million fiber kilometer mark and our target utilization because you said the fixed contract should get over by quarter 2, I think. So if you could throw some light there.
Mahesh Viswanathan: The draw capacity that we have currently is 4 million kilometers. That should cross 8 by hopefully by end of second quarter, that means 8 million capacity will be available from beginning third quarter, so 4 million is what is available for us to operate in this point time. We are close to three and a quarter, I think, at this point in time.
Nikhil Purohit: Sorry. Our utilization rate, you said is, in optic fiber cables.
Mahesh Viswanathan: It'll be about 3.2 out of the 4.
Nikhil Purohit: And if we hit the 75% rate. We guided 8% to 9% EBIT margins. We've already hit 6%. So is it right to assume that earlier you said that it should improve in FY27, we hit the 9% mark?
Mahesh Viswanathan: Yes, subject to no supply chain constraints being there. There are supply chain issues at this point in time. Especially things that we import either from Europe or China, there are difficulties or time lags in getting those so that needs to be resolved.
Nikhil Purohit: But the fixed contracts problem should not ideally stop our growth, right, apart from quarter 1.
Mahesh Viswanathan: No, that should not. We will renegotiate; the contract is valid until June. And the next contract when they come with the tender and the bids, we will renegotiate.

Nikhil Purohit: Got it. And within FMEG, what kind of growth did we see in the PVC conduits and Fans business for FY26, just to understand?
Mahesh Viswanathan: Fan has been a difficult product line this year because in the initial part of the year, you had unseasonal rains, and towards the second half of the year, there were changes to the BIS norms, which meant that people were destocking any inventory that they had and they wouldn't want to take fresh inventories, that has been an issue. Fan actually did not grow in volume terms.
Conduits has done very well, we are now operating at close to 85%, I think.
Moderator: We take the next question from the line of Akshat Mehta from Seven Rivers Holdings.
Akshat Mehta: Yes, sure. Can you just help me understand in the communication cables how much is coming from optic fiber and how much is coming from other communication cables on a rough basis?
Mahesh Viswanathan: About three-fourths will be optic fiber related.
Akshat Mehta: And sir, just wanted to understand since you just started, it's been 2 months since you started the preform plant. Where are we getting and how easy it is for us to get germa

nium?
Mahesh Viswanathan: That is the challenge. That is, I kept referring to supply chain difficulty that is the challenge. Fortunately, we do not require massive amounts, but it is a challenge that we need to overcome.
Akshat Mehta: Currently, how much inventory of germanium would be there with us, for how many months?
Mahesh Viswanathan: I think that is sufficient to run a few months.
Akshat Mehta: Okay. And any kind of, you know, that you have for the FMEG segment as well that we want to grow and we are focusing right now on optic fiber more as a whole?
Mahesh Viswanathan: As I said, I didn't get your question.
Akshat Mehta: I just want to understand if there is any kind of outlook that you can give on the FMEG business as well.
Mahesh Viswanathan: Yes. Our performance has been under par there. That is something that we realize and appreciate. We are relooking at the portfolio in terms of what kind of products are we having there? Do we need to modify some of those? We are also looking at how to strengthen the teams. Distribution is something that we've been working on and that we will continue to engage with the distributors to ensure that both geography as well as products are fully covered. It is going to be a continuous exercise this year. We definitely want to make this success in the same manner as the other

product lines.
Moderator: We take the next question from the line of Vidit Trivedi from Asian Market Securities.
Vidit Trivedi: Most of the questions have been answered. Just one clarification. I remember we met you in the month of December last year, and you have said we are working certainly something in the

exports area. So how exports are shaping up for us? And what is the exports percentage this year?
Mahesh Viswanathan: This year, our team was completely revamped. I think we've had a team in place for about 6 months of the year, and they have made inroads and have done well. Earlier '24- '25 export performance was, just around INR 30 crores which went up to INR 52 crores this year.
We are looking at much higher numbers for the current fiscal. The team is a completely new and is better prepared, I think we should be able to show a larger revenue share from the export side.
Until last year, the revenue share was, let's say, about 0.5% to just under 1%. I see it climbing to about 2% to 3% over the next 2 years.
Moderator: We take the next question from the line of Sushil C Choksey from Indus Equity Advisors.
Sushil C Choksey: Congratulations on your new designation and very good result. Sir, my first question is, given the situation, boom in solar, not only in India but outside of China also because of the energy crisis and led by data center, defense and other optic fiber also, what is the potential to maximize capacity what we have, but double the capacity or enhance our capacity and how much time will it take? And what kind of capex is required for that? And current capex, which you announced, what is the breakup of that?
Mahesh Viswanathan: The current capex that I announced includes doubling the solar capacity so we are cognizant of the potential there, and we are going to double the line there and that would be helpful for us, not just on the fiber side, but also on the power cable side, both for ourselves as well as for the JV. We are engaging with all those customers.
The gestation time for these orders was pretty long, so you need the resources there, before the order book starts, I think both JV and us have certain amount of capacity to cater to the data center needs and power cables. As I mentioned earlier on when I was talking about the JV, we are seriously looking at expanding some of the capacities there also.
Sushil C Choksey: And what is our potential capability to go further backward where communication optic fiber cables are concerned from where we are at preform?
Mahesh Viswana

than: Going behind preform means that we will have to produce the silica. At this point in time, that is not in our plans at this point in time.
Moderator: We take the next question from the line of Pathanjali Srinivasan from Sundaram Mutual Fund.
Pathanjali Srinivasan: Just to confirm 2 things, sir. One is you mentioned that the revenue potential from the expanded line can be around INR 750 crores. I think right now, based on whatever...
Mahesh Viswanathan: I meant including the existing stuff, the overall capacity. After we expand, then the potential could be around INR 750 crores.

Pathanjali Srinivasan: Correct. That is for 8 million kilometers. Is that correct?
Mahesh Viswanathan: Yes
Pathanjali Srinivasan: Okay. And how will the benefit of preform show up, sir? Will it show up as lower cost of production? Or how will that show up?
Mahesh Viswanathan: One of the earlier questions also was, are we going to earmark a certain capacity to sell preforms outside. Now that is a possibility. It depends on what the market conditions are at any point in time. It's a flexibility that we will have so if I am short on cable orders, and higher on fiber orders, then I will sell the preform.
It gives us flexibility. I think overall, the intention is to use the preform to convert it into fiber, which again to convert it into cable and then sell it, which means our ability to participate in tenders where pricing sometimes becomes aggressive is available to us or depending on situations like today where the fiber prices are extremely high, we don't have to sell the preform.
We can convert it into fiber and take that profitability into the books; it is not a static onetime charge that I will have. It will be dynamic as the market demands.
Pathanjali Srinivasan: Got it, sir. Just a related question I have, sir. So here, when you mentioned that if we use it internally, like versus previously you would have been buying from outside, what would the margin benefit be there from this?
Mahesh Viswanathan: I don't have the exact numbers in front of me. But typically, once your production line stabilizes,

you should be able to get it better than market. Whether I'm able to get it better than market at 5% or 10%, that would depend on how quickly I'm able to stabilize operations. That's about as much as I can say at this point in time. I don't want to stick my neck to a single figure.
Pathanjali Srinivasan: No, sir, I was expecting only a range. I'm not trying to get a very specific number.
Mahesh Viswanathan: Yes. That's what I'm saying, depending on how quickly we are able to stabilize the operations, I think we should be better than market by anywhere between 5% and 10% because the preform seller is also making some money.
Pathanjali Srinivasan: Got it, sir. Congrats on good set of numbers.
Moderator: We take the next question from the line of Miraj Shah from Sameeksha Capital.
Miraj Shah: Sir, if you could just repeat the capex figures that you mentioned, is it INR 200 crores or INR 300 crores? That's my first question. Secondly, if you could also let me know what are your -- what is your guidance for the coming years in terms of revenue and margins?
And lastly, my final question is that if you could, this quarter, we have seen our operating expenses as a percentage of sales come down. When I look at the past 12 quarters, we are in one of the sweetest spots. We are currently, our employee expenses as a percentage of sales and other

expenses as a percentage of sales, both are lowest in the past 12 quarters. So, do we expect them to continue in this range? Or do we expect it to revert to normalcy?
Mahesh Viswanathan: Let me answer your questions one by one. Your first question was on the capex; I said capacity enhancement is about INR 200 crores. Additionally, the plan of ex

pansion on the optic fiber,
optic fiber cable side, which we had announced 2 years ago and which is ongoing, there is a balance of about INR 100 crores to be spent because like I said, the expansion to 8 million kilometers of fiber will get over in July or August, so all that will cost another INR 100 crores, so totally INR 300 crores, out of which INR 200 crores is completely new, which is for capacity enhancements. Is that clear?
Miraj Shah: Yes, Clear, sir.
Mahesh Viswanathan: Okay. Your second part was on guidance. I actually do not give out any guidance, especially in a situation like today, where you do not know whether the war is ending tomorrow because you keep hearing that today is ending, no but it's not ending. And tomorrow, I have an agreement, no, I don't have an agreement. So, it is a very volatile situation.
I don't think I should be predicting anything. All we do is internally, we have targets that we are working towards and that is subject to certain constraints not being there or certain level of constraints not being there. At this point in time, I would not like to, talk about any guidance numbers. And there was a third point that you wanted, what is that?
Miraj Shah: Our other expenses and employee costs as a percentage of sales.
Mahesh Viswanathan: I think on an annual basis, it should be similar. In between quarters, you might see differences. But overall, at an annual level, we should be similar to what we have today.
Miraj Shah: To what we did in FY26?
Mahesh Viswanathan: Yes.
Moderator: We take the next question from the line of Prateek Shrivastava from Nivesh Wisdom.
Prateek Shrivastava: First of all, congratulations on your promotion. Sir, my question again on the OFC side of things. So sir, if it from the first half of FY25 -- sorry, overall FY25 and overall FY26, I see the revenues from our communications being the same around INR 500 crores. Can I understand that, sir, that you are saying that in the first half of FY26, prices were depressed. They only started recovering towards the second half. So can you give in terms of volume, what was the volume growth between FY25 and FY26?
Mahesh Viswanathan: About 7%.
Prateek Shrivastava: About 7%. Okay. And what are we targeting, sir, moving into the next year, in terms of volume growth?

Mahesh Viswanathan: Again, we made our budgets 2 months ago. At that point in time, the expectation around what is happening in the Middle East was that it should settle soon. But it's been 3 months since that act started and no 2 days are different. You go back and forth, back and forth, back and forth. There is no clarity as yet, which means quite a bit of the supply chain is impacted. And then you heard someone asked a question about germanium. Again, the supplies have to come either from China or from Europe.
Both have put serious restrictions on exports from their side because they themselves have

extremely high demand. And the fact that it can be used for defense purposes is, I guess, worrying most people so to be able to predict which way things will move at this point in time is kind of difficult. I would like to avoid making that prediction.

Prateek Shrivastava: So, is this problem faced by the entire industry? Or is it just with...

Mahesh Viswanathan: It is faced by many people in the industry. Anybody that is producing preform would face it. Anybody that is buying preform and drawing the preform would also face it because glass is not available for any kind of money. There are very few people who are able to get glass from outside and only those that have signed on long-term contracts, where, again, the price is going crazy. It is a problem that is being faced today. Now how it will pan out in 3 months, I won't be able to comment on that, I hope it turns out for the better. But at this point in time, I'm not able to tell.

Prateek Shrivastava:

Yes, sir, that we can understand. And my last question, sir, on the order book on this side of things, can you throw some light on the order book we have?

Mahesh Viswanathan: The order book, like I said, there is one major contract, which will come up for renewal in, end of June. I don't see why we should not be able to renew it because we've been their suppliers for the last 8 years, product-wise, they are very happy with us and quality-wise, they are very happy with us. I don't see why that should not repeat. Beyond that, and that takes up about slightly more than half of the capacity. The balance is sold to other customers. In terms of volume, I don't see why we should not do something similar or better than last year.

Prateek Shrivastava: And the size of the order book, sir?

Mahesh Viswanathan: I don't have that number in front of me. But I'm quite comfortable with saying that it should be better than last year.

Moderator: Ladies and gentlemen, we take that as the last question and conclude the question-and-answer session. I now hand the conference over to the management for their closing comments.

Mahesh Viswanathan: Thank you. Thank you for all your good wishes, and thanks for participating in today's meeting.

Moderator: Thank you. Thank you. On behalf of Finolex Cables Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.